ScamSagot: Philippine Digital Banking & Scam Law Reference

Deduplicated reference supplement followed by the complete 117-page searchable legal corpus

How the three PDFs were consolidated The two shorter compendia repeat summaries of AFASA (R.A. 12010), the Cybercrime Prevention Act (R.A. 10175), the FCPA (R.A. 11765), and BSP Circulars 1160, 1213, 1214 and 1215. Those summary sections are not appended again. The main ScamSagot corpus is preserved intact; this short supplement retains only useful cross-law references, scenario mapping and agency notes that add context.

Main searchable corpus preserved in full

Source instrument in the 117-page corpus	Coverage
R.A. 10175 - Cybercrime Prevention Act of 2012	Cybercrime offenses, penalties, investigation powers and jurisdiction.
R.A. 11765 - Financial Products and Services Consumer Protection Act	Financial-consumer rights, provider duties, regulator powers and remedies.
R.A. 12010 - Anti-Financial Account Scamming Act (AFASA)	Money muling, social engineering, economic sabotage, account safeguards, fund holds and enforcement.
BSP Circular 1160	Financial-consumer protection regulations implementing R.A. 11765.
BSP Circular 1213	Information-technology risk management and account-protection controls implementing AFASA.
BSP Circular 1214	Procedure for BSP inquiry into financial accounts and information sharing under AFASA.
BSP Circular 1215	Temporary holding of disputed funds and coordinated verification process.

Related laws mentioned in the shorter compendia

Related law	Additional context retained from the shorter PDFs
R.A. 11934 - SIM Registration Act	SIM identity registration and traceability; the compendia connect it to smishing, spoofing, SIM-related account compromise and e-wallet fraud.
R.A. 8484, as amended by R.A. 11449 - Access Devices Regulation Act	Access-device fraud involving cards, account credentials, PINs and electronic codes; the compendia connect it to skimming and unauthorized credential use.
R.A. 11967 - Internet Transactions Act	Online merchants, e-marketplaces and platform duties; relevant to fake online-seller and e-commerce disputes.
R.A. 10173 - Data Privacy Act	General protection of personal information. The supplied summaries note specific AFASA-related exceptions for coordinated verification and BSP account inquiries.
R.A. 1405 and R.A. 6426 - bank secrecy laws	Confidentiality of peso and foreign-currency deposits, subject to legally defined exceptions described in the AFASA materials.
Act No. 3815 - Revised Penal Code, Article 315 (estafa)	The shorter compendia identify estafa as a possible companion offense in deceit-based seller or payment scams, depending on the facts.

Cross-law scenario guide

Issue-spotting map distilled from the two shorter compendia. It does not determine liability; the facts and statutory elements of each offense still matter.

Incident / modus operandi	Potentially relevant laws or provisions
Selling, renting or lending a bank or e-wallet account	AFASA, Sections 4(a) and 5. Economic sabotage may be relevant if one of the statutory group, victim-count, mass-mailer or trafficking conditions is met.
Phishing, smishing, fake login pages or OTP harvesting	AFASA, Section 4(b); R.A. 10175, Section 4(b)(2)-(3), where computer-related fraud or identity theft elements are present; R.A. 8484 where access-device misuse is involved.
SIM swap or OTP interception	R.A. 11934 and R.A. 8484; AFASA may also be relevant where deception obtains sensitive identifying information and results in unauthorized account access.
Hacking, illegal access, data/system interference or skimming	R.A. 10175, Section 4(a), and potentially R.A. 8484 as amended by R.A. 11449 for access-device fraud.
Unauthorized transfer linked to inadequate institutional safeguards	AFASA, Section 6, and BSP Circular 1213; R.A. 11765 and BSP Circular 1160 provide consumer-protection complaint and redress routes.
Sender entered the wrong account number or amount	The shorter compendium distinguishes sender-encoded errors from disputed transfers covered by Circular 1215 and points to Circular 1160, Section 1003. Check the source rules for the specific case.
Fake online seller or e-commerce merchant	R.A. 11967 and potentially estafa under R.A. 3815, Article 315; R.A. 10175 may also be relevant when computer-related fraud elements are present.

Agencies and oversight bodies

Agency / body	Role described in the supplied compendia
Bangko Sentral ng Pilipinas (BSP)	Supervises banks, e-wallets and payment providers; sets relevant standards and handles escalated financial-consumer concerns.
BSP Consumer Account Protection Office (CAPO)	Conducts the AFASA financial-account inquiry process and handles related information-sharing under Circular 1214.
PNP Anti-Cybercrime Group (PNP-ACG)	Investigates cybercrime and financial-scam complaints.
NBI Cybercrime Division	Investigates cybercrime and financial-scam complaints.
Cybercrime Investigation and Coordinating Center (CICC)	Coordinates national cybercrime policy and inter-agency efforts.
Department of Justice (DOJ)	Prosecution and participation in the statutory cybercrime and AFASA enforcement framework.
Anti-Money Laundering Council (AMLC)	Addresses money-laundering issues relating to proceeds of financial scams.

Provenance and limits The cross-law and agency supplement is distilled from PH_ScammedHelper.pdf (especially pages 5-7) and Philippine Digital Bank & Cyber Scam Laws Compilation (2).pdf (especially pages 2-3). The 117-page ScamSagot corpus follows this supplement in its original page order. The supplied corpus states that it was prepared from extracted source text and is not an official replacement for the cited laws or regulations. No independent legal verification or update check was performed for this consolidation.

The complete source corpus begins on the next page and retains all 117 original pages, including its source-page markers and detailed circular appendices.

Scam-victim response and escalation workflow

Practical procedure distilled from the two shorter supplied compendia, alongside the governing provisions retained in the complete main corpus.

Use in the RAG knowledge base
This page preserves a practical step-by-step workflow that was presented in the shorter reference PDFs. The 117-page corpus remains the primary source for the full statutory and circular provisions.

1	**1. Report the transaction immediately** Contact the bank or e-wallet provider through its 24/7 fraud-reporting channel or hotline. Report the unauthorized or disputed transfer and request a temporary hold under AFASA and BSP Circular 1215. Obtain and keep the case or reference number.
2	**2. Preserve the evidence** Keep electronic receipts, transaction and reference numbers, chat logs, SMS notifications, recipient details, and available IP headers. Preserve the original messages and records in case they are needed for the institution, BSP, or law-enforcement investigation.
3	**3. Submit supporting documents and cooperate** The supplied compendium says the victim should submit a sworn complaint, affidavit, or police report within the five-calendar-day initial holding period to support an extension. Circular 1215 describes an initial hold of up to five days and a possible extension of up to 25 more days, for a maximum of 30 days absent a court extension. Cooperate with coordinated verification and do not submit false or malicious reports (AFASA Sections 8 and 11).
4	**4. Use the financial-consumer complaint route** File an administrative dispute through the institution's consumer-assistance mechanism under R.A. 11765 and BSP Circular 1160. If the concern remains unresolved, the supplied summaries describe escalation to the BSP for mediation or adjudication. AFASA Section 6 may support restitution where the institution failed to meet its required account-protection duties; applicability depends on the facts and governing rules.
5	**5. Report the suspected crime to law enforcement** Submit a complaint-affidavit to the PNP Anti-Cybercrime Group or the NBI Cybercrime Division for investigation under AFASA (R.A. 12010), the Cybercrime Prevention Act (R.A. 10175), and any other applicable laws. The supplied compendium notes that these agencies may seek relevant account information through the BSP Consumer Account Protection Office (CAPO), following BSP Circular 1214.

Quick routing reference

Fund hold and verification	Bank/e-wallet fraud channel → originating and receiving financial institutions (Circular 1215).
Consumer redress	Provider's consumer-assistance mechanism → BSP complaint / mediation / adjudication route, as applicable (R.A. 11765; Circular 1160).
Criminal investigation and account inquiry	PNP-ACG or NBI Cybercrime Division; account inquiry and information-sharing through BSP CAPO under Circular 1214.

Source and limitation: The practical steps above are taken from PH_ScammedHelper.pdf, page 7, and Philippine Digital Bank & Cyber Scam Laws Compilation (2).pdf, page 3. Related statutory and circular text is retained in the main ScamSagot corpus. This is a source-derived summary, not independent legal verification or legal advice; consult the actual applicable rules and the institution or authorities for case-specific requirements.

ScamSagot

ScamSagot Combined Corpus

Searchable retrieval corpus

Source order

- Republic Act No. 10175 - Cybercrime Prevention Act of 2012
- Republic Act No. 11765 - Financial Products and Services Consumer Protection Act
- Republic Act No. 12010 - Anti-Financial Account Scamming Act (AFASA)
- BSP Circular No. 1160 - Regulations on Financial Consumer Protection to Implement Republic Act No. 11765, otherwise known as the “Financial Products and Services Consumer Protection Act”
- BSP Circular No. 1213 - Amendments to Regulations on Information Technology Risk Management to Implement Section 6 of the Anti-Financial Account Scamming Act (AFASA)
- BSP Circular No. 1214 - Rules of Procedure on the Conduct of Inquiry into Financial Accounts and Sharing of Financial Account Information by the Bangko Sentral ng Pilipinas Pursuant to the Anti-Financial Account Scamming Act (AFASA)
- BSP Circular No. 1215 - Regulations on the Temporary Holding of Funds Subject of Disputed Transactions and Coordinated Verification Process

Prepared from the supplied extracted source text. Each source begins on a separate page and retains its source attribution and available source-page markers. This compilation is a retrieval corpus, not an official replacement for the cited laws or regulations.

SOURCE BEGINS: Republic Act No. 10175

Republic Act No. 10175 - Cybercrime Prevention Act of 2012

Source file: extracted_laws/RA10175.txt
Original Act PDF was not present in the supplied source folders.

Fifteenth Congress Second Regular Session

Begun and held in Metro Manila, on Monday, the twenty-fifth day of July, two thousand eleven.

REPUBLIC ACT NO. 10175

AN ACT DEFINING CYBERCRIME, PROVIDING FOR THE PREVENTION, INVESTIGATION, SUPPRESSION AND THE IMPOSITION OF PENALTIES THEREFOR AND FOR OTHER PURPOSES

Be it enacted by the Senate and House of Representatives of the Philippines in Congress assembled:

CHAPTER I PRELIMINARY PROVISIONS

Section 1. Title. This Act shall be known as the "Cybercrime Prevention Act of 2012".

Section 2. Declaration of Policy. The State recognizes the vital role of information and communications industries such as content production, telecommunications, broadcasting electronic commerce, and data processing, in the nations overall social and economic development. The State also recognizes the importance of providing an environment conducive to the development, acceleration, and rational application and exploitation of information and communications technology (ICT) to attain free, easy, and intelligible access to exchange and/or delivery of information; and the need to protect and safeguard the integrity of computer, computer and communications systems, networks, and databases, and the confidentiality, integrity, and availability of information and data stored therein, from all forms of misuse, abuse, and illegal access by making punishable under the law such conduct or conducts. In this light, the State shall adopt sufficient powers to effectively prevent and combat such offenses by facilitating their detection, investigation, and prosecution at both the domestic and international levels, and by providing arrangements for fast and reliable international cooperation.

Section 3. Definition of Terms. For purposes of this Act, the following terms are hereby defined as follows:

(a) Access refers to the instruction, communication with, storing data in, retrieving data from, or otherwise making use of any resources of a computer system or communication network. (b) Alteration refers to the modification or change, in form or substance, of an existing computer data or program. (c) Communication refers to the transmission of information through ICT media, including voice, video and other forms of data. (d) Computer refers to an electronic, magnetic, optical, electrochemical, or other data processing or communications device, or grouping of such devices, capable of performing logical, arithmetic, routing, or storage functions and which includes any storage facility or equipment or communications facility or equipment directly related to or operating in conjunction with such device. It covers any type of computer device including devices with data processing capabilities like mobile phones, smart phones, computer networks and other devices connected to the internet. (e) Computer data refers to any representation of facts, information, or concepts in a form suitable for processing in a computer system including a program suitable to cause a computer system to perform a function and includes electronic documents and/or electronic data messages whether stored in local computer systems or online. (f) Computer program refers to a set of instructions executed by the computer to achieve intended results. (g) Computer system refers to any device or group of interconnected or related devices, one or more of which, pursuant to a program, performs automated processing of data. It covers any type of device with data processing capabilities including, but not limited to, computers and mobile phones. The device consisting of hardware and software may include input, output and storage components which may stand alone or be connected in a network or other similar devices. It also includes computer data storage devices or media. (h) Without right refers to either: (i) conduct undertaken without or in excess of authority; or (ii) conduct not covered by established legal defenses, excuses, court orders, justifications, or relevant principles under the law. (i) Cyber refers to a computer or a computer network, the electronic medium in which online communication takes place. (j) Critical infrastructure refers to the computer systems, and/or networks, whether physical or virtual, and/or the computer programs, computer data and/or traffic data so vital to this country that the incapacity or destruction of or interference with such system and assets would have a debilitating impact on security, national or economic security, national public health and safety, or any combination of those matters.

(k) Cybersecurity refers to the collection of tools, policies, risk management approaches, actions, training, best practices, assurance and technologies that can be used to protect the cyber environment and organization and users assets. (l) Database refers to a representation of information, knowledge, facts, concepts, or instructions which are being prepared, processed or stored or have been prepared, processed or stored in a formalized manner and which are intended for use in a computer system. (m) Interception refers to listening to, recording, monitoring or surveillance of the content of communications, including procuring of the content of data, either directly, through access and use of a computer system or indirectly, through the use of electronic eavesdropping or tapping devices, at the same time that the communication is occurring. (n) Service provider refers to: (1) Any public or private entity that provides to users of its service the ability to communicate by means of a computer system; and (2) Any other entity that processes or stores computer data on behalf of such communication service or users of such service. (o) Subscribers information refers to any information contained in the form of computer data or any other form that is held by a service provider, relating to subscribers of its services other than traffic or content data and by which identity can be established: (1) The type of communication service used, the technical provisions taken thereto and the period of service; (2) The subscribers identity, postal or geographic address, telephone and other access numbers, any assigned network address, billing and payment information, available on the basis of the service agreement or arrangement; and (3) Any other available information on the site of the installation of communication equipment, available on the basis of the service agreement or arrangement. (p) Traffic data or non-content data refers to any computer data other than the content of the communication including, but not limited to, the communications origin, destination, route, time, date, size, duration, or type of underlying service. CHAPTER II PUNISHABLE ACTS

Section 4. Cybercrime Offenses. The following acts constitute the offense of cybercrime punishable under this Act:

(a) Offenses against the confidentiality, integrity and availability of computer data and systems: (1) Illegal Access. The access to the whole or any part of a computer system without right. (2) Illegal Interception. The interception made by technical means without right of any non-public transmission of computer data to, from, or within a computer system including electromagnetic emissions from a computer system carrying such computer data. (3) Data Interference. The intentional or reckless alteration, damaging, deletion or deterioration of computer data, electronic document, or electronic data message, without right, including the introduction or transmission of viruses. (4) System Interference. The intentional alteration or reckless hindering or interference with the functioning of a computer or computer network by inputting, transmitting, damaging, deleting, deteriorating, altering or suppressing computer data or program, electronic document, or electronic data message, without right or authority, including the introduction or transmission of viruses. (5) Misuse of Devices. (i) The use, production, sale, procurement, importation, distribution, or otherwise making available, without right, of: (aa) A device, including a computer program, designed or adapted primarily for the purpose of committing any of the offenses under this Act; or (bb) A computer password, access code, or similar data by which the whole or any part of a computer system is capable of being accessed with intent that it be used for the purpose of committing any of the offenses under this Act. (ii) The possession of an item referred to in paragraphs 5(i)(aa) or (bb) above with intent to use said devices for the purpose of committing any of the offenses under this section. (6) Cyber-squatting. The acquisition of a domain name over the internet in bad faith to profit, mislead, destroy reputation, and deprive others from registering the same, if such a domain name is: (i) Similar, identical, or confusingly similar to an existing trademark registered with the appropriate government agency at the time of the domain name registration: (ii) Identical or in any way similar with the name of a person other than the registrant, in case of a personal name; and (iii) Acquired without right or with intellectual property interests in it. (b) Computer-related Offenses: (1) Computer-related Forgery. (i) The input, alteration, or deletion of any computer data without right resulting in inauthentic data with the intent that it be considered or acted upon for legal purposes as if it were authentic, regardless whether or not the data is directly readable and intelligible; or (ii) The act of knowingly using computer data which is the product of computer-related forgery as defined herein, for the purpose of perpetuating a fraudulent or dishonest design. (2) Computer-related Fraud.

The unauthorized input, alteration, or deletion of computer data or program or interference in the functioning of a computer system, causing damage thereby with fraudulent intent: Provided, That if no damage has yet been caused, the penalty imposable shall be one (1) degree lower. (3) Computer-related Identity Theft. The intentional acquisition, use, misuse, transfer, possession, alteration or deletion of identifying information belonging to another, whether natural or juridical, without right: Provided, That if no damage has yet been caused, the penalty imposable shall be one (1) degree lower. (c) Content-related Offenses: (1) Cybersex. The willful engagement, maintenance, control, or operation, directly or indirectly, of any lascivious exhibition of sexual organs or sexual activity, with the aid of a computer system, for favor or consideration. (2) Child Pornography. The unlawful or prohibited acts defined and punishable by Republic

Act No. 9775 or the Anti-Child Pornography Act of 2009, committed through a computer system: Provided, That the penalty to be imposed shall be (1) one degree higher than that provided for in Republic Act No. 9775. (3) Unsolicited Commercial Communications. The transmission of commercial electronic communication with the use of computer system which seek to advertise, sell, or offer for sale products and services are prohibited unless: (i) There is prior affirmative consent from the recipient; or (ii) The primary intent of the communication is for service and/or administrative announcements from the sender to its existing users, subscribers or customers; or (iii) The following conditions are present: (aa) The commercial electronic communication contains a simple, valid, and reliable way for the recipient to reject. receipt of further commercial electronic messages (opt-out) from the same source; (bb) The commercial electronic communication does not purposely disguise the source of the electronic message; and (cc) The commercial electronic communication does not purposely include misleading information in any part of the message in order to induce the recipients to read the message. (4) Libel. The unlawful or prohibited acts of libel as defined in Article 355 of the Revised Penal Code, as amended, committed through a computer system or any other similar means which may be devised in the future.

Section 5. Other Offenses. The following acts shall also constitute an offense:

(a) Aiding or Abetting in the Commission of Cybercrime. Any person who willfully abets or aids in the commission of any of the offenses enumerated in this Act shall be held liable. (b) Attempt in the Commission of Cybercrime. Any person who willfully attempts to commit any of the offenses enumerated in this Act shall be held liable.

Section 6. All crimes defined and penalized by the Revised Penal Code, as amended, and special laws, if committed by, through and with the use of information and communications technologies shall be covered by the relevant provisions of this Act: Provided, That the penalty to be imposed shall be one (1) degree higher than that provided for by the Revised Penal Code, as amended, and special laws, as the case may be.

Section 7. Liability under Other Laws. A prosecution under this Act shall be without prejudice to any liability for violation of any provision of the Revised Penal Code, as amended, or special laws.

CHAPTER III PENALTIES

Section 8. Penalties. Any person found guilty of any of the punishable acts enumerated in Sections 4(a) and 4(b) of this Act shall be punished with imprisonment of prision mayor or a fine of at least Two hundred thousand pesos (PhP200,000.00) up to a maximum amount commensurate to the damage incurred or both.

Any person found guilty of the punishable act under Section 4(a)(5) shall be punished with imprisonment of prision mayor or a fine of not more than Five hundred thousand pesos (PhP500,000.00) or both.

If punishable acts in Section 4(a) are committed against critical infrastructure, the penalty of reclusion temporal or a fine of at least Five hundred thousand pesos (PhP500,000.00) up to maximum amount commensurate to the damage incurred or both, shall be imposed.

Any person found guilty of any of the punishable acts enumerated in Section 4(c)(1) of this Act shall be punished with imprisonment of prision mayor or a fine of at least Two hundred thousand pesos (PhP200,000.00) but not exceeding One million pesos (PhPl,000,000.00) or both.

Any person found guilty of any of the punishable acts enumerated in Section 4(c)(2) of this Act shall be punished with the penalties as enumerated in Republic Act No. 9775 or the "Anti-Child Pornography Act of 2009″: Provided, That the penalty to be imposed shall be one (1) degree higher than that provided for in Republic Act No. 9775, if committed through a computer system.

Any person found guilty of any of the punishable acts enumerated in Section 4(c)(3) shall be punished with imprisonment of arresto mayor or a fine of at least Fifty thousand pesos (PhP50,000.00) but not exceeding Two hundred fifty thousand pesos (PhP250,000.00) or both.

Any person found guilty of any of the punishable acts enumerated in Section 5 shall be punished with imprisonment one (1) degree lower than that of the prescribed penalty for the offense or a fine of at least One hundred thousand pesos (PhPl00,000.00) but not exceeding Five hundred thousand pesos (PhP500,000.00) or both.

Section 9. Corporate Liability. When any of the punishable acts herein defined are knowingly committed on behalf of or for the benefit of a juridical person, by a natural person acting either individually or as part of an organ of the juridical person, who has a leading position within, based on: (a) a power of representation of the juridical person provided the act committed falls within the scope of such authority; (b) an authority to take decisions on behalf of the juridical person:

Provided, That the act committed falls within the scope of such authority; or (c) an authority to exercise control within the juridical person, the juridical person shall be held liable for a fine equivalent to at least double the fines imposable in Section 7 up to a maximum of Ten million pesos (PhP10,000,000.00).

If the commission of any of the punishable acts herein defined was made possible due to the lack of supervision or control by a natural person referred to and described in the preceding paragraph, for the benefit of that juridical person by a natural person acting under its authority, the juridical person shall be held liable for a fine equivalent to at least double the fines imposable in Section 7 up to a maximum of Five million pesos (PhP5,000,000.00).

The liability imposed on the juridical person shall be without prejudice to the criminal liability of the natural person who has committed the offense.

CHAPTER IV ENFORCEMENT AND IMPLEMENTATION

Section 10. Law Enforcement Authorities. The National Bureau of Investigation (NBI) and the Philippine National Police (PNP) shall be responsible for the efficient and effective law enforcement of the provisions of this Act. The NBI and the PNP shall organize a cybercrime unit or center manned by special investigators to exclusively handle cases involving violations of this Act.

Section 11. Duties of Law Enforcement Authorities. To ensure that the technical nature of cybercrime and its prevention is given focus and considering the procedures involved for international cooperation, law enforcement authorities specifically the computer or technology crime divisions or units responsible for the investigation of cybercrimes are required to submit timely and regular reports including pre-operation, post-operation and investigation results and such other documents as may be required to the Department of Justice (DOJ) for review and monitoring.

Section 12. Real-Time Collection of Traffic Data. Law enforcement authorities, with due cause, shall be authorized to collect or record by technical or electronic means traffic data in real-time associated with specified communications transmitted by means of a computer system.

Traffic data refer only to the communications origin, destination, route, time, date, size, duration, or type of underlying service, but not content, nor identities.

All other data to be collected or seized or disclosed will require a court warrant.

Service providers are required to cooperate and assist law enforcement authorities in the collection or recording of the above-stated information.

The court warrant required under this section shall only be issued or granted upon written application and the examination under oath or affirmation of the applicant and the witnesses he may produce and the showing: (1) that there are reasonable grounds to believe that any of the crimes enumerated hereinabove has been committed, or is being committed, or is about to be committed: (2) that there are reasonable grounds to believe that evidence that will be obtained is essential to the conviction of any person for, or to the solution of, or to the prevention of, any such crimes; and (3) that there are no other means readily available for obtaining such evidence.

Section 13. Preservation of Computer Data. The integrity of traffic data and subscriber information relating to communication services provided by a service provider shall be preserved for a minimum period of six (6) months from the date of the transaction. Content data shall be similarly preserved for six (6) months from the date of receipt of the order from law enforcement authorities requiring its preservation.

Law enforcement authorities may order a one-time extension for another six (6) months: Provided, That once computer data preserved, transmitted or stored by a service provider is used as evidence in a case, the mere furnishing to such service provider of the transmittal document to the Office of the Prosecutor shall be deemed a notification to preserve the computer data until the termination of the case.

The service provider ordered to preserve computer data shall keep confidential the order and its compliance.

Section 14. Disclosure of Computer Data. Law enforcement authorities, upon securing a court warrant, shall issue an order requiring any person or service provider to disclose or submit subscribers information, traffic data or relevant data in his/its possession or control within seventy-two (72) hours from receipt of the order in relation to a valid complaint officially docketed and assigned for investigation and the disclosure is necessary and relevant for the purpose of investigation.

Section 15. Search, Seizure and Examination of Computer Data. Where a search and seizure warrant is properly issued, the law enforcement authorities shall likewise have the following powers and duties.

Within the time period specified in the warrant, to conduct interception, as defined in this Act, and:

(a) To secure a computer system or a computer data storage medium; (b) To make and retain a copy of those computer data secured; (c) To maintain the integrity of the relevant stored computer data; (d) To conduct forensic analysis or examination of the computer data storage medium; and (e) To render inaccessible or remove those computer data in the accessed computer or computer and communications network. Pursuant thereof, the law enforcement authorities may order any person who has knowledge about the functioning of the computer system and the measures to protect and preserve the computer data therein to provide, as is reasonable, the necessary information, to enable the undertaking of the search, seizure and examination.

Law enforcement authorities may request for an extension of time to complete the examination of the computer data storage medium and to make a return thereon but in no case for a period longer than thirty (30) days from date of approval by the court.

Section 16. Custody of Computer Data. All computer data, including content and traffic data, examined under a proper warrant shall, within forty-eight (48) hours after the expiration of the period fixed therein, be deposited with the court in a sealed package, and shall be accompanied by an affidavit of the law enforcement authority executing it stating the dates and times covered by the examination, and the law enforcement authority who may access the deposit, among other relevant data. The law enforcement authority shall also certify that no duplicates or copies of the whole or any part thereof have been made, or if made, that all such duplicates or copies are included in the package deposited with the court. The package so deposited shall not be opened, or the recordings replayed, or used in evidence, or then contents revealed, except upon order of the court, which shall not be granted except upon motion, with due notice and opportunity to be heard to the person or persons whose conversation or communications have been recorded.

Section 17. Destruction of Computer Data. Upon expiration of the periods as provided in Sections 13 and 15, service providers and law enforcement authorities, as the case may be, shall immediately and completely destroy the computer data subject of a preservation and examination.

Section 18. Exclusionary Rule. Any evidence procured without a valid warrant or beyond the authority of the same shall be inadmissible for any proceeding before any court or tribunal.

Section 19. Restricting or Blocking Access to Computer Data. When a computer data is prima facie found to be in violation of the provisions of this Act, the DOJ shall issue an order to restrict or block access to such computer data.

Section 20. Noncompliance. Failure to comply with the provisions of Chapter IV hereof specifically the orders from law enforcement authorities shall be punished as a violation of Presidential Decree No. 1829 with imprisonment of prision correctional in its maximum period or a fine of One hundred thousand pesos (Php100,000.00) or both, for each and every noncompliance with an order issued by law enforcement authorities.

CHAPTER V JURISDICTION

Section 21. Jurisdiction. The Regional Trial Court shall have jurisdiction over any violation of the provisions of this Act. including any violation committed by a Filipino national regardless of the place of commission. Jurisdiction shall lie if any of the elements was committed within the Philippines or committed with the use of any computer system wholly or partly situated in the country, or when by such commission any damage is caused to a natural or juridical person who, at the time the offense was committed, was in the Philippines.

There shall be designated special cybercrime courts manned by specially trained judges to handle cybercrime cases.

CHAPTER VI INTERNATIONAL COOPERATION

Section 22. General Principles Relating to International Cooperation. All relevant international instruments on international cooperation in criminal matters, arrangements agreed on the basis of uniform or reciprocal legislation, and domestic laws, to the widest extent possible for the purposes of investigations or proceedings concerning criminal offenses related to computer systems and data, or for the collection of evidence in electronic form of a criminal, offense shall be given full force and effect.

CHAPTER VII COMPETENT AUTHORITIES

Section 23. Department of Justice (DOJ). There is hereby created an Office of Cybercrime within the DOJ designated as the central authority in all matters related to international mutual assistance and extradition.

Section 24. Cybercrime Investigation and Coordinating Center. There is hereby created, within thirty (30) days from the effectivity of this Act, an inter-agency body to be known as the Cybercrime Investigation and Coordinating Center (CICC), under the administrative supervision of the Office of the President, for policy coordination among concerned agencies and for the formulation and enforcement of the national cybersecurity plan.

Section 25. Composition. The CICC shall be headed by the Executive Director of the Information and Communications Technology Office under the Department of Science and Technology (ICTO-DOST) as Chairperson with the Director of the NBI as Vice Chairperson; the Chief of the PNP; Head of the DOJ Office of Cybercrime; and one (1) representative from the private sector and academe, as members. The CICC shall be manned by a secretariat of selected existing personnel and representatives from the different participating agencies.

Section 26. Powers and Functions. The CICC shall have the following powers and functions:

(a) To formulate a national cybersecurity plan and extend immediate assistance for the suppression of real-time commission of cybercrime offenses through a computer emergency response team (CERT); (b) To coordinate the preparation of appropriate and effective measures to prevent and suppress cybercrime activities as provided for in this Act; (c) To monitor cybercrime cases being bandied by participating law enforcement and prosecution agencies; (d) To facilitate international cooperation on intelligence, investigations, training and capacity building related to cybercrime prevention, suppression and prosecution; (e) To coordinate the support and participation of the business sector, local government units and nongovernment organizations in cybercrime prevention programs and other related projects; (f) To recommend the enactment of appropriate laws, issuances, measures and policies; (g) To call upon any government agency to render assistance in the accomplishment of the CICCs mandated tasks and functions; and (h) To perform all other matters related to cybercrime prevention and suppression, including capacity building and such other functions and duties as may be necessary for the proper implementation of this Act. CHAPTER VIII FINAL PROVISIONS

Section 27. Appropriations. The amount of Fifty million pesos (PhP50,000,000_00) shall be appropriated annually for the implementation of this Act.

Section 28. Implementing Rules and Regulations. The ICTO-DOST, the DOJ and the Department of the Interior and Local Government (DILG) shall jointly formulate the necessary rules and regulations within ninety (90) days from approval of this Act, for its effective implementation.

Section 29. Separability Clause If any provision of this Act is held invalid, the other provisions not affected shall remain in full force and effect.

Section 30. Repealing Clause. All laws, decrees or rules inconsistent with this Act are hereby repealed or modified accordingly. Section 33(a) of Republic Act No. 8792 or the "Electronic Commerce Act" is hereby modified accordingly.

Section 31. Effectivity. This Act shall take effect fifteen (15) days after the completion of its publication in the Official Gazette or in at least two (2) newspapers of general circulation.

Approved,

| (Sgd.) FELICIANO BELMONTE JR. Speaker of the House of Representatives | (Sgd.) JUAN PONCE ENRILE President of the Senate |

This Act which is a consolidation of Senate Bill No. 2796 and House Bill No. 5808 was finally passed by the Senate and the House of Representatives on June 5, 2012 and June 4, 2012, respectively.

| (Sgd.) MARILYN B. BARUA-YAP Secretary General House of Representatives | (Sgd.) EMMA LIRIO-REYES Secretary of Senate |

Approved: SEP 12 2012

(Sgd.) BENIGNO S. AQUINO III President of the Philippines

SOURCE BEGINS: Republic Act No. 11765

Republic Act No. 11765 - Financial Products and Services Consumer Protection Act

Source file: extracted_laws/RA11765.txt
Original Act PDF was not present in the supplied source folders.

Eighteenth Congress Third Regular Session

Begun and held in Metro Manila, on Monday, the twenty-sixth day of July, two thousand twenty one.

[REPUBLIC ACT NO. 11765, May 06, 2022]

AN ACT AFFORDING MORE PROTECTION TO CONSUMERS OF FINANCIAL PRODUCTS AND SERVICES

Be it enacted by the Senate and House of Representatives of the Philippines in Congress assembled:

Section 1. Short Title. -This Act shall be known as the "Financial Products and Services Consumer Protection Act".

Section 2. Declaration of Policy. -It is the policy of the State to ensure that appropriate mechanisms are in place to protect the interest of the consumers of financial products and services under the conditions of transparency, fair and sound market conduct, and fair, reasonable, and effective handling of financial consumer disputes, which are aligned with global best practices. These mechanisms reinforce their confidence in the financial market and foster the stability of the Philippine financial system. Towards this end, the State shall implement measures to protect the following rights of financial consumers:

(a) Right to equitable and fair treatment; (b) Right to disclosure and transparency of financial products and services; (c) Right to protection of consumer assets against fraud and misuse; (d) Right to data privacy and protection; and (e) Right to timely handling and redress of complaints.

Section 3. Definition of Terms. -As used in this Act:

(a)Financial consumerrefers to a person or entity, or their duly appointed representative, who is a purchaser, lessee, recipient, or prospective purchaser, lessee or recipient of financial products or services. It shall also refer to any person, natural or juridical, who had or has current or prospective financial transaction with a financial service provider pertaining to financial products or services; (b)Financial consumer complaintrefers to an expression of dissatisfaction submitted by a financial consumer against a financial service provider relative to a financial product or service in which a response or resolution is expected; (c)Financial product or servicerefers to financial products or services which are developed or marketed by a financial service provider which may include, but are not limited to, savings, deposits, credit, insurance, pre-need and health maintenance organization (HMO) products, securities, investments, payments, remittances and other similar products and services. This also includes digital financial products or services which pertain to the broad range of financial services accessed and delivered through digital channels; (d)Financial regulatorsrefer to the Bangko Sentral ng Pilipinas (BSP), Securities and Exchange Commission (SEC), Insurance Commission (IC), and the Cooperative Development Authority (CDA); (e)Financial service providerrefers to a person, natural or juridical, which provides financial products or services that are under the jurisdiction of financial regulators as defined in this Act. This term shall include Investment Advisers as defined under Section 7 of this Act; (f)Investment fraudrefers to any form if deceptive solicitation of investments from the public. This includes Ponzi schemes and such other schemes involving the promise or offer of profits or returns which are sourced from the investments or contributions made by the investors themselves, boiling room operations, and the offering or selling of investment schemes to the public without a license or permit from the SEC, unless such offering or selling involves exempt securities or are considered as exempt transactions as provided for under existing laws; (g)Market conductrefers to the manner by which a financial service provider designs and delivers its financial products or services and manages its relationships with its clients and the public; (h)Marketingrefers to the act of communicating, offering, promoting, advertising, or delivering of financial products or services by financial service providers; and (i)Responsible pricingrefers to the pricing, terms, and conditions of financial products and/or services that are set in a way that is both affordable to clients and sustainable for financial service providers by taking into account, among others, client needs and the pricing schemes of the competitors

Section 4. Scope and Coverage. -This Act applies to all financial products or services offered or marketed by any financial service provider.

Section 5. Financial Regulators. -The BSP, SEC, and IC shall enforce the provisions of this Act on all financial service providers under their jurisdiction by virtue of their respective charters, special laws and amendments thereto. The CDA shall be considered an implementing govenrment agency of this Act only with respect to cooperative offering financial products or services, such as but not limited to, savings and credit, except insurance cooperatives which shall be under the jurisdiction of the IC, and cooperative banks and other BSP-supervised cooperative financial institutions, which shall be under the jurisdiction of the BSP.

Section 6. Powers of the Financial Regulators. -Financial regulations under this Act shall have the following powers:

(a) Rulemaking. -Financial regulators shall have the authority to formulate their own standard and rules for the application of the provisions of this Act to specific financial products or services within their jurisdiction guided by internationally accepted standards and practices. Financial regulators may also determine reasonableness of interest charges or fees which a financial service provider may demand, collect, or receive for any service or product offered to a financial consumer. Likewise, they may issue their respective rules of procedure concerning administrative actions arising from the implementation of this Act. (b) Market Conduct Surveillance and Examination. -Financial regulators may conduct surveillance and examination, on-site or off-site, on their respective financial service providers, consistent with their respective risk-based supervision policies, to ascertain that the provisions of this Act are complied with. The examination for financial consumer protection compliance may be conducted separately from examination of prudential regulations compliance. The provisions on the conduct of examination and surveillance provided in the respective charters of financial regulators, and pertinent special laws shall be made applicable in the examination and surveillance activities authorized under this Act. The department heads and the examiners of the financial regulators shall be authorized to administer oaths to any director, officer, or employee of the supervised financial service providers subject to the examination of their marker conduct and compliance with this Act, and to compel the presentation of all books, documents, papers, or records in any form necessary in their judgment to ascertain compliance of financial service providers to this Act. The supervised financial service provider shall afford to its respective financial regulator full opportunity to examine its records, and review its systems and procedures, at any time during business hours when requested to do so by the financial regulator. (c) Market Monitoring. -Financial regulators shall have the authority to require their respective supervised financial service providers and their third party agents/service providers to submit reports or documents, as needed. For purposes of market monitoring, the financial regulators may obtain relevant data about financial products, services and markets from other government agencies, which shall be duty-bound to furnish the same. (d) Enforcement. -Financial regulators shall have the authority to impose enforcement actions on their respective supervised financial service providers for noncompliance with this Act and other existing laws pertinent to the jurisdiction and authority of the respective financial regulators.

Such enforcement actions may include the following: (1) Restriction on the ability of the supervised financial service provider to continue to collect excessive or unreasonable interests, fees or charges, including all other interests, fees and charges covered under Republic Act No. 10870, otherwise known as the "Philippine Credit Card Industry Regulation Law"; (2) Disqualification and/or suspension of directors, trustees, officers, or employees of the supervised financial service provider responsible for violations of the provisions of this Act, its implementing rules and regulations (IRR), or orders of the financial regulators; (3) Imposition of fines, suspension, or penalties for any noncompliance with or breach of this Act, its IRR, or the orders of the financial regulators; (4) Issuance of a cease and desist order to the financial service provider without the necessity of a prior hearing if in the financial regulator's judgment, the act or practice, unless restrained, amounts to fraud or a violation of the provisions of this Act and its IRR, or may unjustly cause grave or irreparable injury or prejudice to financial consumers. The financial service provider shall be afforded an opportunity to defend its act or practice in a summary hearing before the financial regulator or its designated body, upon request made by the financial service provider within five (5) calendar days from its receipt of the order. If no such hearing is requested within the said period, the order shall be final. If a hearing is requested by the financial service provider, the proceedings shall be conducted summarily without adhering to the technical rules of evidence, and all issues shall be determined primarily on the basis of records, after which the financial regulator may either reconsider or finalize and execute its order; (5) Suspension of operation of any supervised financial service provider in relation toa particular financial product or service when in the financial regulator's judgment, based on findings, the financial service provider is operating in violation of the provisions of this Act, and its IRR; and (6) In any proceedings in which the financial regulators may impose a penalty for noncompliance with or breach of this Act and other existing laws under their jurisdiction, the financial regulators, in addition to the imposed fine, may enter an order requiring accounting and

disgorgement of profits obtained, or losses avoided, as a result of a violation of this Act and other existing laws, including reasonable interest. The financial regulators are authorized to adopt rules, regulations, and orders concerning the creation and operation of a disgorgement fund, payment to financial consumers, rate of interest, period of accrual, and such other matters as deemed appropriate to implement this provision.

(e) Consumer Redress or Complaints Handling Mechanism. -Financial regulators shall provide efficient and effective consumer redress or complaints handling mechanism such as mediation, conciliation or other modes of alternative dispute resolution to address conflict/dissatisfaction from financial consumers arising from financial products or services. The financial consumer may avail of the mechanism prior to adjudication. (f) Adjudication. -Financial regulators shall have the authority to adjudicate all actions as provided under existing laws. The BSP and SEC shall have the authority to adjudicate actions arising from or in connection with financial transactions that are purely civil in nature, and the claim or relief prayed for by the financial consumer id solely for payment or reimbursement of sum of money not exceeding the amount of Ten million pesos (P10,000,000.00). The decision of the financial regulators in the adjudication shall be final and executory, and may not be restrained or set aside by the court except on petition forcertiorarion the ground of grave abuse of discretion, or lack or excess of jurisdiction of the financial regulators. The petition forcertiorarimay only be filed within ten (10) days from receipt by the aggrieved party of the decision: Provided, That in the case of BSP and SEC, the aggrieved party may file the petition with the Court of Appeals. The adjudicatory power shall be exercised by the Head of the concerned financial regulator or a duly authorized officer or body: Provided, That in the case of BSP and SEC, the decision of the authorized officer or body is not appealable to the Monetary Board or to the Commissionen banc,respectively. The BSP and SEC may order the payment or reimbursement of money which is subject to the action filed before them. In the exercise of their adjudicatory powers, they shall have the power to issuesubpoena duces tecumand summon witnesses to appear in their proceedings and when appropriate, order the examination, search and seizure of all documents, and books of accounts of any entity or person under investigation as may be necessary for the proper disposition of the cases before them. Further, the BSP and SEC shall have the authority to punish for contempt, both directly and indirectly, in accordance with the pertinent provisions of and penalties prescribed by the Rules of Court. (g) Other Powers. -Financial regulators may exercise such other powers as may be provided by their enabling laws or charters as well as those which may be implied from, or which are necessary or incidental to the carrying out of, the express powers granted to the financial regulators to achieve the objectives and purposes of these laws.

Section 7. Investment Adviser. -Investment advisers shall be subject to the provisions of Chapters VII, VIII, X and XIII of Republic Act No. 8799, and the rules and regulations to be issued by the SEC.

The term "investment adviser" shall mean any person who, for compensation, engages in the business of advising others, either directly or through publications or writings, as to the value of investment products or as to the advisability of investing in, purchasing, or selling investment products, or who, for compensation and as part of a regular business, issues or promulgates analyses or reports concerning investment products; but does not include the following:

(a) Trust Department/Unit of Banks; (b) Stand-alone Trust Entities; (c) Lawyer, accountant, engineer, or teacher whose performance of such services is solely incidental to the practice of his profession; (d) Insurance agent whose performance of such services is solely incidental to the practice of his profession; (e) Any investment banker or broker dealer whose performance of such services is solely incidental to the conduct of his business as such investment banker or broker dealer and who receives no special compensation therefor; (f) The publisher of anybona fidenewspaper, news magazine, or business or financial publication of general and regular circulation; and (g) Such other persons as the SEC may designate by rules and regulations, or appropriate order.

Section 8. Duties and Responsibilities of Financial Service Providers. -

(a) Board and Senior Management Oversight. -The Board of Directors and the members of senior management of financial service providers shall ensure conformity with this Act and shall provide the means by which they shall identify, measure, monitor, control, and manage consumer protection risk inherent in their operations, in accordance with the rules and regulations of their financial regulators. (b) Appropriate Product Design and Delivery. -Financial service providers shall continuously evaluate their financial products or services to ensure that they are appropriately targeted to the needs, understanding and capacity of both their markets and their clients. This shall include among others, the following: (1) Affordability and suitability assessments. -Financial service providers should have written procedures for determining whether a particular financial product or service is suitable and affordable for their clients. This shall include the determination of whether or not the amount and terms of the offered financial product or service allow various clients to meet their respective obligations with a low probability of serious hardship, and that there is a reasonable

prospect that the financial product o r service will provide value to its client. For the purpose of extending credit, this assessment will include measures to prevent over-indebtedness. (2) Cooling-off period. -Financial service providers are expected to adopt a clear cooling-off policy, as may be prescribed by law or by rules and regulations issued by the relevant financial regulator upon its determination that a cooling-off period is necessary for a particular financial product or service that is subject to its regulation. Such policy should, among others, provide a cooling-off period that will allow a client to consider the costs and risks of a financial product or service, free from the pressure of the sales team of the financial service provider. The length of the cooling-off period should be individually determined by the financial service providers based on reasonable expectation of the time required for a client to fully evaluate all the terms and risks of the financial product or service and contact concerned parties who may be affected by its terms and conditions, unless a minimum or fixed period is prescribed by the financial regulator for compliance by the financial service provider or when stipulated in the terms of the financial product or service. Financial regulators may opt not to provide for cooling-off period for short-term transaction or contracts. During the cooling-off period, the financial consumer may cancel or return the contract without penalty; however, nothing herein prevents the financial service providers from recovering the processing costs incurred, as may be approved by the financial regulators.

Financial service providers are prohibited from engaging in practices that unreasonably burden the financial consumer in the exercise of the right of cancellation during the cooling-off period. If the financial product or service is a contract of insurance, a pre-need or a health maintenance organization (HMO) product, the right of return cannot be exercised after the financial consumer has made a claim. (3) Pre-payment of loans and other credit accommodations. -A borrower may, at any time prior to the agreed maturity date, prepay a loan or other credit transactions in whole or in part: Provided, That costs or fees charged to the borrower for such pre-payment, if any, shall be disclosed to ensure transparency, disclosure, and responsible pricing as required under this section. (c) Transparency, Disclosure, and responsible Pricing. -Financial service providers must ensure that they adopt disclosure principles in their communications and their contracts with financial consumers, including the use of clear and concise language to ensure that all information concerning the financial product or service is understood by the target clients. This shall also include updated and accurate disclosure of information such as pricing or any cost associated with the product or service, and should be made in a consistent manner to facilitate a comparison between similar financial products or services across the industry. Sufficient product disclosure must be provided before the contracting of the financial product or service to give the client enough basis and time for review. Any change in the terms or conditions of a financial product or service shall be provided to the client. In their advertising materials, financial service providers shall disclose the contact information of their consumer assistance unit providing consumer assistance and handling financial consumer complaints. Financial service providers shall also disclose that they are regulated and the advertising materials must identify the relevant financial regulator. Financial service providers are legally responsible for all statements made in the marketing and sales materials that they produce relative to their financial products or services. Disclosure of information on financial products or services shall be made available to the public by the financial service provider through printed materials, mass media, websites or digital platforms. Financial service providers must have internal policies and procedures for setting prices for their products and services that take into consideration, among others, the principle of responsible pricing.

(d) Fair and Respectful Treatment of Clients. -Financial service providers shall have the right to select their clients: Provided, That they shall not discriminate against clients on the basis of race, age, financial capacity, ethnicity, origin, gender, disability, health condition, sexual orientation, religious affiliation, or political affiliation: Provided, further,That financial service providers may provide distinction, as necessary, when making a risk assessment on a specific financial product or service. Financial Service providers are prohibited from employing abusive collection or debt recovery practices against their financial consumers. (e) Privacy and Protection of Client Data. -Each financial service provider must respect the privacy and protect the data of their clients. Consistent with the provisions of Republic Act No. 10173, otherwise known as the "Data Privacy Act of 2012", the financial regulators shall issue regulations in coordination with the National Privacy Commission, governing the disclosure of client data to a third party. Clients have the right to review their data to ensure that inaccurate or deficient data is corrected or amended, refuse the sharing of their information to a third party and request the removal of their data from the service provider's system if they no longer wish to use the provider's services. (f) Financial Consumer Protection Assistance Mechanism. -Each financial service provider must establish a single consumer assistance mechanism for free assistance to financial consumers on financial transactions concerns. This shall include handling of complaints, inquiries and requests. A financial service provider must provide clear information on the actions taken or to be taken on a complaint, inquiry or request from a financial consumer. In the case of alleged disputed amount or unauthorized transactions, a financial service provider, pending the result of its final investigation report, shall suspend the imposition of interest, fees and charges, or provide similar reasonable

accommodations to the financial consumer. Financial consumers who are unsatisfied with the financial service provider's handling of their complaints, inquiries and requests, may elevate their concerns to the financial regulator which has jurisdiction over the financial service provider concerned. (g) Information Security Standards. -Financial service providers shall adopt and implement information security standards to ensure the safety and protection of the confidentiality, integrity, availability, authenticity, and non-repudiation of the client's information and financial transactions and to ensure the data privacy of their clients. The financial regulators shall prescribe the minimum information security standards for compliance by all financial service providers.

Section 9. Bundling of Products. -When a financial consumer is obliged by the financial service provider to purchase any product, including an insurance policy, as pre-condition for availing a financial product or service, the financial consumer shall have the option to choose the provider of such product subject to reasonable standards set by the financial service provider, and this information shall be made available to the financial consumer.

Section 10. Training. -Staff of financial service providers who deal directly with financial consumers, including those who are involved in financial consumer protection assistance mechanism or cybersecurity, must receive adequate training suitable to the complexity of the financial products or services they offer. Financial service providers must be qualified as appropriate for the complexity of the financial product or service they offer.

Section 11. Investment Fraud. -It shall be unlawful for any person or persons to commit investment fraud as defined in this Act. Any person who commits investment fraud shall be subject to the penalties under Section 73 of Republic Act No. 8799 and the administrative sanctions under Section 16 of this Act.

Section 12. No Waiver of Rights. -No provision of a contract for a financial product or service shall be lawful or enforceable if such provision waives or otherwise deprives a client of a legal right to sue the financial service provider, receive information, have their complaints addressed and resolved, or have their non-public client data protected.

Section 13. Liability of a Financial Service Provider on the Acts or Omission of its Authorized Representatives. -The financial service provider shall be responsible for the acts or omissions of its directors, trustees, officers, employees, or agents in marketing and transacting with financial consumers for its financial products or services. The financial service provider shall be solidarily liable with accredited third-party service providers for their acts or omissions in marketing and transacting, which may include, but not limited to, debt collection, with financial consumers for its financial products and services.

Section 14. Prescription. -All actions or claims accruing under the provision of this Act, and the rules and regulations issued pursuant thereto, shall prescribe after five (5) years from the time the financial consumer transaction was consummated, or after five (5) years from the discovery of deceit or nondisclosure of material facts: Provided, That such actions shall, in any event. prescribe after ten (10) years from the commission of the violation: Provided, further,That for insurance contracts, the prescriptive period for the commencement of action provided under the Insurance Code shall apply.

Section 15. Penalties. -Any persons who willfully violates this Act or the rules, regulations, orders, or instructions issued by the financial regulators to implement this Act, shall be punished by imprisonment of not less than one (1) year, but not more than five (5) years, or by a fine of not less than Fifty thousand pesos (P50,000.00) but not more than Two million pesos (P2,000,000.00), or both, at the discretion of the court: Provided, That if the violation is committed by a corporation or a juridical entity, the directors, officers, employees, or other officers who are directly responsible for such violation shall be held liable thereto.

Section 16. Administrative Sanctions. -Without prejudice to the enforcement actions prescribed under Section 6(d) of this Act and the criminal sanctions provided under Section 15 of this Act, the administrative sanctions of the respective charters of the financial regulators shall be made applicable to a financial service provider, its directors, trustees, officers, employees or agents for violation of this Act or any related rules, regulations, orders or instructions of financial regulators; or to any persons found administrativelt liable for investment fraud: Provided, That for persons found responsible for investment fraud, the SEC may impose a fine of no less than Fifty thousand pesos (P50,000.00) nor more than Ten million pesos (P10,000,000.00) for each instance of investment fraud plus not more than Ten thousand pesos (P10,000.00) for each day of continuing violation in addition to the other administrative sanction under Section 54 of Republic Act No. 8799: Provided, further,That in case profit is gained or loss is avoided as a result of the violation of this Act or investment fraud, a fine not more than three (3) times the profit gained or loss avoided may also be imposed by the financial regulator: Provided, finally,That in addition to the administrative sanctions that may be imposed, the

authority of the financial service provider to operate in relation t a particular financial product or service may be suspended or cancelled by the financial regulator.

Section 17. Independent Civil Action. -A financial regulator, consistent with public interest and protection of financial consumers, is authorized to institute an independent civil action ob behalf of aggrieved financial consumers for violations of this Act and its IRR.

If any of theses proceedings, the financial regulators obtain a civil penalty against any person or entity, or such person or entity agrees to settle such civil penalty, the amount of such civil penalty shall on the motion of the financial regulators, be added to and become part of a disgorgement fund or other fund established for the benefit of the aggrieved financial consumer.

Section 18. Implementing Rules and Regulations. -The financial regulators shall prepare the necessary rules and regulations to implement the provisions of this Act within one (1) year from its effectivity.

Section 19. Separability Clause. -If any provision of this Act is held unconstitutional or invalid, all other provisions not thereby affected shall remain valid.

Section 20. Repealing Clause. -Articles 131 to 147 of Title IV of Republic Act No. 7394 are hereby repealed. All other laws, executive orders, rules and regulations or parts thereof which are inconsistent with this Act are hereby repealed or amended accordingly.

Section 21. Effectivity. -The Act shall take effect fifteen (15) days after its publication in theOfficial Gazetteor in at least two (2) newspapers of general circulation.

Approved,

| (SGD.) LORD ALLAN JAY Q. VELASCO Speaker of the House of Representatives | (SGD.) VICENTE C. SOTTO III President of the Senate |

This Act was passed by the Senate of the Philippines ad Senate Bill No. 2488 on February 2, 2022 and adopted by the House of Representatives as an amendment to House Bill No. 6768 on February 2, 2022.

(SGD.) MARK LLANDRO L. MENDOZA Secretary General House of Representatives	(SGD.) MYRA MARIE D. VILLARICA Secretary of the Senate
(SGD.) MARK LLANDRO L. MENDOZA Secretary General House of Representatives	(SGD.) MYRA MARIE D. VILLARICA Secretary of the Senate

Approved: MAY 06 2022

(SGD.) RODRIGO ROA DUTERTE President of the Philippines

SOURCE BEGINS: Republic Act No. 12010

Republic Act No. 12010 - Anti-Financial Account Scamming Act (AFASA)

Source file: extracted_laws/RA12010.txt
Original Act PDF was not present in the supplied source folders.

[REPUBLIC ACT NO. 12010, July 20, 2024]

AN ACT DEFINING AND PENALIZING FINANCIAL ACCOUNT SCAMMING AND OTHER OFFENSES, AND PROVIDING FOR THE ENFORCEMENT MECHANISMS THEREFOR

Be it enacted by the Senate and House of Representatives of the Philippines in Congress assembled:

Section 1. Short Title. - This Act shall be known as the "Anti-Financial Account Scamming Act (AFASA)".

Section 2. Declaration of Policy. - The State recognize the vital role of banks, non-bank financial institutions, other payment service providers, and the general banking public in promoting and maintaining a stable and efficient financial system. The State also acknowledge that with the increased use of electronic and digital financial services, there is a need to promote awareness on the proper use of Financial Accounts and to protect the public from cybercriminals and criminal syndicates who target Financial Accounts or lure Account Owners into becoming accessories or perpetrators of fraudulent activities. The State shall undertake measures to protect all persons from cybercrime schemes by regulating the use of Financial Accounts and preventing their use in fraudulent activities.

Section 3. Definition of Terms. - As used in this Act:

(a) Account Owner refers to the person to whom a Financial Account belongs or under whose name the account was opened or registered; (b) Electronic communications refers to phone calls, short message service (SMS), social media platform-enabled messages, electronic mail (email), technology-powered instant messaging, and other messages sent via electronic means; (c) Electronic wallet or e-wallet refers to an electronic instrument or device that can store digital value; (d) Financial Account refers to an account used to avail of products or services offered by Institutions such as: (1) An interest or non-interest-bearing deposit, trust, investment, or credit card account; (2) Other transaction account maintained with a bank, non-bank, or financial institution; (3) E-wallet; and (4) Any other account used to avail of financial products or services defined under Section 3(c) of Republic Act No. 11765, or the "Financial Products and Services Consumer Protection Act". (e) Fraud Management Systems (FMS) refer to a comprehensive set of automated and real-time monitoring and detection systems to identify and block disputed, suspicious, or other online transactions; (f) Institutions refers to banks, non-banks, other financial institutions, payments and financial services providers under the jurisdiction of the Bangko Sentral ng Pilipinas (BSP); (g) Mass mailer refers to a services or software used to send electronic communications to an aggregate of fifty (50) or more recipients; (h) Multi-Factor Authentication (MFA) refers to an authentication method that requires two (2) or more verification factors to gain access to a resource; and (i) Sensitive identifying information refers to any information that can be used to access an individual's Financial Accounts such as usernames, passwords, bank account details, credit card, and e-wallet information among other electronic credentials, and other confidential and personal information.

Section 4. Prohibited Acts. - The following acts shall constitute Financial Account scamming under this Act:

(a) Money Muling Activities. - A person performing any of the followings acts for the purpose of obtaining, receiving, depositing, transferring, or withdrawing proceeds that are known to be derived from crimes, offenses, or social engineering schemes shall be considered as a money mule: (1) Using, borrowing or allowing the use of a Financial Account; (2) Opening a Financial Account under a fictitious name or using the identity or identification documents of another; (3) Buying or renting a Financial Account; (4) Selling or lending a Financial Account; or (5) Recruiting, enlisting, contracting, hiring, utilizing, or inducing any person to perform the acts mentioned in items 1 to 4 of this subsection. (b) Social Engineering Schemes. - A social engineering scheme is committed by a person who obtains sensitive identifying information of another person, through deception or fraud, resulting in unauthorized access and control over the person's Financial Account, by performing any of the following acts: (1) Misrepresenting oneself as acting on behalf of an Institution, or making false representations to solicit another person's sensitive identifying information; or (2) Using electronic communications to obtain another person's sensitive identifying information. (c) Economic Sabotage. - The prohibited acts under Section 4(a) and (b) shall be considered as economic sabotage when committed under any of the

following circumstances: (1) By a group of three (3) or more persons conspiring or confederating with one another; (2) Against three (3) or more persons individually or as a group; (3) Using a mass mailer; or (4) Through human trafficking.

Section 5. Other Offenses. - The following shall also constitute as offenses under this Act:

(a) Willfully aiding or abetting in the commission of any of the offenses enumerated under Section 4; (b) Willfully attempting to commit any of the offenses enumerated under Section 4; (c) Opening a Financial Account under a fictitious name or using the identity or identification documents of another; or (d) Buying or selling a Financial Account.

Section 6. Responsibility to Protect Access to Client's Financial Account. - Institutions shall ensure that access to their clients' Financial Account is protected by adequate risk management systems and controls such as MFAs, FMS, and other Account Owner enrollment and verification processes: Provided, That such risk management systems and controls are proportionate and commensurate to the nature, size, and complexity of their operations.

Institutions that are determined by the BSP to be compliant with the requirements of adequate risk management systems and controls shall not be liable for any loss or damage arising from the offenses under Section 4 and 5 of this Act.

Without prejudice to other liabilities under existing laws and consistent with BSP rules and regulations, Institutions shall be liable for restitution of funds to the Account Owners for failure to employ adequate risk management systems and controls, or failure to exercise the highest degree of diligence in preventing loss or damage arising from the offenses under Section 4 and 5. Conviction shall not be a prerequisite to the restitution of funds.

Section 7. Temporary Holding of Funds Subject of a Disputed Transaction. - Institutions shall have the authority to temporarily hold the funds subject of a disputed transaction within the period prescribed by the BSP, which shall not exceed thirty (30) calendar days, unless otherwise extended by a court of competent jurisdiction: Provided, That Institutions shall promptly notify the BSP whenever it temporarily holds the funds subject of a disputed transaction.

A transaction shall be considered disputed if the Institution, based on information obtained from another Institution, a complaint, from an aggrieved party, or a finding under its own FMS, has reasonable ground to believe that such transaction appears to be:

(a) Unusual; (b) Without clear economic purpose; (c) From an unknown or illegal source, or unlawful activity; or (d) Facilitated through social engineering schemes. Where such belief arises from a finding under its won FMS, the Institution shall perform acts as may be legally warranted to preserve the integrity of the Financial Account.

No administrative, criminal, or civil liability shall be imposed, against an Institution or its directors, trustees, officers, and employees for holding funds subject of a disputed transaction when done in accordance with BSP rules and regulations.

The BSP shall issue rules and regulations on: the circumstances under which Institutions are required to exercise such authority to avoid probable fraud; the grounds for, procedure, and period of holding funds; the period wherein the Institutions should notify the BSP whenever it holds funds; the verification and validation process; the release of funds subject of a disputed transaction; and other actions that may be undertaken by the Institutions and Account Owners during the period of temporary holding of funds.

Section 8. Coordinated Verification of a Disputed Transaction. - Upon receipt of a complaint, an information from another Institution, or detection through FMS, the Institutions and Account Owners involved shall initiate a coordinated verification process to validate the disputed transaction, regardless of whether the funds remain in the banking system or not. The provisions of Republic Act No. 1405, as amended; Republic Act No. 6426, or the "Foreign Currency Deposit Act of the Philippines", as amended; Republic Act No. 8367, or the "Revised Non-Stock Savings and Loan Association Act of 1997"; and Republic Act No. 10173, or the "Data Privacy Act of 2012" shall not apply during the coordinated verification process of a disputed transaction.

Section 9. Liability for Failure to Temporarily Hold Funds. - An Institution that fails to temporarily hold funds subject of a disputed transaction, as required under this Act and relevant BSP rules and regulations, shall be liable for loss or damage arising from such failure, including the restitution of the disputed funds to the Account Owner.

Section 10. Liability for Improper Holding of Funds. - Without prejudice to liabilities under existing laws, an Institution that holds funds subject of a disputed transaction beyond the allowable period, or improperly holds funds, as provided in this Act and relevant BSP rules and regulations, shall be subjected to administrative action under Republic Act No. 7653, otherwise known as "The New Central Bank Act", as amended.

Section 11. Malicious Reporting. - Any person who, with malice or in bad faith, reports or files completely unwarranted or false information that results in the temporary holding of funds shall be punished under Section 16(e) of this Act.

Section 12. Investigation and Inquiry into Financial Accounts. - The BSP shall have the authority to investigate and inquire into Financial Accounts which may be involved in the commission of a prohibited act or offense under Sections 4 and 5 hereof. The provisions of Republic Act No. 1405, as amended; Republic Act No. 6426, as amended; Republic Act No. 8367; and Republic Act No. 10173 shall not apply to Financial Accounts subject of BSP's investigation.

Any of the information gathered from the investigation or inquiry of a Financial Account by the BSP pursuant to this section may be used for the enforcement of this Act and in the implementation of relevant provisions of Republic Act No. 11765.

The authority to investigate and inquire into Financial Accounts under this section shall be exercised by a duly authorized officer or body from the BSP.

No court below the Court of Appeals shall have jurisdiction to enjoin the BSP from exercising its authority to investigate and inquire into any Financial Account under this Act.

An Institution, or any of its directors, officers, or employees, shall be held free and harmless from any accountability or liability for any act done in compliance with an order from the BSP for an inquiry or investigation of a Financial Account.

Section 13. Cybercrime Warrants and Related Orders. - Without prejudice to the authority of the cybercrime units of the National Bureau of Investigation (NBI) and the Philippine National Police (PNP), the BSP or its duly authorized officer or body shall have the authority to apply for cybercrime warrants and to issue the orders provided in Chapter IV of Republic Act No. 10175, or the "Cybercrime Prevention Act of 2012", with respect to the electromagnetic communications used in any violation of this Act. The BSP may request the assistance of the NBI and the PNP in the investigation of cases and the enforcement and implementation of cybercrime warrants and related orders for violations of this Act.

Section 14. Sharing of Information of Financial Accounts. - The BSP shall have the authority to issue rules on information-sharing and disclosure with law enforcement and other competent authorities in connection with its inquiry and investigation of Financial Accounts under this Act: Provided, That any information on the Financial Account which may be shared by BSP shall be used solely to investigate and prosecute cases involving violations of Section 4 and 5 of this Act and to implement the relevant provisions of Republic Act No. 11765.

Section 15. Prohibition on the Disclosure of Information of a Financial Account. - Unless otherwise allowed under existing laws, directors, trustees, officers, or employees of an Institution, government officials or employees, or other persons who obtained information on the Financial Account subject of BSP's inquiry or investigation under this Act, shall be prohibited from disclosing such information on the Financial Account for purposes other than those mentioned in Section 12 and 14 hereof.

Section 16. Penalties. - (a) A person found guilty of the prohibited acts under Section 4(a) shall be penalized with imprisonment of not less than six (6) years but not more than eight (8) years, or a fine of at least One hundred thousand pesos (P100,000.00) but not exceeding Five hundred thousand pesos (P500,000.00), or both, at the discretion of the court. In addition, if the prohibited act falls under Section 4(a), items (1) to (4), the court shall also order the closure of the Financial Account involved in the transaction and forfeiture in accordance with Article 45 of the Revised Penal Code, without prejudice to Section 17 of this Act.

(b) A person found guilty of any of the prohibited acts enumerated under Section 4(b) shall be penalized with imprisonment of not less than ten (10) years but not more than twelve (12) years, or a fine of at least Five hundred thousand pesos (P500,000.00) but not exceeding One million pesos (P1,000,000.00), or both, at the discretion of the court: Provided, That the penalty of not less than twelve (12) years but not more than fourteen (14) years of imprisonment, or a fine of at least One million pesos (P1,000,000.00) but not more exceeding Two million pesos (P2,000,000.00), or both, at the discretion of the court, shall be imposed if the target or victim of the acts enumerated in Section 4(b) is a senior citizen at the time the offense was committed. (c) A person found guilty of any of the prohibited acts involving economic sabotage enumerated under Section 4(c) shall be penalized with life imprisonment, or a fine of not less than One million pesos (P1,000,000.00) but not exceeding Five million pesos (P5,000,000.00), or both, at the discretion of the court. (d) A person found guilty of other offenses enumerated in Section 5 shall be penalized with imprisonment of not less four (4) years but not more than six (6) years, or a fine of at least One hundred thousand pesos (P100,000.00) but not exceeding Two hundred thousand pesos (P200,000.00), or both, at the discretion of the

court. In addition, if the prohibited act falls under Section 5(c) or (d), the court shall also order the closure of the Financial Account. (e) A person found guilty of reporting or filing completely unwarranted or false information that resulted in the temporary holding of funds under Section 11 shall be penalized with imprisonment of not less than one (1) year but not more than five (5) years, or a fine of not less than Fifty thousand pesos (P50,000.00) but not exceeding Two hundred thousand pesos (P200,000.00), or both, at the discretion of the court. (f) A person found guilty of knowingly or willfully obstructing, impending, frustrating, or delaying the inquiry and investigation of the BSP as provided under Section 12 shall be penalized with imprisonment of not less than one (1) year but not more than five (5) years, or a fine of not less than Fifty thousand pesos (P50,000.00) but not exceeding Two hundred thousand pesos (P200,000.00), or both, at the discretion of the court. (g) An official, employee, or agent of an Institution, the govenrment, or any person who obtained information on the Financial Account subject of BSP's inquiry or investigation who shall commit the prohibited act under Section 15 shall be penalized with imprisonment of not less than one (1) year but not more than five (5) years, or a fine of not less than Fifty thousand pesos (P50,000.00) but not exceeding Two hundred thousand pesos (P200,000.00), or both, at the discretion of the court.

(h) When an offender is a juridical person, the fine to be imposed shall be double the amount of the corresponding penalty but shall not exceed Ten million pesos (P10,000,000.00). The liability imposed on the juridical person shall be without prejudice to the criminal liability of the responsible officer who committed the prohibited acts or other offenses under this Act. (i) A government official or employee who shall be found guilty of the acts or offenses under Sections 4 and 5 shall, in addition to the penalties prescribed under this section, suffer perpetual absolute disqualification from holding any appointive or elective position in the government, or in any agency, entity, or instrumentality thereof.

Section 17. Civil Liability in Case of Conviction. - A conviction for violation of this Act shall carry with it civil liability, which may include restitution for the damage done in favor of the aggrieved party of any unwarranted benefit derived from such violation.

Independent of a criminal case, all properties, tools, instruments and/or any other non-liquid assets used for the commission of the acts prohibited in Sections 4 and 5 of this Act shall be subject to civil forfeiture, upon finding of probable cause, in accordance with rules of procedure to be formulated by the Supreme Court: Provided, That in cases of economic sabotage as defined in Section 4(c), the rules shall include a summary procedure for the release of a portion of such assets during the pendency of the proceedings, for operational support and victim protection, including victims of human trafficking involved in the commission of prohibited acts and other offenses in this Act.

Section 18. Administrative Sanctions. - Without prejudice to the criminal and civil liabilities prescribed under this Act, the administrative sanctions specified in Republic Act No. 7653, as amended, shall be imposed upon the Institution, its directors, officers, trustees, employees, or agents, for violation of this Act or any related rules, regulations, orders or instructions of the BSP.

Section 19. Criminal Liability Under Other Laws. - Prosecution under this Act shall be without prejudice to prosecution for any violation of the Revised Penal Code, as amended, or special laws such as Republic Act No. 8484, or the "Access Devices Regulation Act of 1998", as amended; Republic Act No. 9160, or the "Anti-Money Laundering Act of 2001", as amended; and Republic Act No. 10175.

Section 20. Immunity of Trafficked Persons from Criminal Liability. - Victims of trafficking in persons as defined under Republic Act No. 9208, or the "Anti-Trafficking in Persons Act of 2003", as amended, shall be free from criminal liability for acts committed as a direct result of being trafficked. Conviction under Republic Act No. 9208, as amended, shall not be a prerequisite to this defense, and it shall be sufficient to show clear and convincing evidence of circumstances under prevailing manuals, guidelines, and similar instruments on victim identification issued by the Inter-Agency Council Against Trafficking (IACAT).

Section 21. Jurisdiction. - The Regional Trial Court shall have jurisdiction over any violation of the province of this Act. Jurisdiction shall ie if any of the elements was committed within the Philippines or committed with the use of any device, tool, equipment, computer system or infrastructure, wholly or partly situated in the country, or when by such commission, damage is caused to a natural or juridical person who was in the Philippines at the time the offense was committed or whose Financial Account is maintained with an Institution operating in the Philippines.

Section 22. General Principles Relating to International Cooperation. - To the widest extent possible, all relevant instruments on international cooperation in criminal matters and arrangements agreed on the basis of reciprocal legislation and domestic laws, shall be given full force and effect for the purposes of investigations or proceedings

concerning criminal offenses related to computer systems and data, or for the collection of evidence in the electronic form.

Section 23. Implementing Rules and Regulations. - Within one (1) year from the effectivity of this Act, the BSP, in coordination with the DOJ, the Department of Information and Communications Technology (DICT), the NBI, the PNP, the Cybercrime Investigation and Coordination Center (CICC), and the Anti-Money Laundering Council (AMLC), and upon consultation with relevant stakeholders, shall promulgate the rules and regulations to effectively implement the provisions of this Act.

A cooperative mechanism shall be established among the Institutions, the BSP, concerned government agencies and the private sector, to ensure the effective enforcement of the provisions and the prosecution of cases under this Act.

Section 24. Separability Clause. - If any provision of this Act is declared invalid or unconstitutional, the remainder thereof not otherwise affected shall remain in full force and effect.

Section 25. Repealing Clause. - All laws, presidential decrees, executive orders, letters of instructions, proclamations, or administrative regulations that are inconsistent with the provisions of this Act are hereby repealed, amended, or modified accordingly.

Section 26. Effectivity. - This Act shall take effect after fifteen (15) days following its publication in the Official Gazette or in a national newspaper of general circulation.

Approved,

| | (SGD.) FRANCIS "CHIZ" G. ESCUDERO President of the Senate | (SGD.) FERDINAND MARTIN G. ROMUALDEZ Speaker of the House of Representatives |

This Act was passed by the Senate of the Philippines as Senate Bill No. 2560 on May 20, 2024 and adopted by the House of Representatives as an amendment to House Bill No. 7393 on May 22, 2024.

| (SGD.) REGINALD S. VELASCO Secretary General House of Representatives | (SGD.) RENATO N. BANTUG, JR. Secretary of the Senate |

Approved: JUL 20 2024

(SGD.) FERDINAND ROMUALDEZ MARCOS JR. President of the Philippines

SOURCE BEGINS: BSP Circular No. 1160

BSP Circular No. 1160 - Regulations on Financial Consumer Protection to Implement Republic Act No. 11765, otherwise known as the “Financial Products and Services Consumer Protection Act”

Source file: extracted_bsp/1160_ocr.txt
Comparison file: bsp_docs/1160.pdf

Source page 1

BANGKO SENTRAL NG PILIPINAS

OFFICE OF THE GOVERNOR

CIRCULAR NO. 1160
Series of 2022

Subject: Regulations on Financial Consumer Protection to Implement Republic Act No. 11765, otherwise known as the “Financial Products and Services Consumer Protection Act”

‘The Monetary Board, in its Resolution No. 1683 dated 17 November 2022, approved the adoption of the Amended Regulations and Guidelines on Financial Consumer Protection (FCP) Framework to implement Republic Act No. 11765 or the Financial Products and Services Consumer Protection Act (FCPA), and accordingly approved the amendments of the relevant provisions of the Manual of Regulations for Banks (MORB) and Manual of Regulations for Non-Bank Financial Institutions (MORNBFI).

Section 1. Part Ten of the MORB/MORNBFI are hereby amended in its entirety and shall now read, as follows:

PART TEN

FINANCIAL CONSUMER PROTECTION REGULATIONS
1001/1001-Q FINANCIAL CONSUMER PROTECTION FRAMEWORK (FRAMEWORK)

Policy Statement. It is the policy of the Bangko Sentral to ensure that appropriate mechanisms are in place to protect the interest of consumers of financial products and services under the conditions of transparency, fair and sound market conduct and effective handling of Financial Consumer disputes, aligned with global best practices. Towards this end, in line with its responsibility under Section 3 of Republic Act (R.A.) No. 7653 as amended, to promote broad and convenient access to high quality financial services and consider the interest of the general public, the Bangko Sentral adopts the Framework to implement R.A. No. 11765 otherwise known as the Financial Products and Services Consumer Protection Act or FCPA. The Framework shall implement measures to protect the following rights of Financial

Consumers:
a. Right to equitable and fair treatment;
b. Right to disclosure and transparency of financial products and services;
c. Right to protection of consumer assets against fraud and misuse;
d. Right to data privacy and protection; and
e. Right to timely handling and redress of complaints

The Framework establishes the guidelines and expectations from Bangko Sentral-Supervised Institutions (BSIs) to institutionalize consumer protection as an

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integral component of corporate governance and culture as well as risk management. The objective of the Framework is for BSis to manage risks and potential harms to Financial Consumers, prevent unfair business practices, achieve fair and beneficial consumer outcomes and empower Financial Consumers to make better and informed financial decisions. These mechanisms reinforce confidence in the financial market and foster the stability of the Philippine financial system.

Scope and Applicability. The Framework shall apply to all financial products or services created, developed, offered or marketed by a BSI. The BSIs' adoption of the Framework shall be proportionate to their asset size, structure, nature of products and services, and complexity of operations.

Definition of Terms. As used in this Framework, the following terms shall mean:

a.

Bangko Sentral-Supervised Institution (BS!) - refers to a person, natural or juridical, that provides financial products or services under the jurisdiction of the Bangko Sentral, as provided in existing laws, rules and regulations.

Electronic Fund Transfer (EFT} - refers to transfers of funds between two accounts in the same or different BSIs which are initiated and received using electronic devices and channels to transmit instructions. For purposes of the FCPA and its Implementing Rules and Regulations (IRR), this term is synonymous to electronic payment and includes remittance transactions.

Erroneous Transaction - refers to EFTs sent to an incorrect beneficiary account due to erroneous encoding of beneficiary account number and/or amount by the sender.

Financial Consumer or Client - refers to a person or entity, or their duly-authorized representative, who is a purchaser, lessee, recipient or prospective purchaser, lessee, or recipient of financial products or services of BSIs. It shall also refer to any person, natural or juridical who had or has a current or prospective financial transaction with a BSI pertaining to its financial products or services.

Financial Consumer Complaint - refers to an expression of dissatisfaction submitted by a Financial Consumer against a BSI about a financial product or service of a BSI and/or its authorized third-party agent or representative, in which a response or resolution is expected.

Financial Product or Service - refers to financial products or services created, developed and/or marketed by a BSI. These include, but are not limited to deposits, investments, fund transfers, trust products, loans, payments, remittances and digital financial products or services which pertain to the broad range of financial services accessed and delivered through digital channels. These include products that are authorized to be cross-sold by BSIs.

Marketing - refers to the act of communicating, offering, promoting, advertising, or delivering of financial products or services by BSIs.

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Originating Financial Institution (OF!) - refers to a BSI that sends EFTs to another BSI. It holds the source account.

Privacy Impact Assessment - refers to an instrument for assessing the potential impacts on privacy of a process, information system, program, software module, device or other initiative which processes personal information; and in consultation with stakeholders, for taking actions as necessary to treat privacy risk.

Product Governance - refers to the systems, procedures and controls in place to design, approve, distribute and assess financial products.

Public Notice - refers to a notice providing information for the public that is Widespread throughout all types of media.

Receiving Financial Institution (RFI) - refers to a BSI that accepts EFTs from an OFI. It holds the beneficiary account.

Responsible Pricing - refers to the pricing, terms, and conditions of financial products or services that are set in a way that is both affordable to Clients and sustainable for BSIs by taking into account, among others, Client needs, the pricing schemes of competitors and publicly available information on competitive pricing which conforms to existing laws, rules and regulations.

Statement of Account or Billing Statement - refers to the periodic statement provided to the accountholder, which contains a listing of the transactions, purchases, payments and other debits or credits on the account, and the balance within the billing cycie or prescribed period.

Third-Party Agent or Representative - refers to a qualified service provider duly-authorized and/or contracted by the BSI to perform designated activities on its behalf, in accordance with existing Bangko Sentral regulations.

Unauthorized Transaction - refers to any transaction initiated by any person without the actual or imputed knowledge and consent of the account owner or holder.

Vulnerable - refers to the poor and/or transient poor, children, women, persons with disabilities (PWDs), indigenous peoples, overseas Filipinos and their families, and older persons. Persons who face economic risks such as low and irregular incomes, financial and economic crises or risks brought about by environmental and natural hazards, and governance and political risks are also deemed vulnerable.

Source page 4

1002/1002-Q DUTIES OF BSIs AND AUTHORIZED THIRD PARTIES

Consumer Protection Risk Management System (CPRMS). A BSI should have a CPRMS that is integrated into the BSI's enterprise-wide risk management processes and risk governance framework. The CPRMS includes the governance structure, policies, processes, measurement and control procedures to ensure that Financial Consumer protection-related risks are identified, measured, monitored, and mitigated. A carefully devised, implemented, and monitored CPRMS provides the foundation for ensuring the BSI’s adherence to Consumer Protection Standards of Conduct (Standards) in reference to Sec. 1003/1003-Q of this Circular and compliance with the FCPA and relevant laws, rules and regulations, thereby, ensuring that identified risks to the BSI and associated risks of financial harm or loss to Financial Consumers are properly managed.

The CPRMS and Financial Consumer Protection Assistance Mechanism (FCPAM), in reference to Sec. 1003/1003-Q of this Circular should ensure systematic application of policies and procedures, including the Standards.

Board and Senior Management Oversight. The Board of Directors (Board) and the members of Senior Management of BSIs shall provide the means by which they shall identify, measure, monitor, and mitigate Financial Consumer Protection (FCP) risks inherent in their operations, in accordance with: the Standards and all other applicable laws, rules and regulations.

a. Responsibilities of the Board. The Board! shall be primarily responsible for approving and overseeing the implementation of the BSI's CPRMS. The Board's responsibilities shall include the following:

(1) Approve the CPRMS and FCPAM that take into consideration the BSI's business model, market, product lines, and relationships with third parties that may give rise to risks to Financial Consumers;

(2) Promote a culture of ethical behavior and ensure adherence to the Standards and all relevant laws and regulations;

(3) Provide adequate resources and adopt policies to effectively implement training and competency requirements for officers and personnel, authorized representatives or any other party acting on behalf of the BSI;

(4) Approve a policy on remuneration and compensation packages structured to encourage responsible business conduct, fair treatment and avoidance/mitigation of conflicts of interest; and performance review which includes provisions for incentives on positive reviews/assessment that could also serve as basis for renewal of contract of third-party service providers;

(5) Approve product oversight and governance mechanisms designed to ensure that financial products or services meet the needs of

' If there is no Board of Directors, the equivalent highest-ranking body or officer (if a single individual) is required to discharge
these requirements. Likewise, the next highest body or officer will be the equivalent of Senior Management.

Source page 5

Financial Consumers in target markets or market segments, as well as universal products which are simple to access so as not to exclude vulnerable groups;

Adopt a policy on the imposition of any fees and/or charges of the BSI's financial product or service which shall include among others, the basis and quantitative support for the setting of the fees/charges and rationalization of the fee structure or amount;

Approve and periodically review a Code of Conduct applicabie to all BSI directors, officers, staff and third-party agents. The Board shall define the BSI's corporate culture and values. It shall establish standards of conduct and ethics and shall institutionalize a system that will allow reporting of concerns or violations to an appropriate body; and

Review periodically the implementation and effectiveness of the CPRMS, including how findings are reported and whether the audit

mechanisms are in place to enable adequate oversight; and put in place a regular mechanism to review the relevance of the CPRMS in case of changes in the BSI’s business model and/or operating environment.

Responsibilities of Senior Management. The Senior Management shall be responsible for ensuring that the practices of the BSI and their third-party agents/representatives are aligned with the BSI’s approved FCP policies and risk management system; and consistently displayed throughout the BSI's place of business particularly across all business units that deal directly with Financial Consumers. In this regard, the Senior Management

shall:

(1)

Ensure that approved CPRMS and FCPAM policies and procedures are clearly documented and appropriately implemented across all levels and business units. This includes the responsibility of identifying the officer which will head the internal complaints handling unit or handle the implementation and regular reporting of consumer-related issues to the Board;

Establish an effective monitoring and management information system to promptly identify, regularly measure, aggregate, and analyze FCP-related issues to determine the level of Financial Consumer risks. An appropriate and clear reporting and escalation mechanism should also be integrated in the risk governance framework from any area of the BSI to Senior Management and/or from Senior Management to the Board. The management information system should be able to:

(a) Provide adequate information on the performance and quality of the BSI’s FCPAM and other internal processes that can provide relevant information that allows for identification of emerging Financial Consumer issues and root cause analysis;

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(bo) Determine the level of FCP risk exposure through assessment of its implementation of the Standards;

(c) Identify and monitor, in a timely manner, risks that may result in financial loss of Financial Consumers or result to consumer detriment. Financial Consumer complaints, data from consumer redress mechanisms and reports of fraud are key indicators to monitor such risks; and

(d) Identify and assess emerging or increasing FCP-related risks that affect the BSI’s Financial Consumers such as social engineering schemes, social media monitoring and market monitoring;

(3) | Ascertain that weaknesses in the FCP practices or emerging risks are addressed and corrective actions are taken in a timely manner,

(4) Ensure observance of expectations and requirements prescribed under relevant regulations on compliance and internal audit; and

(5) Ensure that adequate information and actions taken are reported to the Board on a regular basis in terms of the measurement of FCP-related risks, reports from the FCPAM, compliance with the Standards and requirements, as well as other material FCP-related developments that will impact the BSI's Financial Consumers. This includes the responsibility to put in place an effective system where reporting lines are established to promptly detect, analyze, and respond to Financial Consumer concerns and serious infractions.

1003/1003-Q CONSUMER PROTECTION STANDARDS OF CONDUCT

The Standards are the core principles which BSIs must adhere to at all times in dealing with Financial Consumers, which should be embedded in the BSIs' conduct and culture. These are specific parameters used to gauge the efficiency of a BSI's CPRMS and FCPAM, modelled after international best practices. The Standards are:

Disclosure and Transparency;

Protection of Client Information;

Fair Treatment;

Effective Recourse; and

Protection of Consumer Assets against Fraud and Misuse

229070

Disclosure and Transparency' - Under this Standard, BSIs must ensure that their Financial Consumers have a reasonable comprehensive understanding of the financial products and services which they may be acquiring or availing. In this context, full disclosure and utmost transparency, to the extent allowed under applicable laws and regulations, are the critical elements that empower the Financial Consumer to

* This Section should be read in conjunction with existing regulations related to disclosure and transparency of key information on loan and investment products and services, regulations on the conduct of treasury and trust activities of BSIs
and regulations governing fees on retail bank product/services and dormant deposit accounts.

make comparisons and informed financial decisions. This is made possible by providing the Financial Consumer, through its verified communication channels in traditional and digital platforms, information that accurately represents the nature and structure of the product or service, its terms and conditions, as well as its fundamental benefits and risks.

The standards for disclosure and transparency shall be applicable even to financial products and services offered electronically, as well as to financial products catering to different market segments with particular consideration for segments that may have limited financial literacy.

The BSI demonstrates adherence to appropriate and adequate disclosure and transparency when:

a. The manner of disclosure, whether in advertising materials, terms and conditions, and other forms of communication, is clear, concise, accurate, understandable and not misleading.

b. Sufficient product disclosure must be provided before the contracting of the financial product or service to give the Client enough basis and time for review. At the pre-contractual stage, information on the type and amount

of fees, charges and interests, as well as the standard terms and conditions, must be made available to the Client through various kinds of communication channels, including all digital channels. Disclosure of information on financial products or services should be available to the public through printed materials, mass media, websites or digital platforms. For digital financial products and services, the manner of disclosure should be easily accessible, especially where the terms and conditions tend to be deeply embedded and hard to access without scrolling or clicking through multiple screens.

Information should be disclosed and properly documented before and during a sale of a financial product or service and during key stages of the relationship with the Financial Consumer. BSIs must provide the most up-to-date information at the stages that information will be most useful for their Client. This requirement includes information provided in advertisements during the pre-contractual stage, at the point of entering a contract and during the term of the contract. The terms and conditions must clearly state whether interest, fees, charges, and penalties can change over time. Clients should also be effectively notified of any changes or amendments to the terms and conditions at least sixty (60) days prior to such amendments by public notice, unless the amendments are directed by the Bangko Sentral to take effect immediately or unless otherwise provided in existing laws, rules and regulations.

Complementary individual notices to a Client shall also be sent within the same period if the amendments pertain to or will result to fees to be paid or charged on the account of the Client. The method for computing said interest, fees, charges, and penalties shall be disclosed consistent with existing laws, rules regulations. Clients may be allowed to pre-terminate the contract on the financial products or services availed if they do not agree with the significant amendments to the terms and conditions as

Source page 8

initiated by the BSI, or if they fail to receive any proper notice on the changes in terms and conditions.

c. Terms and conditions must contain all significant provisions of the financial product or service giving prominence to key features/facts. The terms and conditions should contain the following details and possess these characteristics:

(1) Information on risks, return, caveat about the financial product or service, any waiver of rights and limitations of liabilities except the rights mentioned under Section 12 of the FCPA, after-sales service, Financial Consumers' rights and responsibilities, consequences of failure to meet obligations, rights and responsibilities of the BSI, involvement of authorized agents, any conflict of interest by BSI staff, cancellation and product portability, among others.

(2) The above minimum required disclosures shall always be in writing or available by electronic means. They shail follow a standard format and written in plain language to provide the Financial Consumers key information and disclosures that will facilitate better understanding and comparison among the products offered by different BSis.

A BSI shall require its Client to sign the written or electronic disclosure statement as affirmation of the Client's receipt and understanding of the disclosure statement. A BSI may use any methodology or procedure that allows the Client to indicate the intention of authenticating, approving, or accepting an electronic document, consistent with R.A. No. 8792 or the Electronic Commerce Act of 2000, and other relevant laws, rules, and issuances of the Bangko Sentral. A BSI may opt to draft an individual or separate disclosure statement for its Client or incorporate the same in the

main transaction agreement/contract.*

(3) For more complex products, such as but not limited to investment products, the key features as well as costs and risks shall be highlighted in a key facts statement or Product Highlight Sheet (PHS). The PHS shall enable comparison with other financial products and shall be provided at no additional cost. Before the signing of any contract, the BSI should ensure that the Financial Consumer has freely signed a statement to the effect that said Financial Consumer has duly received, read, and understood the PHS.

d. Advertising materials shall not be false, misleading, or contain deceptive statements or omit key information that may materially and/or adversely affect the decision of the Financial Consumer to avail or acquire a financial product or service. BSIs are legally responsible for all statements made in

2 This provision should be read in conjunction with existing regulations on product-specific minimum disclosures under Sec.
612/612-Q of the MORB/MORNBFI on Sales and Marketing Guidelines for Financial Products and Sec. 306 of the MORB on
the requirements for Truth in Lending Act (TILA).

Source page 9

the marketing and sales materials that they produce relative to their financial products or services.*

e. In their advertising materials, BSIs shall disclose the contact information of their FCPAM or appropriate internal consumer assistance unit handling Financial Consumer concerns or complaints. BSIs shall also disclose that they are regulated, and the advertising materials must identify the Bangko Sentral as financial regulator.

The terms and conditions, public notices and other communications to Clients must contain the following:

(1) Contact information of the BSI's FCPAM or appropriate internal consumer assistance unit handling Financial Consumer complaints or concerns; and

(2) Statement that the BSI is a regulated entity by the Bangko Sentral and Bangko Sentral’s contact information.

£. | Communication of the BSI officers, staff, authorized agents or any other party acting on the BSI’s behalf is conducted in such a manner that Clients can understand the terms of the contract and their rights and obligations. Client segments that may have financial literacy limitations or subject to certain disabilities or infirmities preventing them from reading or

understanding a proposed written contract should be given a clear verbal explanation of the terms and conditions, as well as its features, risks and costs, In a language they can understand.

g. Adequate time is given to Financial Consumers to review, ask questions and receive information to fully understand the terms and conditions prior to signing the contract or agreement or executing the transaction. BSIs should ensure that documents signed by the Financial Consumer are completely-filled out and have no blank terms provided, that the Financial Consumer is not precluded from readily availing of the BSI's financial product or service and accepting the BSI's terms and conditions, signing the contract or agreement, or executing the transaction upon his/her sole discretion. The Financial Consumer should be given a copy of each of the documents he/she signed including, but not limited to the contract, with all terms and conditions and/or proof of the transaction, whether printed or in electronic copy, at the option of the Financial Consumer, or in the manner or channel through which the product or service was accessed, immediately after the contract or agreement was executed or transaction was completed.

h. Statements of Account or Billing Statements are provided regularly in a convenient manner to the Financial Consumer, or through the channel through which the product was sold, commensurate to the type of product and terms. The statement must bear an official seal and/or include the letterhead of the BSI. In general, statements for transaction

* This provision should be read in conjunction with the Sales and Marketing Guidelines for Financial Products under Sec.
612/612-Q of the MORB/MORNEFI as well as Appendix 86/Q-49 of the MORB/MORNBEFI on the basic standards on the
administration of trust accounts.

Source page 10

accounts, including loan accounts, with regard to the period covered, and

depending on the type of product, should include the following information:

(1) the opening and closing balances;

(2) any transactions made during the period, such as but not limited to deposit, withdrawal, fund transfer, investment, remittance and/or payment;

(3) the merchant or counterpart of each transaction, if any;

(4) details of the interest rate applied to the account, if any;

(5) details of the fees, exchange rate and other charges incurred by the customer in each transaction, if any; and

(6) any changes applied to the interest rates, charges or fees, if any.

The frequency with which statements are provided should be commensurate with the type of service and its term, to allow Clients to become aware of any unauthorized transactions.

Upon culmination or termination of the contract or agreement, BSIs are required to immediately provide the Financial Consumer with a written or electronic

notice, certification or other closing statement, without need of written or verbal demand.

Responsible pricing. BSIs should establish and follow internal policies and procedures for setting prices for their products and services, based on, among others, the principle of responsible pricing. Pricing procedures and documentation should provide the rationale for why and how prices have been set.

Pricing procedures must consider publicly available information on competitive pricing, except in special instances of tailor-fit and/or pioneering products and/or services, the cost to provide the financial product or service and affordability to Clients, and the reasons for setting the price of each financial product or service must be duly-documented.

The BSI's pricing mechanism or policy shall adhere to existing laws, rules and regulations of the Bangko Sentral. BSIs may also opt to have their product governance mechanism assess whether algorithms that influence or determine pricing may be unfairly biased toward certain groups of people, especially vulnerable segments.

Fair treatment. BSIs shall have the right to select their Clients: Provided, that they shall not discriminate against Clients on the basis of race, age, financial capacity, ethnicity, origin, gender, disability, health condition, sexual orientation, religious affiliation and practice, or political affiliation: Provided, further, that BSIs may provide distinction, as necessary, when making a risk assessment on a specific financial product or service.

This Standard ensures that Financial Consumers are treated fairly, honestly, and professionally at all stages of its relationship with the BSI. BSIs shall adopt mechanisms to safeguard the interest of their Clients, which shall include rules regarding ethical

Source page 11

staff behavior, acceptable selling practices, fair and equitable terms and conditions, provision of products and services appropriate to the capacity and risk appetite of Financial Consumers, among others; and incorporate the same in their policies and procedures, control functions and agreements with outsourced third parties.

The BSI demonstrates the Standard of fair treatment towards Financial Consumers if its policies and practices observe the following:

a. Terms and conditions are not unfair when there is no significant imbalance in the parties' rights and obligations under the contract, to the detriment of the Financial Consumer.

Except where expressly permitted by law, in any agreement with a Financial Consumer, a term should be deemed as unfair if it exempts or absolves a BSI from acting with skill, care, diligence, or professionalism toward the Financial Consumer in connection with the provision of any product or service, and/or any liability for failing to do so. Ambiguities in contractual terms and conditions should be construed in favor of the Financial Consumer.

A term and/or condition is deemed unfair when it includes, but is not limited to, the following circumstances:

(1) it amends the terms of the contract without adequate notice and/or without specifying the circumstances in which this may occur and/or

does not provide a right of termination when such amendment occurs;

(2) it renews a fixed term contract without reasonable notice or conversely, terminates an open — ended contract without adequate notice to the Financial Consumer;

(3) it permits the BSI to unilaterally determine whether the contract has been breached or imposes an unreasonable penalty for a breach of the contract;

(4) it binds the Financial Consumers to other terms that the Financial Consumers cannot realistically familiarize themselves with before the contract is executed; or

(5) it permits the BSI to assign the contract to the detriment of the Financial Consumers without their consent.

b. BSIIs are prohibited from employing abusive collection or debt recovery practices against Financial Consumers. BSIs or their collection agencies, counsels and other third-party agents may resort to all reasonable and legally permissible means to collect amounts due them. However, in doing so, they must observe good faith and reasonable conduct and refrain from

engaging in unscrupulous or untoward acts.”

5 This provision should be read in conjunction with existing regulations on Management Contracts and Outsourcing in Sec.
112/N1-Q, Appendices 78/Q-65 and 103/Q-36 of MORB/MORNBEFI; and on debt recovery or collection practices such as Sec.
301/301-Q and Sec. 312 of the MORB/MORNBEFI.

Source page 12

BSIs shall adhere to existing Bangko Sentral guidelines on outsourcing, as well as relevant laws, rules and regulations. BSIs shall ensure that all data being handled, processed, and/or stored through an outsourcing arrangement are included in its data inventory and data classification process. To this end, BSIIs shall retain exclusive ownership of its Client records and data already referred to its collection agencies, counsels and other authorized third-party agents. BSI’s external collection agencies, counsels or other authorized third-party agents are indispensable parties in complaints involving unfair collection practices.

The BSI staff and authorized third-party agents or representatives must treat Financial Consumers with professional competence and ina manner that is fair and reasonable.

The BSI shall:

(1) Establish a Code of Conduct applicable to all BSI directors, officers, staff and third-party agents, setting forth the organizational values and standards of professional conduct that uphold protection of Financial Consumers, appropriate to its structure, operations, and risk profile.

(2) Align its recruitment and training policies around professional, fair and responsible treatment of clients, compliance with FCP requirements, and mitigation of consumer risks, for instance:

(a) BSI staff and third party-agents or representatives must receive adequate training suitable for the complexity of the financial products or services they sell to ensure understanding of their key features, risks, terms and costs, relevant FCP standards and requirements, including statutory and regulatory requirements and related internal policies and procedures that might impact their Financial Consumers, including those pertaining to consumer risks arising from cybersecurity and/or digital financial products and services. Aside from trainings for frontline service personnel, trainings shall also be made available to compliance and internal audit officers and staff.

(bo) BSI staff, as well as authorized third-party agents or representatives contracted for sales and marketing purposes, do not use deceptive or high pressure/aggressive sales techniques and should not force clients to sign contracts or rush into a financial deal without the benefit of shopping around.

(c) BSI staff involved in collections, as well as authorized third-party agents or representatives contracted for the purpose, receive training in acceptable debt collection practices and loan recovery procedures, consistent with existing relevant regulations.

Source page 13

(d) BSI staff, as well as authorized third-party agents or representatives, do not employ practices that discriminate or take advantage of difficulties faced by vulnerable groups.

(e) Establish policies and procedures that aim to protect Financial Consumers' deposits and other assets, against internal or external fraud or misuse.

Ensure that the performance evaluation, remuneration structure and compensation practices for staff of BSI and authorized third-party agents or representatives encourage responsible business conduct, fair treatment and avoidance/mitigation of conflicts of interest.

Have in place mechanisms to manage and resolve actual conflicts of interest with respect to compensation or remuneration policies that arise in the interaction between their staff and agents and their Financial Consumers and potential Clients. This is demonstrated when the staff or authorized agent:

(a) Discloses properly to the Financial Consumer prior to the execution of the transaction that the BSI or its staff/agent has an interest in a direct/cross transaction with a Financial Consumer.

(b) Discloses the limited availability of products to Financial Consumers when the BSI only recommends products which are issued by their related companies, subsidiaries or affiliates, particularly when commissions or rebates are the primary

basis for recommending the particular product to Financial Consumers.

(c) Discloses the basis on which the BSI is remunerated at the pre-contractual stage.

(da) Ensures that adequate systems and controls are in place to promptly identify issues and matters that may be detrimental to a Client's interest, for instance: cases in which advice may have been given merely to meet sales targets or may be driven by financial or other incentives.

Develop and adopt a risk-focused screening process for its pre-employment or background screening based on factors like the position to be filled, responsibilities associated with such position, reputational and FCP risk implications. Such process may, among others, involve:

(a} Inclusion of ethical behavior, professional conduct, and quality

of interaction with Financial Consumers as part of staff performance evaluations.

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Source page 14

Conduct of appropriate due diligence before selecting the authorized agents/outsourced parties, taking into account the agents' integrity, professionalism, financial soundness, operational capability and capacity, compatibility with the BSI's corporate culture, and ability to implement controls to monitor the agents' performance on a continuous basis. The criteria for selection of authorized agents/outsourced parties should include the presence of an established mechanism to

address Clients' complaints against an authorized agent/representative.

Liability of a BSI on the acts or omissions of its authorized agents and representatives. The BSI shall be responsible for the acts or omissions of its directors, trustees, officers, employees, or agents, in offering, marketing and transacting with Financial Consumers for its financial products or services.

The BSI shall be solidarily-liable with the accredited or authorized agents, representatives or third-party service providers for their acts or omissions in marketing and transacting, which may include, but not limited to debt collection, with Financial - Consumers for its financial products or services.

Privacy and protection of client data.* BSIis must ensure that they adhere to the general data privacy principles of transparency, legitimate purpose and proportionality under R.A. No. 10173 or the Data Privacy Act of 2012 and its IRRs. The principles include having well-articulated privacy notices and policies, specifying and declaring the purpose/s for processing and criteria being relied on as the lawful basis for processing Client data, ensuring that the processing is necessary and not excessive in relation to the purpose, and implementing reasonable and appropriate information security measures and well-defined protocols for upholding data subject rights, among others.

Procedures in handling the personal information of the Financial Consumers should be periodically evaluated. This should be an end-to-end process that should

cover, among others, the array of information that will be pre-identified and collected, the purpose and manner of gathering each information, and the Information Technology (IT)-security infrastructure of the BSIs. Protocols for processing and

‘ disclosure shall be strictly observed and implemented both within the BSI and to third parties in accordance with the Data Privacy Act, its IRR and other applicable rules and regulations on data privacy.

Provided, that, the criteria for lawful processing of information and protocol for storage, destruction, disclosure, both within the BSI and to third parties, are in accordance with the Data Privacy Act and other applicable laws, rules and regulations.

Protection of Client Information. Under this consumer protection standard on client information, Financial Consumers have the right to expect implementation of the most appropriate safeguards ensuring the confidentiality, integrity, and

© This Section should be read in conjunction with existing regulations on IT Risk Management System and applicable laws,

rules and regulations on data privacy.

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availability of their financial transactions, as well as expect that all relevant personal information lawfully disclosed in the course of a transaction, are kept confidential and are secured.

The BSI demonstrates the ability to protect Financial Consumers’ information when, among other things, it is able to:

a. Have a declared and published privacy policy to safeguard its Financial Consumers’ personal information. This policy should govern the collection, processing, use, distribution, storage, and eventual disposal of Client information, and the identification of levels of permissible access to Clients’ data for BSIs’ employees and their third-party service providers. BSIs should ensure that privacy policies and sanctions for

' violations are implemented and strictly enforced. BSis shall ensure the accessibility of their external privacy notice on their website and other official communication channels and digital platforms.

b. Ensure that privacy policies are regularly observed, periodically reviewed and updated, and communicated throughout the organization. Privacy policies shall be subject to regular review to ensure that these are attuned to the current processing activities, taking into account the use of new technologies and changes in the pertinent standards and/or legal requirements, where applicable.

Cc. Have appropriate systems or risk mitigation measures in place to protect the confidentiality and security of the personal data of its Financial Consumers against any threat or hazard to the security or integrity of the information, and against unauthorized access. This includes a detailed written security plan, based on the results of the Privacy Impact Assessment (PIA) conducted to identify risks in the processing of personal data. Such plan must also include a system for responding to possible security vulnerabilities and/or breaches. The plan must be proportionate to their asset size, structure, nature of products and services, complexity of operations and sensitivity of Financial Consumer information that they handle. These security measures should be

regularly evaluated, monitored, and updated by BSIs to ensure effectiveness.

d. Adopt and implement information security standards and privacy by design principles to ensure the safety and protection of the privacy, confidentiality, integrity, availability, authenticity and non-repudiation of Clients' information and financial transactions. End-to-end security protocols, such as but not limited to encryptions and/or security-by-default, between Clients and the internal systems of the BSI should be implemented. In addition to existing applicable regulations, the Bangko Sentral may prescribe additional minimum information security standards for compliance by BSIs. This may include network and software design, as well as information processing, database storage, transmission, retrieval, and disposal. Security must be maintained throughout the life-cycle of Financial Consumers' information, from data acquisition to disposal. BSIs should have clear policies and procedures on data breaches including mechanisms to address external threats and

internal threats, including those coming from BSI personnel or agents that unlawfully access Client data.

e. Subject to the provisions of existing laws, rules and regulations on data privacy, communicate to its Financial Consumers the extent of personal information to be used and purpose for which they are to be processed, the recipients to whom they are or may be disclosed, and the period for Which they will be stored. Financial Consumers shall be given an opportunity to retract or cancel their consent, for purposes other than those that are governed by existing laws, rules and regulations.

f. Give Financial Consumers opportunity to exercise all their rights as data subjects by implementing mechanisms which enable the free exercise of the same through procedures which are clear, simple, straightforward, and convenient. Data subjects' rights include the right to be informed, right to access their information, right to object, right to rectification or to challenge the inaccuracy and completeness of the information, and right to have their information amended or corrected as appropriate, right to request for deletion or blocking, right to file a complaint, and right to data portability. Clients have the right to review their own data to ensure that inaccuracies or deficiencies are corrected or amended, refuse the sharing of their information to a third party, and request the removal of their data from the BSI's system if they wish to be excluded from receiving advertisements and other notifications, or they no longer wish to use the BSI's services, subject to certain limitations. This is 'without prejudice to compliance with existing laws, rules and regulations on data retention. BSIs must provide Financial Consumers with information on how they may request to be deleted from the BSI's database, or to be excluded from receiving advertisements and other notifications.

g. Notify Financial Consumers, as soon as practicable, when privacy breaches occur, that may leave their data vulnerable; and provide means for Financial Consumers to prevent and respond to privacy breaches. -BSIs must ensure that when data is shared across authorized parties, the data is transferred securely and used in a manner consistent with their

privacy policy and relevant rules and regulations. BSIs must provide clear policies and procedures on addressing data breaches, from discovery of breaches or detection of security incidents, its evaluation and investigation, documentation, notification to affected Financial Consumers, compensation to Financial Consumers, and compliance with the reportorial requirements of regulatory bodies, including the National Privacy Commission.

Effective Recourse. Under this Standard, Financial Consumers should be provided with accessible, independent, fair, accountable, timely, and efficient means for resolving concerns, inquiries and requests about their financial transactions. BSIs

‘ should have in place mechanisms for complaint handling and redress and may employ various modalities or technological innovations for complaints handling.

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Financial Consumer Protection Assistance Mechanism (FCPAM). Each BSI must establish a single FCPAM, commensurate to the size, structure, nature of products and services, and complexity of operations, to provide free assistance to Financial Consumers on their concerns about the BSI's financial products, services and/or transactions. This shall include handling of complaints, inquiries and requests.

The BSI''s FCPAM is a first-level recourse mechanism for Financial Consumers who are dissatisfied with the financial product or service of a BSI or its third-party agent or representative. Financial Consumers are first required to report their complaints,

. inquiries or requests, through the FCPAM of the concerned BSI. As the first-level recourse, BSIs shall adopt simplified requirements and procedures for the availment of their FCPAM by Financial Consumers. The complaints-handling process of each BSI, including the turn-around time (TAT), must be proportionate to their asset size, structure, nature of products and services and complexity of operations. Each BSI shall provide in detail the steps necessary to complete the complaints-handling process, including a flow chart indicating the end-to-end process, with the TAT for each step. BSIs shall ensure adequate manpower and resources to carry out the FCPAM. Each BSI shall also provide Financial. Consumers with information on the status and final resolution of their

- complaints, inquiries or requests.

Financial Consumers who are dissatisfied with the BSI’s handling of their complaints, inquiries or requests, may escalate their concerns with the Bangko Sentral Consumer Assistance Mechanism (CAM). Reporting the concern with the BSI’s FCPAM is a condition precedent to the filing of a complaint to initiate the Bangko Sentral CAM.

A BSI! shall:

a. Establish an effective internal complaints-handling unit or FCPAM designed to receive, record, evaluate, resolve, monitor and report consumer complaints, concerns, inquiries or requests to be implemented by a designated officer, unit, group or department, commensurate to the size, structure, nature of products and services, and complexity of operations, ensuring that there is no conflict of interest.

b. Establish, maintain and implement formalized, written internal policies and processes, procedures and practices for reasonable and prompt handling of consumer concerns. This includes clear policies on investigation, resolution and restitution of complaints.

Cc. Make available multiple channels or platforms for lodging complaints, inquiries and requests; taking into consideration Financial Consumer needs to be served; and put in place a dedicated helpdesk or hotline for the said purpose. Channels or platforms shall be functional, accessible and efficient. The complaints handling service should be free of charge to Financial Consumers, and enable a complaint to be submitted via oral, written or digital formats.

A simple and easy-to-use guide about the procedures should be made available to Financial Consumers, either on request or when they want to make a complaint. The procedures should be accessible and be made available to clients via website, social media, marketing materials in printed or digital form.

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d. Ensure that channels or platforms for submitting complaints are adapted to Financial Consumer needs (ie. level of literacy, accessibility) and local specifications (i.e. language or dialect). Channels used to submit complaints can include telephone, fax, email, complaint/suggestion boxes, web presence, mobile phone apps, and in person. To the extent possible and employing a proportionate approach, BSIs should make available a toll-free number, free-response SMS texting or free data for apps or live-chat to encourage access. A dedicated 24/7 customer-care telephone line, especially for fraud-related concerns should be put in place.

For BSIs with simple'? operations, Clients may submit their complaint tickets through email and/or other messaging modes provided that the same are addressed or attended to by the BSI within 24 hours.

e. Maintain a management information system for the complaints from Financial Consumers that allows for consolidation, comparison and analysis on a regular basis, including investigating whether complaints indicate an isolated issue or a more widespread issue for Financial Consumers. This analysis and reports of Financial Consumer complaints must have clear reporting and escalation structure within the BSI's risk governance framework and covered in its CPRMS. The complaints reports shall be submitted to Bangko Sentral in accordance with relevant regulations.

f. Obtain the Financial Consumers' consent to share personal information and details of their complaints, evidenced by written, electronic or recorded means, subject to requirements under the FCP Framework, the Data Privacy Act and its IRR, and other relevant rules and regulations on data privacy, personal information processing, and rights of data subjects, among others.

For Financial Consumers from vulnerable groups who might not be able to give informed consent, BSIs shall ensure reasonable accommodations for their easy access to the FCPAM.

Protection of Consumer Assets Against Fraud and Misuse. To mitigate the risks of fraud and misuse faced by Financial Consumers, BSIs, to the extent allowed by existing laws, rules and regulations, must provide necessary assistance, including the

'provision of relevant information relating to fraudulent or unauthorized transactions. Further, BSIs must provide clear information on the actions taken or to be taken ona

complaint, inquiry or request from a Financial Consumer involving fraudulent or unauthorized: transactions. BSIs shall adequately inform Financial Consumers of their responsibilities, as users of financial products and services, and provide timely transaction notifications which are essential in curtailing and detecting fraudulent or unauthorized transactions.

7 Simple BSIs pertain to those that are not classified as complex Banks/Non-Bank Financial Institutions as defined in Sec. 131
of MORB/ Sec. 133-Q of MORNBFI.

Source page 19

Claims assessment and investigation. A BSI should evaluate any claim made

by any accountholder in relation to any disputed transaction for purposes of resolving

- the claim or assessing the parties' liability in accordance with the FCP Framework, and other existing laws, rules and regulations.

BSIs should resolve a claim in a fair and reasonable manner. The claim resolution process should also be communicated to the accountholder in a timely and transparent manner.

Fraud-related concerns should be given utmost priority and should be resolved within a reasonable time commensurate to the complexity of the circumstances.

Reporting Channels. BSIs should provide its Clients with a free and active reporting channel/s which may consist of a manned phone line, -mobile number online portal, email, chatbot, instant messaging, or other closely-monitored communication channels which should be available on a 24/7 basis.

Any Financial Consumer who contacts the reporting channel should receive an _immediate written acknowledgement through the same channel.

Unauthorized Transactions.' Concerns or disputes about fund transfers or alleged unauthorized transactions shall be filed with the Originating Financial Institution (OFI). The OFI is primarily responsible for providing assistance and redress to its Clients.

Upon receipt of fund transfer disputes or alleged unauthorized transactions,

the OF! shall immediately inform and provide relevant details to the Receiving Financial

. Institution (RFI). OF!s and RFIs should then implement the following, pending the result of the investigation of the dispute or allegation:

a. Suspend the imposition of interest, fees or charges, if applicable;

b. Hold the disputed funds, if still intact, in compliance with BSI policies, existing Bangko Sentral rules and regulations, or industry conventions;

Cc. Provide reasonable accommodations to the Financial Consumer, such as a non-withdrawable provisional credit of the disputed amount or temporary hold of the disputed amount within a given period as determined by the BSI; and

d. Perform such other necessary actions to protect the Financial Consumer's interest and/or assets, such as but not limited to, account blocking or freezing of funds.

Within three (3) banking days from the conclusion of the investigation, the BSI must inform the Client formally of the result. The information should include, among

others, a notification of debiting the provisionally-credited amount if there is sufficient proof that no unauthorized or erroneous transaction occurred.

If after the investigation, the disputed transaction is found to be an unauthorized or fraudulent transaction, the BSI should immediately:

8 These guidelines should be read in conjunction with existing regulations on IT Risk Management System, Standards and
Guidelines, BSP Circular 1140, Series of 2022 and regulations on National Retail Payments Systems, and other relevant rules
and regulations.

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Source page 20

a. Correct or reverse the transaction found to be unauthorized or fraudulent, including any related interest, charges and fees imposed thereon; and/or

b. Make permanent the provisionally-credited amount, if any.

Subject to proportionality principle, BSIs should implement fraud test - mechanisms or measures Under their CPRMS to distinguish fraudulent from legitimate transactions.

Liability for losses arising from unauthorized transactions. |In determining liability for losses, BSIs may consider, among others, the following factors:

a. Actions of the accountholder before, during and after the unauthorized transaction,

b. Acts or omissions of the BSI, its employees, third-party agent, outsourced entity or service provider acting on behalf of the the BSI; and/or

Cc. Non-compliance by the BSI, its employees, agents or service providers, with any requirement under the FCP Framework and other existing rules and regulations applicable to the BSI’s provision of any financial product or service; and/or

Erroneous Transactions. |In case an accountholder transfers funds to a payee “account other than the intended recipient account, he/she should immediately report the error to the OF! with the following details:

Name, contact number, and other credentials of the payor;
Account from which the payment was made;

Payee account details;

Transaction amount; and

Transaction date and time.

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In case the OFI and RFI involved in an erroneous transaction are different BSIs, the OFI must immediately inform the RFI. Both the OFI and RFI should make r2asonable efforts to recover the sum sent in errorin accordance with existing regulations and industry conventions.

1004/1004-Q APPROPRIATE DESIGN AND DELIVERY OF FINANCIAL PRODUCTS AND SERVICES

As far as practicable, BSIs are expected to ensure that their financial products or services are adequately aligned with the Financial Consumers' needs, goals, understanding and financial capabilities. BSIs shall gather consumer insights and/or analytics on consumer behavior, characteristics and constraints to properly identify a target market, design and deliver or distribute their financial products and services accordingly, with attention to the needs of vulnerable segments.

BSIs shall put in place internal product oversight and governance arrangements - designed to ensure that their financial products and services meet the needs o* Financial Consumers in their target markets. Clearly articulated policies, decision-making

Source page 21

processes, roles and responsibilities of Senior Management and all relevant functional units involved in product design and distribution must be set in place.

. Following any product launch, the BSIs together with third-party distributors and other key stakeholders, may be required to periodically review the product design and related disclosure materials. BSI's product development, review or evaluation, distribution, and after sales process shall continuously take into consideration possible risks to Financial Consumers, evolving and sophisticated technology platforms and delivery channels.

BSIs are expected to exercise control over the features and innovations of their

digital financial products and services, including those developed in collaboration or

- partnership with third party service providers. BSIs must not take advantage of Clients' inexperience and inability to access and use such digital financial services.

BSis shall implement the following measures:

a. Affordability and suitability assessments - BSIIs should have written procedures for determining whether a particular financial product or service is suitable and affordable for their Clients. This shall include the determination of whether the amount and terms of the offered financial product or service allow various Clients to meet their respective obligations with a low probability of a serious hardship, and that there is a reasonable prospect that the financial product or service will provide value to the Client. -For the purpose of extending credit, this assessment should include measures to prevent over-indebtedness. ?

When making a recommendation to a Financial Consumer:

(1) BSIs that will conduct suitability assessment should inform their Clients, clearly and simply, about the suitability assessment, its purpose, and the BSI's responsibility to conduct the assessment under relevant regulations so that Clients understand why they are asked to provide certain information. BSIs should encourage Clients to provide accurate and_ sufficient information about their knowledge, experience, financial situation, financial capability, ability to bear losses, investment objectives, and risk tolerance.

(2) BSIs should offer products or services that are in line with the risk profile and/or preferences of their Clients. The BSIs should allow Clients to choose from a range of available products and services that are most suitable to their needs, requirements or preferences. This may

include preferences on payment dates, loyalties or average balances. BSIs should provide sufficient and accurate information to enable their Clients to select the most suitable and affordable product or service.”

(3) BSis should advise their Clients that in case of incomplete information or misrepresentations made in the suitability assessments, the BSI is

° This provision should be read in conjunction with Section 612 of the MORB on sales and marketing guidelines of financial
products specifically on client suitability guidelines.

0 This provision should be read in conjunction with existing regulations on debt recovery or collection practices such as Sec.
301/301-Q and Sec. 312 of the MORB and MORNBEFI.

Source page 22

not in a position to accurately determine whether the product or service is appropriate for them. This advice may be provided in a standardized format. If the requested products do not match a Client’s risk tolerance assessment results, the BS! should draw attention to the risk mismatch and provide a disclosure of consequences, either in digital or written format, for acceptance by the Client.

Product bundling. When bundling products and services, BSIs should also take into consideration product suitability and should not unduly limit consumer choice.

When Financial Consumers are required by a BSI to purchase a product, such as a checking account or an insurance policy, as a precondition for receiving a loan, they should be free to choose the provider of the secondary product, subject to reasonable standards set by the BSI, which shall be disclosed and made available to their Clients.

Information regarding the bundled product and the right of choice should be made known to Clients during the shopping and pre-contractual phases. The BSI should not sway or pressure its Clients toward a particular provider on the basis of its own commercial agreement with that provider. When a choice among different providers for the secondary product is unavailable, the BSI shall not be prohibited from offering the bundled products, but all key features, including the identity of the provider of the secondary product, should be fully-disclosed to the Client.

BSIs should offer product bundles with market-based pricing. BSIs must focus on accelerating their digitization strategies to better understand customer preferences and behavior and offer personalized, relevant, flexible and intuitive bundled product offers.

Cooling-off period - BSIs must set in place a cooling-off policy for specific products and services, based on the BSI’s assessment of the reasonable time that allows a Client to consider the costs and risks of a financial product or service, free from pressure of the BSI sales team and/or its third-party agents and service providers. Financial Consumers shall be allowed to terminate, withdraw or return the product/service contract anytime within the cooling-off period immediately following the execution of any agreement or contract entered into for the availment of any such product or service covered by mandatory cooling-off period.

Provided that such a policy includes a mandatory cooling-off period of a minimum of two (2) banking days for products and services that are marketed, offered or sold in retail to Financial Consumers who are: (1) individuals, regardless of income, or (2) Micro or Small Enterprises, as defined in applicable Department of Trade and Industry (DTI) regulations, and which possess any of the following characteristics:

{a) Areconsumer credit and retail banking products sold to or entered into by the above Financial Consumers for the first time, such as but not limited to credit cards; loans; pawning; trust products and other financial instruments;

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(b) Are marketed, offered or sold via remote means and/or subjected to high-pressure sales or marketing;

(c) Are governed by contracts with a term or duration of more than one (1) year; or

(d) Have other features that may be specified by the Bangko Sentral:

Provided, further, That, in the case of bancassurance, the mandatory cooling-off period prescribed by the Insurance Commission on the insurance product being sold, shall apply.

in their cooling-off policy, BSIs may specify products and services that have a cooling-off period of more than the minimum requirement of two (2) banking days, up to a maximum of 15 banking days, following the principle that the more complex and long-term the product or service is, the longer the cooling-off period should be.

Products and services with any of the following features are exempt from the cooling-off period:

(il) Products and services marketed, offered or sold to a BSI’s corporate clients, and medium-sized enterprises, as defined in applicable DTI regulations;

(2) Financial instruments with a remaining term of less than one (1) year;

(3) Financial instruments with aggregate investment size of P500,000 and above;

{4) Securities "traded" or “to be traded”: or

{5) Short-term and one-off transactions, such as but not limited to foreign currency exchange, remittances, fund transfers, or payments and similar transactional products/services.

In cases when a Financial Consumer withdraws or returns a product/service contract, the BSI must refund or return to the Financial Consumer the amounts paid or invested, including documents submitted, without undue delay and within a maximum period of fifteen (15) banking days after receipt of notice to withdraw or return. The BS! may charge and withhold from the refund due to the Financial Consumer, the fees or charges that are not greater than the actual or reasonable approximation of costs incurred by the BSI.

Further, the BSI should provide the Financial Consumers with clear and comprehensible information at pre-contractual and contracting stages regarding the availability of cooling-off rights, the period within which these rights can be exercised, practical instructions on how they may be exercised, the amounts of charges or fees which may be required if exercising them, and the consequences of not exercising them. BSIs must provide Financial Consumers with appropriate, easily accessible means or channels to communicate their exercise of cooling-off rights.

Prepayment of loans and other credit accommodations - BSIs shall allow a borrower, at any time prior to the agreed maturity date, to prepay in whole or in part, the unpaid balances of a loan or other credit transactions; Provided, That costs or fees charged to the borrower for such pre-payment,

Source page 24

if any, shall be disclosed in accordance with the Standard of Transparency and Disclosure, and responsible pricing principles, as required under this Section, and subject to such reasonable terms and conditions as may be agreed upon between the BSIIs and the borrower. Disclosure must be given before the contract is signed, at the time of contract signing, and during the life of the contract.

BSIs may charge reasonable administrative costs for the early payment of fixed and variable interest rate loans.

. Further, for fixed rate loans, BSIs may separately charge costs to recover losses based on the difference between the annual percentage rate and the current market rate.

For loans with variable interest rate, BSIs are not permitted to charge foregone future interest.

A BSI should be able to show how it calculated or determined the amount of prepayment charges, consistent with the relevant restrictions under this Framework. - The BSI would need to take into account factors such as the amount being prepaid, the remaining term of the loan, the fixed interest rate (or rates, if multiple rates apply), and the current relevant market rates.

1005/1005-Q ENFORCEMENT AND ADMINISTRATIVE SANCTIONS

Enforcement. Consistent with Sec. 002/002-Q of the MORB/MORNBEFI, the * Bangko Sentral shall have the authority to impose enforcement actions on BSIs for non-compliance with the FCP Framework, and other existing rules and regulations on FCP.

In addition to the enforcement actions under Sec. 002/002-Q of the MORB/MORNEEFI, the Bangko Sentral may also exercise the powers provided under Section 6(d)} of the FCPA:

a. Restriction on the ability of the BSI to continue to collect excessive or

, unreasonable interests, fees or charges, including other interests, fees and charges that are covered under Republic Act No. 10870, otherwise known as the “Philippine Credit Card Industry Regulation Law,”

b. Disgorgement. In any proceeding in which the Bangko Sentral may impose a penalty for non-compliance with or breach of the FCPA, its IRR and other existing laws, rules, regulations the Bangko Sentral may, in addition to imposing a fine, enter an order requiring accounting and disgorgement of profits obtained, or losses avoided, as a result of a violation of the FCPA, its

IRR and other existing laws, rules, and regulations under its jurisdiction, including reasonable interest. The Bangko Sentral shall adopt guidelines concerning the creation and operation of a disgorgement fund, payments to Financial Consumers, rate of interest, period of accrual, and such other matters as it deems appropriate to implement this provision.

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Source page 25

Administrative Sanctions. Without prejudice to the enforcement actions prescribed under FCPA Section 6 (d) and the criminal sanctions provided under FCPA Section 15, the administrative sanctions under RA No. 7653, as amended, shall be made applicable to the BSI, its directors, trustees, officers, employees or agents for violation of the FCPA, its IRR and any related rules, regulations, orders or instructions of the Bangko Sentral.

Provided, further, That in case profit is gained or loss is avoided as a result of the violation of the FCPA, a fine not more than three (3) times the profit gained or loss avoided may also be imposed by the Bangko Sentral; Provided, finally, That in addition to the administrative sanctions that may be imposed, the authority of the BSI to operate in relation to a particular financial product or service may be suspended or cancelled by the Bangko Sentral.

. No Waiver of Rights. No provision of a contract for a financial product or service shall be lawful or enforceable if such provision waives or otherwise deprives a Client of a legal right to sue the BSI, receive information, have their complaints addressed and resolved, or have their Client data protected.

Such a waiver may cover agreements/contracts that limit the following: the BSI's liability for the acts or omissions of its directors, trustees or officers, employees or agents; obligations of the BSI; or the right of the Financial Consumer to exercise any rights under the FCPA, its IRR or any relevant laws, rules and regulations.

Section 2. Applicability to other non-bank financial institutions (NBFIIs). The provisions under Section 1 of this Circular shall likewise apply to NSSLAs, pawnshops, credit card, trust corporations and other NBFIs with trust license, insofar as these are applicable to their operations.

In this regard, the following amendments shall apply to specific MORNBFI set of regulations as follows:

1. Part Seven of S-Regulations/Part Six of P-Regulations/Part Seven of N-Regulations shall adopt the new title of Part Ten of the Q-Regulations as provided in Section 1 of this Circular, and all Sections under its corresponding Part including the provisions therein shall all be deleted, and will be replaced with the following provision:

The Financial Consumer Protection Framework of the Bangko Sentral as stated under Part Ten of the Q-Regulations shall be adopted insofar as these are applicable to the NSSLAs''s/pawnshops's/NBFI's/credit card's operations.

2. The provisions under Section 101-T of the T-Regulations, in particular the cross-reference to Part Ten of Q-regulations shall be amended to align with the new title of Part Ten of the Q-Regulations as stated in Section 1 of this Circular.

3. The title of Sec. 121-CC of the CC-Regulations shall be amended to adopt the new title of Part Ten of the Q-Regulations as provided in Section 1 of this Circular, and the provision under the said Section is hereby amended in its entirety, and shall now read as follows:

Source page 26

The Financial Consumer Protection Framework of the Bangko Sentral as stated under Part Ten of the Q-Regulations shall be adopted insofar as these are applicable to the credit card's operations.

Section 3. All references to deleted Sections of the MORNBEFI as provided in Section 2 of this Circular shall now refer to its new corresponding Part Ten of the MORNBFI. Moreover, all references to the old Part Ten of the MORB/MORNBEFI (Q-Regulations) shall now refer to the new Part 10 of the MORB/MORNBFI (Q-Regulations) as provided under Section 1 of this Circular.

Section 4. The Bangko Sentral may revise and supplement these rules and regulations and issue related guidelines, circulars, and other issuances as it deems necessary for the effective implementation of the various provisions of the FCPA consistent with existing laws, rules and regulations.

Section 5. Reportorial Requirements. Specific guidelines on the required reports, including the mode and manner of submission, shall be covered by a separate memorandum issuance.

Section 6. The following transitory provision shall be incorporated as footnote to Sec.]001/1001-Q of the MORB/MORNBEF| as follows:

BSIs shall be given six (6) months from the effectivity of this Circular to: (1) perform

-a gap analysis of their current CPRMS, FCPAM and related financial consumer protection

practices vis-a-vis the provisions of this Circular; and (2) propose an action plan duly-

approved by its Board of Directors to achieve full compliance within a reasonable period of time but not longer than one (1) year from the effectivity of this Circular.

A BSI should be able to show its plan of action with specific timelines, as well as

the status of initiatives being undertaken, to fully comply with the provisions of this Circular, upon request of the Bangko Sentral.

Section 7. This Circular shall take effect fifteen (15) days after its publication in the Official Gazette or in a newspaper of general circulation.

FOR THE MONETARY BOARD:

i he "—
FELIPE M. MEDALLA
Governor

eg November 2022

SOURCE BEGINS: BSP Circular No. 1213

BSP Circular No. 1213 - Amendments to Regulations on Information Technology Risk Management to Implement Section 6 of the Anti-Financial Account Scamming Act (AFASA)

Source file: extracted_bsp/1213.txt
Comparison file: bsp_docs/1213.pdf

Source page 1

OFFICE OF THE GOVERNOR

CIRCULAR NO. _____
Series of 2025

Subject
:
Amendments to Regulations on Information Technology Risk Management to Implement Section 6 of the Anti-Financial Account Scamming Act (AFASA)

The Monetary Board, in its Resolution No. 521 dated 22 May 2025, approved the amendments to Section 148 and Appendix 126 of the Manual of Regulations for Banks (MORB), Sections 147-Q/145-S/142-P/126-N and Appendices Q-79/S-11/P-9/N-15 of the Manual of Regulations for Non-Bank Financial Institutions (MORNBFI), and Section 201, Glossary of Terms, and Appendix 201-1 of the Manual of Regulations for Payment Systems (MORPS), to implement the information technology risk management-related portion of Section 6 of Republic Act (R.A.) No. 12010 or the “Anti-Financial Account Scamming Act (AFASA). These amendments are designed to fortify the existing regulatory framework and ensure more effective compliance with the provisions of the AFASA.

Section 1. Section 148 of the MORB and Sections 147-Q/145-S/126-N of the MORNBFI (IT Risk Management System) on IT controls implementation for electronic products and services shall be amended, as follows:

148/147-Q/145-S/126-N. INFORMATION TECHNOLOGY RISK MANAGEMENT1

“xxx

Definition of Terms. xxx

a. Advanced persistent threat or APT xxx

b. Blacklist Screening shall refer to a process of screening names, transactions and account activities against a database of entities or attributes (e.g. merchants, mobile devices, and IP addresses) flagged as unsecure, fraudulent, or involved in illegal activities.

c. Bot Detection shall refer to tools that prevent scripted attacks by identifying when a request or instruction likely originates from an automated program or bot through the analysis of user behavior and network data.

d. Browser Automation shall refer to a process of automatically performing operations on a web browser to allow users to automate repetitive or complex tasks such as filling out forms, clicking buttons, navigating web pages, or scraping data.

e. b. Card skimming xxx

1 BSFIs shall comply with the Enhanced Guidelines on Information Security Management within a period of one (1) year from 5 December 2017. In this regard, a BSFI should be able to show its plan of actions with specific timelines, as well as the status of initiatives being undertaken to fully comply with the provisions of this Circular, upon request of the Bangko Sentral starting December 2017.

BSFIs shall comply with the foregoing standards until 31 December 2022. In this regard, BSFIs should be able to show its plan of actions with specific timelines, as well as the status of initiatives being undertaken to fully comply with the provisions of Circular No. 1140 dated 24 March 2022, upon request of the Bangko Sentral starting 1 September 2022.
1213

Source page 2

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f.
c. Cloud computing xxx
g. d. Compromised state xxx
h. e. Cyber-threat xxx
i.
f. Cybersecurity xxx
j.
g. Data Breach xxx
k. h. Defense-in-depth xxx

l. Device Fingerprinting shall refer to a technique used to identify and track a specific device based on its unique combination of hardware, software, and configuration attributes, among others.

m. i. Distributed denial of Service (DDoS) xxx

n. Emulators shall refer to software or hardware that allows a computer to perform the functions or execute programs defined for a different type of computer or device.

o. Fraud Management Systems (FMS) shall refer to a comprehensive set of automated and real-time monitoring and detection systems to identify and block disputed, suspicious, or other similar online transactions.

p. Geolocation Monitoring shall refer to the process of tracking the geographic or physical location of an electronic device used by a customer.

q. j. Hacking xxx
r.
k. Information security program (ISP) xxx
s.
l. Information security strategic plan (ISSP) xxx
t.
m. Information security risk management (ISRM) xxx

u. Jailbroken or Rooted Device shall refer to a mobile device that has been modified to bypass the built-in restrictions and control or security mechanisms of the operating system, granting the user privileged access to the device’s software and functionality.

v. Kill Switch shall refer to a facility that allows customers to immediately suspend their account and block outgoing financial transactions and prevent changes to account information.

w. n. Malware xxx

x. Money Lock shall refer to a security mechanism that allows customers to secure a portion of their funds, rendering it inaccessible for online or digital transactions.

y. o. Pharming xxx
z. p. Phishing xxx

aa.
Rate Limiting shall refer to a security measure that restricts the frequency of requests or actions a user or system can perform within a specific timeframe to prevent brute-force attacks and ensure fair use of resources.

bb. q. Reportable major cyber-related incidents xxx

cc.
Screen Scraping shall refer to a technique of extracting data from a website, application, or visual output by capturing and reading the information displayed on the screen.

Source page 3

Page 3 of 12
dd.
Scripts shall refer to a sequence of instructions, ranging from a simple operating system command to complex programming statements, which can be executed automatically by an interpreter.

ee. r. Security operations center (SOC) xxx

ff.
Session Management shall refer to mechanisms for securely handling the creation, maintenance, and termination of user sessions in an information system. This includes processes for authenticating users, assigning session identifiers, monitoring session activity, and ensuring proper session termination to prevent unauthorized access.

gg. s. Spear phishing xxx
hh. t. Threat actor xxx
ii. u. Threat intelligence xxx

jj.
Transaction Velocity Checks shall refer to a risk-based mechanism that monitors and analyzes the frequency, volume, and pattern of transaction data within predefined intervals to detect anomalies or similarities associated with fraudulent behavior.

kk.
Unsecure Merchants shall refer to merchants that either do not implement secure industry-standard transaction authentication protocols or have a history of involvement in verified fraudulent financial transactions. This shall also include merchants that have

demonstrated inadequate information security practices or have compromised or known vulnerabilities in their systems.

xxx

IT Risk Management System (ITRMS). xxx

c. IT controls implementation. xxx

(5) Electronic products and services. xxx

BSFIs should protect customers from fraudulent schemes done electronically. Otherwise, Failing to do so may erode consumer confidence to use in electronic channels as safe, secure, and reliable methods of making for financial transactions will be eroded. To mitigate the impact of cyber fraud, BSFIs should adopt an aggressive security posture, such as the following including the following measures:

(a) xxx;
(b) xxx;
(c) xxx;

(d) Implement automated and real-time fraud monitoring and detection systems to identify and block disputed, suspicious, or fraudulent online transactions. xxx

BSFIs shall regularly assess the risks associated with their products and services to determine the appropriate measures for fraud prevention. BSFIs engaged in complex electronic products and services and handling high aggregate values of online transactions must adopt a robust Fraud Management System (FMS) capable of rapidly detecting, preventing, and

Source page 4

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blocking disputed, suspicious, or other fraudulent transactions, including new and evolving fraud schemes.

For purposes of the succeeding provisions, complex electronic products and services shall refer to advanced electronic payment and financial services (EPFS) as defined under Sections 701/701-Q/401-S/114-P/401-N/404-T and high aggregate values of online transactions shall refer to average monthly

network value of transactions of at least Seventy-Five Million Pesos (Php 75,000,000.00) for the last six (6) months.

To ensure robustness of their FMS, covered BSFIs shall implement all of the following essential fraud rules and mechanisms:

(i) Transaction velocity checks or thresholds. Monitoring the frequency of incoming and outgoing transactions within a specific time frame to detect unusually rapid activity, which may indicate fraudulent behavior. The FMS should be able to detect, and/or block transactions with unusual velocity, such as multiple, similar, simultaneous, or consecutive transactions, including those that might be facilitated through automated bots, malware, zero-day exploits, and other similar means or attack vectors. Additionally, risk-based thresholds or limits for the amount or volume of transactions, based on the risk profile of the consumer, may be imposed to detect and/or block usage outside the customer's normal spending patterns;

(ii) Mobile device and account information changes. Monitoring changes on the mobile device and account identifying information such as mobile number and email address, among others, which may indicate account takeover attacks. The FMS should be capable of analyzing subsequent transactions for fraud patterns and temporarily blocking transactions for a certain timeframe once suspicious activities are noted after the change;

(iii) Geolocation monitoring. Tracking the geographic location

of
transaction
initiators
to
identify
activities from unexpected locations. The FMS should be capable of stopping transactions outside the usual location or country, or triggering enhanced due diligence procedures, as necessary;

(iv)
Blacklist screening. Analyzing transactions against databases of unsecure merchants, as well as account activities associated with mobile devices and IP addresses involved in fraudulent transactions. The FMS should include rules to block such transactions to prevent fraud exposure of customers; and

(v)
Behavioral Anomalies. Detecting deviations from a user's typical behavior, such as spending patterns or login habits, which could indicate unauthorized access.
This
also
includes
deviations
in
collective
transactional behavior such as the execution of multiple fund transfers with few or same recipients, or
patterns
of
numerous
transactions
indicating

Source page 5

concentration to very few recipients with no business purpose.

To strengthen fraud detection and prevention, BSFIs shall leverage a combination of rule-based approaches, machine learning algorithms, and other technologies to adapt to evolving fraud tactics. Likewise, constant calibration of the FMS shall be enforced through continuous data analysis, risk assessments, adaptive rule adjustments, machine learning refinements, regular stress testing, independent review and audits, and proactive monitoring of fraud patterns, among others.

Detection through FMS is one of the grounds for BSFIs to temporarily hold funds subject of a disputed transaction and initiate a coordinated verification process. Moreover, BSFIs shall perform actions necessary to preserve the integrity of financial accounts involved in the disputed transaction.

Hence, BSFIs shall establish and enforce clear and comprehensive policies, standards, and procedures on their FMS implementation to cover the following:

(i) Thresholds, parameters, and workflow in the FMS that would trigger the temporary holding of funds;
(ii) Actions to be taken when funds are temporarily held, including additional verification and/or authorization protocols, confirmation procedures, and other investigation procedures to assess veracity of the FMS trigger; and
(iii) Temporary holding of funds subject of a disputed transaction and coordinated verification as required under Sections 7 and 8 of the AFASA, Industry Protocol, and Bangko Sentral issuances implementing the same.

FMS requirement for Clearing Switch Operators (CSOs). CSOs of Automated Clearing Houses (ACHs) shall implement an FMS for monitoring and flagging suspicious and fraudulent transactions. Specifically,the CSOs shall have the necessary technical and operational capabilities to implement an FMS for retail ACH operations to strengthen fraud detection mechanisms within the payments industry.

(e) Financial accounts must be protected with security measures to mitigate risks such as cyberattacks, unauthorized access, and fraudulent transactions. These safeguards for financial accounts must include all of, but are not limited to, the following:

(i) Implementation of a 24-hour Transaction Pause Period (TPP) after applying key account changes, wherein customers will be restricted in performing financial transactions. Key account changes refer to modification in information deemed essential by BSFIs to secure access to a customer’s accounts. This includes, but is

not limited to, updates to mobile number, email address, and registered/authenticated device used to access the account. BSFIs may opt to shorten the TPP or implement transaction restrictions/limits during the TPP, provided that strong authentication mechanisms are in place and the BSFI shall be fully accountable for the associated risks;

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(ii)
Restriction on installing mobile applications on unsecured devices, such as, but not limited to those with outdated systems, rooted or jailbroken devices, or emulators;

(iii)
Prohibition of the use of unauthorized scripts or automation tools (e.g., screen scraping, browser automation) to access financial accounts and execute transactions through implementation of the following: behavioral analysis, rate limiting, session management, and bot detection, among others;

(iv)
Proper authentication and integrity checks to ensure that transactions initiated from front-end applications accessible to customers are not altered prior to, or during transmission or execution in backend systems;

(v)
Adoption of strong device fingerprinting, a technique that collects data about the device being used, along with the implementation of effective mechanisms to prevent spoofing of device identity; and

(vi)
Limitation on the use of interceptable authentication mechanism (e.g. One-Time Pins [OTPs] via SMS and email). With the increasing prevalence of social engineering attacks aimed at obtaining login credentials, BSFIs should limit the use of authentication mechanisms that can be shared to, or intercepted by, third parties unrelated to the transaction.

The guidelines on the adoption of multi-factor

authentication (MFA) are outlined in Appendix 79/Q-66. Moreover, BSFIs engaged in complex electronic products and services and handling high aggregate values of online transactions must adopt strong authentication mechanisms to ensure the integrity of customer-initiated transactions. These include any of the following:

aa.
Biometric authentication – provides customer convenience and enhanced security as biometrics can be difficult to replicate or steal. Examples include fingerprint scanning, facial recognition, and voice recognition, among others;

bb.
Behavioral biometrics – can track behavioral patterns, such as typing speed, mouse, or device movements. This can be implemented as part of continuous authentication and linked to anomaly/fraud detection;

cc.
Passwordless authentication – eliminates traditional passwords but uses factors like biometrics, hardware tokens and cryptographic keys. An example is the use of Fast Identity Online (FIDO), a technical specification for online user identity authentication, allowing biological features or a FIDO security key to log in to online accounts; or

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dd.
Adaptive authentication – dynamically adjusts authentication process based on user's context, to cover factors such as location, device, and behavior. Upon detection of unusual activity, it can prompt additional verification steps or other actions, depending on risk appetite.

(f) Descriptive customer notification for account activities and financial transactions should enable customers to verify the legitimacy of activities on their accounts. Real-time notification should be sent through secure channels such as mobile apps, messaging apps, email, or SMS.

BSFIs should ensure that customer notifications contain clear and complete information, including the recipient identity (e.g., payee or merchant name or account number), transaction amount and currency, date and time, transaction type, reference number, and device or browser information, as applicable. Further, OTP messages should be personalized with sufficient transaction details. While sensitive information may be redacted, the notification must still allow the customers to accurately identify the transaction. At a minimum, notifications should be sent for withdrawal transactions, fund transfers exceeding a predefined threshold, merchant and bills payments, device registration, new login information or authentication methods, auto-debit arrangements, third party enrollments and fund transfer recipients, and profile updates.

(g) Mechanisms should be established to enable account holders to verify the identity of the recipient of fund transfers, ensuring that transactions are directed to the intended payee. In addition, BSFIs should ensure that off-us transactions adhere to an industry-wide, standardized approach that facilitates the secure and reliable method to exchange information necessary for payee verification. In implementing these controls, the BSFIs should ensure adequate safeguards against possible abuses and maintain continued compliance with relevant rules and regulations under the NRPS framework, as well as those governing secrecy of bank deposits and data privacy.

(h) Customers should be empowered with tools, knowledge, and support to actively protect their financial accounts. Therefore, digital platforms facilitating retail interbank fund transfers and other high-risk transactions, must offer all of the following features and functionalities:

(i) A self-service facility that enables account holders to suspend their account and block outgoing financial transactions, and prevent unauthorized changes to account information when fraud, compromise, or

suspicious activities are detected (“kill switch”). The kill switch instructions must be properly authenticated and verified;

(ii)
A mechanism to revoke account access or permissions for trusted
devices,
online
merchants,
third-party

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applications, or electronic products and services. As the financial ecosystem becomes more interconnected, customers can access their accounts through various channels and link them to merchants or third-party applications, enhancing convenience but also increasing security risks. To address these risks, BSFIs should enable customers to manage permissions, allowing them to view, manage, and revoke external access to their financial accounts, thereby strengthening security and reducing potential threats;

(iii)
A “money lock” feature that allows account holders to secure a portion of their funds, rendering it inaccessible for online or digital transactions. The locked funds cannot be moved or transferred digitally without first unlocking them, either through in-person verification at BSFI branches or strong authentication mechanisms through digital channels. This feature is designed to limit the customer’s exposure to fraud or unauthorized transactions by safeguarding the locked portion of the account balance; and

(iv)
Customizable transaction limits that enable account holders to mitigate fraud risks by setting restrictions on the number, value, or type of transactions that may be executed, provided, that these remain within the limits predefined by BSFIs. These limits may include daily transaction cap, maximum transfer amounts, withdrawal limits, online payment restrictions, and cross-border transaction thresholds, among others. To ensure the feature’s effectiveness, any changes to transaction limits should require strong authentication and prompt customer notifications.

(i) BSFIs must establish sound controls and processes to prevent unauthorized (1) digital account onboarding; and (2) linking of a financial account to an online account.

(j) BSFIs must collect relevant transaction logs, protect them against unauthorized manipulation, and retain them with adequate back-up for a period of at least five (5) years,

unless otherwise required by law or other regulations, or direction from the Bangko Sentral to retain them for a longer period. This ensures a detailed record of account activities that facilitates thorough investigation, coordinated verification, and analysis of fraudulent patterns.

Minimum information that must be captured in the transaction logs includes the following:
(i) Name and account number of sender/s;
(ii) Date and time of transaction/s;
(iii) Transaction amount and currency;
(iv) Name of receiving financial institution/s;
(v) Name and account number of recipient/s;
(vi) Unique transaction reference (e.g. Originating Financial Institution [OFI], CSO, Receiving Financial Institution [RFI] transaction reference);
(vii) Mode of payment instruction (e.g., PesoNet, Instapay, check, ATM transfer);
(viii) Mode of transaction authentication (e.g., device-based authentication, biometric, and password or pin, etc.);

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(ix) Non-financial information (e.g., change of password and challenge question);
(x) Transaction channel (e.g., mobile, web, integration with partner etc.); and
(xi) Network, hardware, and software information (e.g. device fingerprint, device details, IP address, and/or browser information).

(k) BSFIs must not send clickable links or quick-response (QR) codes via email, instant messaging apps, or SMS, unless the sending of the link or QR code is prompted by a prior customer action, only provides information, or does not redirect to a website or web application that requires the user to input sensitive information or login credentials.

In addition, a shared accountability framework shall be adopted to strengthen strategies for safeguarding financial accounts. This framework underscores collective responsibility and collaboration among all parties involved in financial transactions – financial institutions, account holders, and third-party entities – thereby playing a critical role in mitigating risks of unauthorized transactions and determining liability for the losses.

(a) BSFIs shall comply with all applicable laws and regulations and ensure that adequate risk management systems and controls are in place, proportionate to the complexity of the electronic products and services offered;

(b) BSFIs should clearly and consistently inform their customers of their responsibilities in maintaining cyber hygiene practices, which include:

(i)
Safeguarding digital financial accounts by utilizing and activating the security features provided by BSFIs;
(ii)
Reading and understanding the terms and conditions for using the digital platform and actively engaging in the educational and awareness campaigns to help customers familiarize themselves with the platform's security features, understand the risks and common fraud schemes targeting financial consumers, and learn the strategies to mitigate such risks;
(iii)
Avoiding disclosure of sensitive account information such as usernames, passwords, PIN codes, OTPs, authenticator code, or any other login credentials;
(iv)
Warning against money mule offenses, including lending, or allowing others to use their financial accounts;
(v)
Verifying website address, contact information, and mobile applications through official sources; and
(vi)
Reporting suspicious, unauthorized, or fraudulent transactions promptly to the respective BSFIs and fully cooperating with the BSFIs' investigation and resolution process.

Further details about the consumer awareness program can be found in Section 4.3.3. and Annex C of Appendix 79/ Appendix Q-66; and

(c) BSFIs should enforce and regularly evaluate that third-party entities/service providers involved in financial transactions strictly adhere to contractual obligations on availability, information security, and cybersecurity, among others. Such

Source page 10

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third-party
entities/service
provider
are
required
to
promptly respond and fully cooperate with the BSFIs in cases of fraud and cyber-related incidents. Furthermore, BSFIs should ensure the outsourcing arrangements, including the contract provisions, are compliant with applicable Bangko Sentral rules and regulations on outsourcing and vendor management.

Failure to perform the above duties and responsibilities may subject the BSFIs or third-party entities/service providers to liability for losses arising from fraudulent transactions.

Detailed guidelines/standards on Electronic Products and Services are shown in Appendix 79/Q-66.

d. Risk measurement and monitoring. xxx

xxx

Section 2. Appendix 126 of the MORB and Appendices Q-79/S-11/P-9/N-15 of the MORNBFI on National Retail Payment System Framework (NRPS) shall be amended, as follows:

xxx

D. Clearing Switch Operator (CSO)

xxx

1.
Key Principles

a. xxx.
b. xxx.
c. xxx.
d. xxx.
e. xxx.
f.
xxx.
g. CSOs of ACHs shall implement a fraud management system (FMS) for monitoring and flagging suspicious and fraudulent transactions. Specifically, the CSOs shall have the necessary technical and operational capabilities to implement an FMS for retail ACH operations to strengthen fraud detection mechanisms within the payments industry.

Section 3. The Glossary of Terms in the MORPS shall include the following:

GLOSSARY OF TERMS

xxx

Fraud Management System (FMS) – refers to a comprehensive set of automated and real-time monitoring and detection systems to identify and block disputed, suspicious, or other similar online transactions, pursuant to Bangko Sentral regulations on information technology risk management.

xxx

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Section 4. Section 201 of the MORPS shall be amended, as follows:

NATIONAL RETAIL PAYMENT SYSTEM FRAMEWORK

xxx

201.4 Specific rules applicable to transactions performed under the NRPS framework. The following rules shall apply to retail payment transactions which are cleared and settled in accordance with the NRPS Framework:

a. Minimum requirements to offer Electronic Payment and Financial Service (EPFS). EPFS, which shall require Bangko Sentral approval in accordance with Sections X701/47010 701-Q/4641S 401-S/4641P 114-P/4641N 401-N of the MORB/MORNBFI and Section 501 of the MORPS, refer to BSFI products and/or services that enable consumers to carry out or initiate payments electronically, financial transactions and other related services through a point of interaction. To offer EPFS, BSFIs shall conform to the following requirements:

(1) xxx;

(2) xxx;

(3) xxx; and

(4) BSFIs shall conform to Sections X701/47010/4641S/4641P/4641N 148/147-Q/145-S/142-P/126-N and Appendix 79/Q-66 of the MORB/MORNBFI on the IT Risk Management Standards and Guidelines on for electronic banking, electronic payment, electronic money and other electronic products and services provided in Appendix 75f/Q-59f the MORB/MORNBFI.

Section 5. Appendix 201-1 of the MORPS on the NRPS Framework shall be amended, as follows:

xxx

d. D. Clearing Switch Operator (CSO)

xxx

c. Key Principles
(1) xxx.
(2) xxx.
(3) xxx.
(4) xxx.
(5) xxx.
(6) xxx.
(7) CSOs of ACHs shall implement a fraud management system (FMS) for monitoring and flagging suspicious and fraudulent transactions.

Specifically, the CSOs shall have the necessary technical and operational capabilities to implement an FMS for retail ACH operations to strengthen fraud detection mechanisms within the payments industry.

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Section 6. The existing footnote in Section 148/147-Q/145-S/142-P/126-N on the previous transitory provisions are hereby deleted. The following new transitory provision shall be incorporated as footnote to Section 148/147-Q/145-S/126-N as follows:

BSFIs shall comply with the standards provided in this Circular within one (1) year from its effective date.

Section 7. Effectivity Clause. This Circular shall take effect fifteen (15) calendar days following its publication in any newspaper of general circulation.

FOR THE MONETARY BOARD:

ELI M. REMOLONA, JR.
Governor

Digitally signed by Eli M. Remolona Jr.
Date: 2025.05.30 19:29:27 +08'00'

SOURCE BEGINS: BSP Circular No. 1214

BSP Circular No. 1214 - Rules of Procedure on the Conduct of Inquiry into Financial Accounts and Sharing of Financial Account Information by the Bangko Sentral ng Pilipinas Pursuant to the Anti-Financial Account Scamming Act (AFASA)

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Comparison file: bsp_docs/1214.pdf

Source page 1

OFFICE OF THE GOVERNOR

CIRCULAR NO. ____
Series of 2025

Subject :
Rules of Procedure on the Conduct of Inquiry into Financial Accounts and Sharing of Financial Account Information by the Bangko Sentral ng Pilipinas Pursuant to the Anti-Financial Account Scamming Act (AFASA)

The Monetary Board, in its Resolution No. 522 dated 22 May 2025, approved the following Rules of Procedure on the Conduct of Inquiry into Financial Accounts and Sharing of Financial Account Information by the Bangko Sentral ng Pilipinas (BSP) pursuant to Sections 12, 13, and 14 of Republic Act No. 12010, otherwise known as the “Anti-Financial Account Scamming Act” (AFASA) –

RULE I
GENERAL PROVISIONS

SECTION 1. TITLE. These Rules shall be known as the "Rules of Procedure on the Conduct of Inquiry into Financial Accounts and Sharing of Financial Account Information by the Bangko Sentral ng Pilipinas Pursuant to the Anti-Financial Account Scamming Act (AFASA).”

SECTION 2. CONSTRUCTION. All doubts in the interpretation of the provisions of these Rules shall be construed in favor of the effective implementation of the AFASA.

Unless otherwise stated herein, the provisions of the Rules of Court shall not apply, except suppletorily or by analogy as may be determined by CAPO.

SECTION 3. INAPPLICABILITY OF LAWS ON SECRECY OF DEPOSITS AND DATA PRIVACY. The BSP shall have the authority to investigate and inquire into Financial Accounts which may be involved or utilized in the commission of a Prohibited Act. The provisions of Republic Act No. 1405, as amended, or the “Secrecy of Bank Deposits Law”; Republic Act No. 6426, as amended, or the "Foreign Currency Deposit Act of the Philippines"; Republic Act No. 8367, or the "Revised Non-Stock Savings and Loan Association Act of 1997"; and Republic Act No. 10173, or the "Data Privacy Act of 2012," shall not apply to any Financial Account subject of BSP's investigation and inquiry.

RULE II
DEFINITION OF TERMS

SECTION 4. DEFINITION OF TERMS. The terms as defined under the AFASA are hereby adopted. For purposes of these Rules, the following terms are hereby defined:

a. Competent Authority refers to any of the following:

i.
The Philippine National Police (PNP), National Bureau of Investigation (NBI),

Department of Justice (DOJ), Anti-Money Laundering Council (AMLC), Cybercrime Investigation and Coordinating Center (CICC), and any other government agency duly authorized by law to investigate and/or prosecute the Prohibited Acts; and

ii. Financial Regulators duly authorized to investigate crimes or offenses related to their respective regulatory functions and adjudicate financial consumer complaints under Section 6(f) of Republic Act No. 11765, or the "Financial Products and Services Consumer Protection Act" (FCPA).
1214

Source page 2

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b. Consumer Account Protection Office (CAPO) refers to the duly-constituted office within BSP that is authorized to inquire into Financial Accounts and share Financial Account Information with Competent Authorities within the scope defined under the AFASA.

c. Day refers to a "calendar" day.

d. Financial Account refers to an account used to avail of products or services offered by Institutions, such as:

i.
An interest or non-interest-bearing deposit, trust, investment, or credit card account;
ii. Other transaction account maintained with a bank, non-bank, or financial institution;
iii. E-wallet; and
iv. Any other account used to avail of financial products or services defined under Section 3(c) of the FCPA.

e. Financial Account Information refers to any information related to a Financial Account, such as, but not limited to:

i.
Account number;
ii. Account owner's name and other personal information;
iii. Registered mobile number and e-mail address of the account owner;
iv. Documents submitted by the account owner for the purpose of opening and/or maintaining the Financial Account;
v. Type and status of the accounts; or
vi. Transaction records.
f.
Inquiry refers to the act of examining, looking into, and obtaining information, documents or objects pertaining to a Financial Account for the purpose of determining whether the same was involved or utilized in the commission of a Prohibited Act. An Inquiry may be conducted either onsite or offsite, and may include any of the following:

i.
Reviewing reports and documents pertaining to a Financial Account;
ii. Interviewing and obtaining sworn statements of any of the Institution's officers, employees, stockholders, owners, representatives, agents, managers, directors, or officers-in-charge;
iii. Gathering, inspecting, and evaluating all physical and electronic documents, communications, records, and other information related to a Financial Account; or

iv. Performing any other activity in the course of investigating a Financial Account which may be involved or utilized in the commission of a Prohibited Act.
g. Institutions refer to banks, non-banks, other financial institutions, payments and financial services providers under the jurisdiction of the BSP.
h. Portable Document Format (PDF) refers to a file format of an electronic document generated from a word processing or PDF creation program, or through electronic scanning of a physical document, or combination of both methods. In all cases, the contents of the PDF copy must be completely legible.

Source page 3

i.
Prohibited Act refers to any of the following acts which are punishable under Sections 4 and 5 of the AFASA:

i.
Money Muling Activities. A person performing any of the following acts for the purpose of obtaining, receiving, depositing, transferring, or withdrawing proceeds that are known to be derived from crimes, offenses, or social engineering schemes shall be considered as a money mule:

1.
Using, borrowing or allowing the use of a Financial Account;
2. Opening a Financial Account under a fictitious name or using the identity or identification documents of another;
3. Buying or renting a Financial Account;
4. Selling or lending a Financial Account; or
5. Recruiting, enlisting, contracting, hiring, utilizing, or inducing any person to perform the acts mentioned in items 1 to 4 of this subsection.

ii. Social Engineering Schemes. A Social Engineering Scheme is committed by a person who obtains sensitive identifying information of another person, through deception or fraud, resulting in unauthorized access and control over the person's Financial Account, by performing any of the following acts:

1.
Misrepresenting oneself as acting on behalf of an Institution, or making false representations to solicit another person's sensitive identifying information; or
2. Using electronic communications to obtain another person's sensitive identifying information.

iii. Economic Sabotage. A Money Muling Activity or Social Engineering Scheme shall be considered as Economic Sabotage when committed under any of the following circumstances:

1.
By a group of three (3) or more persons conspiring or confederating with one another;
2. Against three (3) or more persons individually or as a group;
3. Using a mass mailer; or
4. Through human trafficking.

iv. Other Offenses. Refers to the following acts:

1.
Willfully aiding or abetting in the commission of Money Muling Activity, Social Engineering Scheme, or Economic Sabotage;
2. Willfully attempting to commit Money Muling Activity, Social Engineering

Scheme, or Economic Sabotage;
3. Opening a Financial Account under a fictitious name or using the identity or identification documents of another; or
4. Buying or selling a Financial Account.

j.
Sensitive Identifying Information refers to any information that can be used to access an individual's Financial Accounts such as usernames, passwords, bank account details, credit card, and e-wallet information among other electronic credentials, and other confidential and personal information.

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RULE III
INFORMATION SHARING AGREEMENT WITH COMPETENT AUTHORITIES

SECTION 5. EXECUTION OF AN INFORMATION SHARING AGREEMENT. A Competent Authority shall enter into an Information Sharing Agreement with BSP, which shall govern the sharing of Financial Account Information obtained by CAPO pursuant to its authority to investigate and inquire into Financial Accounts under the AFASA and these Rules. The CAPO shall only accept a Request to Inquire into Financial Account (the “Request”) from, and disclose Financial Account Information to, a Competent Authority that has an existing Information Sharing Agreement with BSP.

SECTION 6. CONTENTS OF AN INFORMATION SHARING AGREEMENT. The Information Sharing Agreement between BSP and the Competent Authority shall be in writing, notarized, and shall contain the terms and conditions for the sharing of Financial Account Information, including, but not limited to, the following:
a. Undertaking of the Competent Authority to use the Financial Account Information for the specific purposes indicated in Sections 12 and 14 of the AFASA;
b. Position or designation of the officers of the Competent Authority who are authorized to request and receive Financial Account Information from BSP;
c. Dedicated official electronic mail (e-mail) accounts to be used in the electronic transmission of Requests and correspondence between BSP and the Competent Authority, as well as the official address of the Competent Authority where physical copies of the orders, notices, correspondences, and other relevant documents will be delivered;
d. Security measures to protect Financial Account Information obtained from BSP, including the Competent Authority's policies on:
i.
Disclosure and confidentiality;
ii. Encryption and data protection;
iii. Retention and disposal of records;
iv. Management of security incidents and breaches;
v. Access controls and authorization;
vi. Audit trails;
vii. Data integrity and validation;
viii. Data transfer and transmission security; and
ix. Other administrative, technical, and physical safeguards; and
e. Duration, periodic review, and renewal of the Information Sharing Agreement.
SECTION 7. USE OF FINANCIAL ACCOUNT INFORMATION SHARED BY CAPO. Any Financial Account Information shared by CAPO to a Competent Authority pursuant to these Rules shall be used solely to investigate and prosecute criminal cases involving the commission of a Prohibited Act, or to adjudicate a financial consumer complaint under Section 6(f) of the FCPA.

The Competent Authority shall be fully responsible for maintaining the confidentiality and security of any information shared by CAPO pursuant to these Rules.

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RULE IV
REQUEST FOR INQUIRY INTO FINANCIAL ACCOUNT

SECTION 8. FILING OF A REQUEST. An Inquiry into a Financial Account by CAPO shall be initiated upon the filing of a Request by a Competent Authority with CAPO. The Request shall be filed primarily through electronic transmission using the Competent Authority's dedicated e-mail account to the official e-mail address of CAPO, attaching therewith a PDF copy of the Request and all its supporting documents.
The CAPO shall acknowledge receipt of the Request through e-mail. The date indicated in the acknowledgment e-mail of CAPO shall constitute the effective date of receipt of the Request.

The Competent Authority shall implement appropriate security measures in the transmission of the Request and supporting documents to CAPO. The Competent Authority shall also ensure that access to the information contained in the Request is restricted to authorized personnel only, and that all documents, records, and information are transmitted through secure channels only.

SECTION 9. CONTENTS OF THE REQUEST. The Request must be in writing, under oath, and shall contain, among others, the following information:
a. Full name, position, office/department/unit, office address, and contact details of the authorized officer of the Competent Authority;
b. Purpose and justification for an inquiry into a Financial Account;

c. Description of the Financial Account suspected to be involved or utilized in the commission of a Prohibited Act;

d. Details of the Prohibited Act that was committed and how the Financial Account subject of the Request has been involved or utilized in its commission;
e. Scope of the transactions involving the Financial Account which are relevant to the investigation of a Prohibited Act;
f.
A statement as to whether the suspected Prohibited Act was reported to the Institution concerned by a victim or private complainant, and the actions taken by such Institution; and

g. Other relevant and material information, which may include the following:
i.
Date, time, and place of the commission of the Prohibited Act;
ii. Name, age, address, and contact information of any private complainant or victim;
iii. Available information on any suspect or person of interest, which may include the person's name, alias, age, and last known address; and
iv. Name, age, address, and contact information of any known witness.
SECTION 10. ATTACHMENTS TO THE REQUEST. The Request shall be accompanied by documents and pieces of evidence in support of the Competent Authority's finding that the Financial Account subject of the Request was involved or utilized in the commission of a Prohibited Act. These may include affidavits of the investigating officers, private complainants, victims, or witnesses; forensic analysis reports; business records; transaction logs and records; photographs; and video recordings.

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RULE V
INQUIRY ORDER

SECTION 11. FORM AND CONTENTS OF THE INQUIRY ORDER. The Inquiry Order shall:
a. State the factual and legal bases for the conduct of Inquiry;
b. Describe with particularity the Financial Account subject of the Inquiry and the Prohibited Act that was purportedly committed using the Financial Account;
c. Direct the Institution to:

i.
Disclose relevant Financial Account Information to CAPO;
ii. Provide CAPO full access to all physical and electronic records related to the Financial Account subject of the Inquiry within the duration of the Inquiry; and
iii. Allow CAPO to conduct the activities mentioned in Section 4(f) of these Rules, and comply with any instruction by CAPO in connection with its Inquiry.
d. Forbid the Institution or any of its officers, employees, stockholders, owners, representatives, agents, managers, directors, or officers-in-charge from disclosing, divulging, directly or indirectly, or in any manner, to the owners or holders of Financial Account subject of the Inquiry, or to any other person, the fact that said Financial Account is being inquired into, with a warning that violation thereof is punishable under Section 16(f) of the AFASA.
SECTION 12. ISSUANCE OF AN INQUIRY ORDER. Within reasonable time from receipt of the Request, CAPO shall issue an Inquiry Order to the Institution concerned, copy furnished the requesting Competent Authority, upon its determination that, based on the information and evidence provided in the Request and supporting documents, there exists sufficient ground to establish a well-founded belief that a Prohibited Act has been committed and that the Financial Account subject of the Request may be involved or utilized in the commission of the Prohibited Act.
The CAPO shall serve the Inquiry Order to the Institution concerned electronically by transmitting a PDF copy thereof to all of the registered e-mail accounts of the Institution. The date indicated in the electronic record of delivery of the Inquiry Order shall be the effective date of receipt by the Institution concerned.

SECTION 13. CORRECTION OR AMENDMENT OF REQUEST. Upon determination of CAPO that the Request fails to establish the ground specified in Section 12 of these Rules, or is non-compliant with these Rules or an existing Information Sharing Agreement, it shall issue a Notice to Amend to the Competent Authority stating its findings on the deficiencies of the Request. The date indicated in the electronic record of delivery of the notice shall be the effective date of receipt by the Competent Authority.

The Competent Authority may file a corrected or amended Request with CAPO within fifteen (15) days from receipt of the Notice to Amend, following the same procedures in Section 8 of these Rules.

SECTION 14. DENIAL OF REQUEST. If the Competent Authority fails to correct or amend the Request within the prescribed period, or if CAPO determines that the corrected or amended Request still fails to establish the ground mentioned in Section 12 of these Rules, or remains non-compliant with these Rules or an existing Information Sharing Agreement, it shall issue a Notice of Denial informing the Competent Authority of the denial of its Request with prejudice, and specifying the reasons for such denial.

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The Competent Authority may file a motion for reconsideration of CAPO’s denial of Request within five (5) days from receipt of the Notice of Denial. A second motion for reconsideration shall not be allowed.

A denial of a motion for reconsideration is final and is not appealable to the Governor or the Monetary Board.

RULE VI
DISCLOSURE OF FINANCIAL ACCOUNT INFORMATION

SECTION 15. DUTIES OF AN INSTITUTION. Upon receipt of the Inquiry Order, the Institution concerned shall immediately comply with CAPO's directives. Within ten (10) days from receipt of the Inquiry Order, the Institution concerned shall submit to CAPO a Return on the Inquiry Order (the "Return") providing therein all the Financial Account Information required in the Inquiry Order, as well as other relevant supporting documents. A PDF copy of the Return and its supporting documents shall be submitted electronically by the Institution concerned to the official e-mail account of CAPO.

The Institution concerned shall implement appropriate measures to safeguard all information and documents shared with CAPO. The Institution concerned shall also ensure that access to any information shared with CAPO is restricted to authorized personnel only, and that all documents, records, and information are transmitted through secure channels only.

SECTION 16. DISCLOSURE OF THE RESULTS OF INQUIRY. CAPO shall furnish the Competent Authority with its Response to the Request for Inquiry into Financial Account containing the relevant Financial Account Information and other related documents gathered, by sending an e-mail to the Competent Authority's dedicated e-mail account within ten (10) days from its receipt of the Return and all the necessary information from the Institution concerned, unless otherwise extended by CAPO for meritorious reasons.

SECTION 17. DISCLOSURE OF PREVIOUSLY SHARED FINANCIAL ACCOUNT INFORMATION. If CAPO has determined that the subject of the Request pertains or is identical to any Financial Account Information previously shared with another Competent Authority, it may disclose the requested information in accordance with the procedures prescribed in the immediately preceding section without conducting a new or separate Inquiry; Provided, that such Request must establish the ground mentioned in the first paragraph of Section 12 of these Rules and must not have any of the defects mentioned in the first paragraph of Section 13 of these Rules. Provided, further, that the Financial Account Information to be disclosed by CAPO shall be limited strictly to the details specified in the new Request.

SECTION 18. SAFE HARBOR CLAUSE. Any Institution, or any of its officers, employees, stockholders, owners, representatives, agents, managers, directors, or officers-in-charge shall be held free and harmless from any accountability or liability for any act done in compliance with an Inquiry Order of CAPO.

RULE VII
ELECTRONIC TRANSMISSION OF CORRESPONDENCE

SECTION 19. REGISTRATION OF E-MAIL ACCOUNTS. Institutions must register with BSP the e-mail accounts that they will use to communicate with CAPO. The e-mail accounts must be authorized by the President of the Institution or an officer of equivalent rank. An Institution can officially register a maximum of three (3) e-mail accounts. Each e-mail account shall be registered to a single officer only, one of whom must be the President, Chief Compliance Officer, Head of the Legal Department of the Institution, or an officer of equivalent rank. In no case shall there be two (2) or more registered officers for the same e-mail address.

Source page 8

Within thirty (30) days from the effectivity of these Rules, Institutions shall register their e-mail accounts using the prescribed Registration Form which can be downloaded from the BSP website. The scanned copy of the duly-accomplished Registration Form shall be transmitted to the official e-mail account of CAPO.

SECTION 20. USE OF REGISTERED E-MAIL ACCOUNT. All Inquiry Orders and other notices of CAPO shall be sent exclusively to the registered e-mail accounts of an Institution. The CAPO shall only acknowledge and accept submissions from a registered e-mail account of an Institution. An electronic transmittal from an unregistered e-mail account shall be rejected and shall not be considered as an official submission of an Institution in accordance with AFASA.

SECTION 21. CHANGES IN THE REGISTERED E-MAIL ACCOUNTS. In the event that an authorized officer with access to a registered e-mail account is separated from service or is otherwise no longer authorized to act on behalf of an Institution, or, in case a registered e-mail account has been compromised, the Institution concerned shall immediately:
a. Revoke the separated or unauthorized officer's access to the registered e-mail account and all data contained therein;
b. Disable access to the compromised e-mail account;
c. Notify CAPO within three (3) days from the separation, or revocation of access, of the concerned officer. In case of a compromised e-mail account, such notification must be made within twenty-four (24) hours upon discovery of the compromise or security breach; and
d. Register a replacement e-mail account following the procedures under Section 19 of these Rules.

SECTION 22. PRESUMPTION OF RECEIPT. Any e-mail sent by CAPO to an Institution's registered e-mail account shall be presumed to have been duly received by the Institution. It shall be the responsibility of the Institution to ensure the availability, functionality, and capacity of its registered e-mail accounts to receive all official communications from CAPO, including Inquiry Orders, notices, correspondence, and other relevant documents.
SECTION 23. USE OF ALTERNATIVE MODES OF TRANSMISSION. For meritorious reasons, BSP may authorize and resort to alternative modes of transmission of Requests, Inquiry Orders, notices, correspondence, documents and other communication under these Rules, subject to strict adherence to appropriate security measures to ensure the confidentiality, integrity, and availability of transmission.

RULE VIII
CYBERCRIME WARRANTS AND PRESERVATION ORDER

SECTION 24. APPLICATION FOR CYBERWARRANTS AND PRESERVATION ORDER. Without prejudice to the authority of the cybercrime units of NBI and PNP, CAPO shall have the authority to apply for cybercrime warrants and/or to issue preservation orders as provided in Chapter IV of Republic Act No. 10175, or the "Cybercrime Prevention Act of 2012," with respect to the electronic communications involved in the commission of a Prohibited Act.

SECTION 25. REQUEST FOR ASSISTANCE WITH LAW ENFORCEMENT AUTHORITIES. The CAPO may request the assistance of NBI and PNP in the enforcement and implementation of cybercrime warrants and preservation orders in relation to its investigation and inquiry.

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RULE IX
UNAUTHORIZED DISCLOSURE AND NON-COMPLIANCE WITH CAPO'S INQUIRY ORDER

SECTION 26. UNAUTHORIZED DISCLOSURE OF FINANCIAL ACCOUNT INFORMATION. Unless otherwise allowed under existing laws, any person who obtained any information on the Financial Account subject of CAPO's investigation or inquiry under these Rules shall be prohibited from disclosing such information for purposes other than those mentioned in Sections 12 and 14 of the AFASA.

Any person who shall disclose any information mentioned in the immediately preceding paragraph for purposes other than those mentioned under Sections 12 and 14 of the AFASA

shall be subject to criminal and administrative liabilities under Section 16(g) of the AFASA, Sections 36 and 37 of Republic Act No. 7653, as amended, other applicable laws, and BSP rules and regulations.

SECTION 27. FAILURE TO COMPLY WITH CAPO'S INQUIRY ORDER. Any person who knowingly or willfully obstructs, refuses, impedes, or delays the investigation and inquiry of CAPO under these Rules shall be subject to criminal and administrative liabilities under Section 16(f) of the AFASA, Republic Act No. 7653, as amended, other existing laws, and BSP rules and regulations.

RULE X
FINAL PROVISIONS

SECTION 28. INVESTIGATIVE AUTHORITY OF BSP. The BSP, based on meritorious reasons, may motu proprio initiate or conduct investigation of a Financial Account which may be involved or utilized in the commission of a Prohibited Act. In the conduct of such investigation, CAPO shall have the authority to inquire into a Financial Account and share Financial Account Information in accordance with these Rules.

SECTION 29. TRANSITORY CLAUSE. These Rules shall apply to all Requests filed after its effectivity, provided that the Prohibited Act subject of a Request was committed after the effectivity of the AFASA.

SECTION 30. SEPARABILITY CLAUSE. If any part of these Rules is declared unconstitutional or invalid, the remainder thereof not otherwise affected shall remain valid.

SECTION 31. REPEALING CLAUSE. All existing rules, regulations, orders, or circulars or any part thereof which are inconsistent with these Rules are hereby repealed, amended, or modified accordingly.

SECTION 32. EFFECTIVITY CLAUSE. These Rules shall take effect fifteen (15) days following its publication in any newspaper of general circulation.

FOR THE MONETARY BOARD:

ELI M. REMOLONA, JR.
Governor

Digitally signed by Eli M. Remolona Jr.
Date: 2025.05.30 19:30:10 +08'00'

SOURCE BEGINS: BSP Circular No. 1215

BSP Circular No. 1215 - Regulations on the Temporary Holding of Funds Subject of Disputed Transactions and Coordinated Verification Process

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Comparison file: bsp_docs/1215.pdf

Source page 1

OFFICE OF THE GOVERNOR

CIRCULAR NO. ____
Series of 2025

Subject:
Regulations on the Temporary Holding of Funds Subject of Disputed Transactions and Coordinated Verification Process

The Monetary Board, in its Resolution No. 523 dated 22 May 2025, approved the adoption of the Regulations on the Temporary Holding of Funds Subject of Disputed Transactions and Coordinated Verification Process to implement Sections 7 to 11 of Republic Act (R.A.) No. 12010 or the "Anti-Financial Account Scamming Act (AFASA)," and accordingly approved the constitution of new provisions and/or amendments to the relevant provisions of the Manual of Regulations for Banks (MORB), the Manual of Regulations for Non-Bank Financial Institutions (MORNBFI), and the Manual of Regulations for Payment Systems (MORPS).

Section 1. Temporary Holding of Funds Subject of Disputed Transactions and Coordinated Verification Process. Section 1006/1006-Q/1105, and Appendices 160/Q-104/1105-1 (Annex A of this Circular), 161/Q-105/1105-2 (Annex B of this Circular), and 162/Q-106/1105-3 (Annex C of this Circular), of the MORB/MORNBFI/MORPS shall be created to read as follows:

1006/1006-Q/1105 TEMPORARY HOLDING OF FUNDS SUBJECT OF DISPUTED TRANSACTIONS AND COORDINATED VERIFICATION PROCESS

Policy Statement. The State recognizes the vital role of banks, non-bank financial institutions, other payment service providers, and the general banking public in promoting and maintaining a stable and efficient financial system. The State also acknowledges that with the increased use of electronic commerce and digital financial services, there is a need to promote awareness on the proper use of financial accounts and to protect the public from cybercriminals and criminal syndicates who target financial accounts or lure account owners into becoming accessories or perpetrators of fraudulent activities. The State shall undertake measures to protect all persons from cybercrime schemes by regulating the use of financial accounts and preventing their use in fraudulent activities.

Scope and Applicability. This Section applies to all Bangko Sentral-Supervised Institutions (BSIs) that shall

pursue
the
coordinated verification of disputed transactions as defined under this Section, regardless of whether the funds remain in the financial system or not.

Temporary holding of disputed funds as defined under this Section shall apply to electronic transfer of funds from one financial account to another financial account.
1215

Source page 2

This Section shall not apply to erroneous transactions. These regulations shall likewise not apply to credit card transactions, except insofar as credit cards are used to perform electronic fund transfers through Automated Clearing House (ACH).

Obligations of BSIs with respect to erroneous transactions shall be covered by Section 1003/1003-Q of the MORB/MORNBFI (Consumer Protection Standards of Conduct).

The provisions on unauthorized transactions and liability for
losses
arising
from
unauthorized
transactions
under
Section
1003/1003-Q of the MORB/MORNBFI (Consumer Protection Standards of Conduct) are hereby supplemented.

Further, this Section shall not restrict or limit the application of anti-money laundering laws, rules, and regulations.

Definition of Terms. For purposes of this Section, the following definitions shall apply:

a. Account Owner – refers to the person, natural or juridical, to whom a financial account belongs or under whose name the account was opened or registered.

b. Automated Clearing House (ACH) – refers to a multilateral agreement among ACH participants governing the clearing and settlement of payment orders for a specific payment stream.

c. ACH Participant – refers to a financial institution duly licensed by the Bangko Sentral that is a Payment System Management Body member, and undertakes clearing in, and is a signatory to, at least one ACH.

d. Bangko Sentral-Supervised Institution (BSI) – refers to a person, natural or juridical, that provides financial products or services under the jurisdiction of the Bangko Sentral, as provided in existing laws, rules and regulations. This covers banks, non-banks, payments and other financial service providers, including ACH participants and CSOs, under

the jurisdiction of the Bangko Sentral. Further, for purposes of this Section, BSIs may refer to originating financial institutions (OFIs), receiving financial institutions (RFIs), or subsequent receiving financial institutions (Subsequent-RFIs) as defined herein.

e. Beneficiary Account – refers to a financial account where disputed funds have been credited, whether total or partial, and regardless of the fact that the funds may have been subsequently transferred or exfiltrated to a different financial account, within the same or different BSI, or withdrawn from the financial system.

f. Beneficiary Account Owner – refers to the owner of the beneficiary account based on the BSI's records.

g. Clearing Switch Operator (CSO) – refers to the party designated which provides clearing switch services by acting as the operator of a payment system to be used by the ACH

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participants in accordance with the guidelines and principles set forth in related ACH documents.

h. Coordinated Verification Process – refers to a systematic sharing of information and coordination among BSIs, including ACH participants and CSOs, and account owners to track and determine the legitimacy of a disputed transaction.

i. Day – refers to twenty-four (24) hours. In computing a period, the first day shall be excluded, and the last day included.

j. Disputed Funds – refer (1) to the funds or equivalent amounts subject of a disputed transaction, or (2) to the funds or equivalent amounts, whether total or partial, that originated from a disputed transaction and moved through various financial accounts within the same or different BSIs.

k. Disputed Transaction – refers to a financial transaction that occurs after the effectivity of the AFASA,1 where a BSI has reasonable grounds to believe, based on an information obtained from another BSI, a complaint from an aggrieved party, or a finding under its own FMS, that such transaction appears to be any of the following:

(1) Unusual. A transaction is considered unusual when it shows patterns that are inconsistent with the account owner's usual behavior, is not commensurate with the known business or financial capacity of the account owner, or deviates from the account owner's profile. It also covers transactions that are inconsistent in amount, origin, destination, or type with an account owner's known legitimate business or activities or are significantly larger than the typical transactions of an account owner.

(2) Without clear economic purpose. This covers transactions that have no underlying legal or trade obligation, purpose, or economic justification. It also includes transactions that appear to be out of the normal course for industry practice, do not appear to be economically viable for the account owner, are unnecessarily complex for their stated purpose, are without business explanation for their size, or are not commensurate with the business size and without reasonable justification.

(3) From an unknown or illegal source, or unlawful activity. A source is unknown if the clear and legitimate source cannot be established or does not match the BSI's information on the account owner's profile. This includes situations where there is insufficient or no documentation to support the origin of funds. A transaction is considered to be from an illegal source when it arises from, or uses the proceeds of, an unlawful activity. Unlawful activity refers to any act or omission, or series or combination thereof, that violates a provision of law or constitutes a criminal offense. Prior conviction is not necessary to consider an act or activity as unlawful or criminal.

1 13 August 2024.

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(4) Facilitated through social engineering schemes. A transaction is considered facilitated through social engineering schemes when sensitive identifying information of another person is obtained through deception or fraud resulting in unauthorized access and control over a financial account. The scheme may be performed by any of the following acts: misrepresenting oneself as acting on behalf of a BSI; making false representations to solicit another person's sensitive identifying information; or using electronic communications to obtain another person's sensitive identifying information.

l. Disputed Transaction Chain – refers to a series or sequence of linked transactions involving funds that originated from a disputed transaction and moved through various financial accounts with RFIs and/or subsequent-RFIs to a final destination, including cash out or cash withdrawal.

m. Domestic Remittance – refers to a transfer of funds between a sender/remitter and a beneficiary who are both within the Philippines and that is not covered by electronic payment transactions as defined under the National Retail Payment System Framework.

n. Electronic Fund Transfer (EFT) – refers to transfers of funds between two financial accounts in the same or different BSIs which are initiated and received using electronic devices and channels to transmit payment instructions. This is synonymous to electronic payments and excludes domestic remittance transactions under existing Bangko Sentral regulations.

o. Erroneous Transaction – refers to an incorrect electronic fund transfer or domestic remittance as a result of any of the following circumstances: sending to an incorrect beneficiary account due to the erroneous encoding of account number by the sender; and sending to a beneficiary account an incorrect amount due to erroneous encoding by the sender.

p. Extended Holding – refers to the holding of disputed funds for not more than twenty-five (25) calendar days after the lapse of the initial holding period, in accordance with this Section.

q. Extended Holding Request – refers to a request initiated by the OFI to extend the initial holding of disputed funds for an additional period of not more than twenty-five (25) calendar days.

r. Financial Account – refers to an account used to avail of products or services offered by BSIs, such as interest or non-interest bearing deposit, trust, investment, or credit card account; other transaction account maintained with a bank, non-bank, or financial institution; e-wallet; and any other account used to avail of financial products or services defined under Section 3(c) of R.A. No. 11765. The term is synonymous with transaction account, as used and defined under the MORPS.

Source page 5

s. Financial Consumer Protection Assistance Mechanism (FCPAM) – refers to the first-level recourse mechanism for financial consumers who are dissatisfied with a financial product or service of a BSI.

t. Fraud Management Systems (FMS) – refers to a comprehensive set of automated and real-time monitoring and detection systems to identify and block disputed, suspicious, or other similar online transactions, pursuant to Bangko Sentral regulations on information technology risk management.

u. FMS Finding – refers to an FMS notification or alert flagging a transaction as a disputed transaction.

v. Industry Protocol – refers to the protocols, conventions, or mechanisms that BSIs shall develop and adopt to effectively undertake temporary holding of disputed funds and coordinated verification, as well as operationalize the provisions of this Section. The protocols shall, at a minimum, meet the expectations set forth under this Section and ensure their effective application.

w. Initial Holding – refers to the holding of disputed funds for not more than five (5) calendar days, in accordance with this Section.

x. Initial Holding Request – A request initiated by an OFI to initially hold disputed funds for a period of not more than five (5) calendar days.

y. Originating Financial Institution (OFI) – refers to a BSI that transmits funds subject of a disputed transaction from one financial account to another financial account within the same or different BSI. The OFI holds the source account of the fund transfer.

z. Receiving Financial Institution (RFI) – refers to a BSI that receives or accepts funds subject of a disputed transaction from an OFI. The RFI holds the beneficiary account of the fund transfer.

aa. Sensitive Identifying Information – refers to any information that can be used to access an individual's financial account, such as usernames, passwords, bank account details, credit card, debit card, and e-wallet information among other electronic credentials, and other confidential and personal information.

bb. Source Account – refers to the financial account where the disputed funds originated.

cc. Source Account Owner – refers to the owner of the source account based on the OFI's records.

dd. Subsequent Receiving Financial Institution (Subsequent-RFI) – refers to any BSI, other than the OFI and RFI, that receives or accepts funds in the disputed transaction chain. The subsequent-RFI holds the beneficiary account of the subsequent fund transfer.

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ee. Temporary Holding of Disputed Funds – refers to the authority and responsibility of BSIs to hold disputed funds for a period of not more than thirty (30) calendar days, consisting of the initial and extended holding periods, in accordance with this Section.

Financial Account Protection and Security. BSIs must actively and regularly engage with their client account owners on proactive measures to safeguard their personal and financial information, and ensure the security and integrity of their financial accounts. BSIs must provide regular updates on security best practices, alerts on potential threats, and guidance on how to respond to suspicious

activities, including information on proper reporting procedure and channels.

a. BSIs' communications with their account owners may include the following:

(1) Account owners shall take reasonable steps to protect their sensitive identifying information, including usernames, user IDs, passwords, personal identification numbers (PINs), one-time passwords/PINs, and other account credentials or authentication factors. These include using strong and unique passwords, refraining from sharing credentials, using secure devices and secure connections, and exercising caution to avoid falling victim to social engineering schemes. Account owners are strongly encouraged to regularly update their account credentials, including passwords and PINs, and to do so immediately if there is any suspicion of compromise of their financial account.

(2) Account owners shall immediately report any disputed transaction to their BSIs to facilitate the investigation and perform necessary steps to protect the financial account.

(3) Account owners shall cooperate with BSIs in the investigation and verification of disputed transactions. This includes providing any requested information or documentation necessary to support the investigation and mitigate further risk.

(4) Account owners shall comply with the security practices recommended by BSIs, including activating available features, such as transaction limits, real-time alerts, and multi-factor authentication, to enhance the security of their accounts.

(5) Account owners shall promptly notify BSIs of any changes to their account information, such as contact details,

security preferences, or other relevant details, to ensure that account records remain accurate and up to date.

(6) Account owners shall regularly read and monitor notifications from BSIs. This includes reviewing, in a reasonable and prudent manner, statements of account, BSI alerts, transaction records, and any communication regarding account security to promptly identify potential issues or unauthorized activities.

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b. In addition to their obligations under laws and Bangko Sentral regulations, BSIs shall safeguard the personal and financial information of account owners, and ensure the security and integrity of the account owners' financial accounts through the following:

(1) Conduct regular monitoring and performance assessment of outsourcing arrangements providing direct or indirect access to personal and financial information; and

(2) Identify the types of customers who are more vulnerable to social engineering schemes and who may need a more robust engagement.

Industry Protocol for Temporary Holding of Disputed Funds and Coordinated Verification of Disputed Transactions. BSIs shall collaborate and establish an integrated and holistic industry protocol for the temporary holding of disputed funds and coordinated verification of disputed transactions in accordance with law and the rules and regulations issued by the Bangko Sentral.

BSIs shall subscribe and adhere to the industry protocol to ensure timely, efficient, and effective temporary holding of disputed funds and coordinated verification of disputed transactions. The industry protocol shall:

a. Contain clear and specific roles and responsibilities of BSIs in the temporary holding of funds and the coordinated

verification process, provided that the minimum requirements set forth in this Section are complied with.

b. Enable timely and streamlined systems and procedures for the temporary holding of funds and the accurate and efficient coordinated verification of disputed transactions, including the maintenance of time logs for the entire process.

c. Implement mechanisms and safeguards to prevent abuse and malicious use of the temporary holding and coordinated verification process.

d. Require prompt notifications to source and beneficiary account owners whose financial accounts are affected by the temporary holding of funds and the coordinated verification process.

e. Identify the minimum documents that are required to initiate, continue, or conclude temporary holding and coordinated verification process among BSIs, and the exceptional instances when these documents may be dispensed with, taking into account the amount of disputed funds, the personal circumstances of the account owners, and other relevant considerations.

f. Institutionalize a secure, real-time or near-real-time, automated system for tracing disputed transactions, with capability to generate and record a visible disputed transaction chain, trigger the temporary holding of disputed funds, and induce timely alerts for involved BSIs.

Source page 8

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g. Implement strong measures to safeguard the confidentiality and integrity of information disclosed and shared during coordinated verification and to ensure that use and access to the same is limited to authorized persons and for authorized purposes under this Section.

h. Incorporate a clearly defined mechanism for settling disputes and determining liability for losses among BSIs that may arise from the temporary holding, coordinated verification, and release of disputed funds, and other rules on shared accountability.

i. Include a regular communication plan to inform account owners about the basic responsibilities of parties, the timelines applicable to the temporary holding of disputed funds and the coordinated verification process, among other key messages, to manage expectations of account owners and the general public.

j. Include provisions requiring BSIs to advise their account owners that cooperation in the coordinated verification process is part of their responsibilities under the AFASA, and that the prohibition on waiver of consumer rights under R.A. No. 11765 remains in force.

k. Contain other rules, procedures, and systems necessary to seamlessly conduct an industry-wide temporary holding of funds and coordinated verification process, as well as to operationalize the provisions of this Section.

Prior to its implementation, the industry protocol shall be reviewed by the Bangko Sentral to ensure compliance with existing laws, rules and regulations.2

Responsibility of BSIs to Temporarily Hold Disputed Funds and Conduct Coordinated Verification. BSIs shall have the authority to temporarily hold disputed funds for a period of not more than thirty (30) calendar days, inclusive of the initial and extended holding periods defined in this Section. The period to hold disputed funds under this Section may be further extended only by a court of competent jurisdiction.

Once the disputed funds in the beneficiary accounts have been held, the equivalent amount shall be considered credited but cannot be withdrawn during the holding period.

Simultaneously with the temporary holding of disputed funds, BSIs and account owners shall initiate a coordinated verification process to validate a disputed transaction.

For this purpose, all BSIs shall establish and implement their own policies, systems, and procedures for verification of disputed transactions, provided that the same are compliant with the requirements set forth in this Section and conform with the agreed industry protocol. Mechanisms must also be in place to prevent the malicious and abusive use of the temporary holding process.

2 The industry protocol must be fully operational within one (1) year from the effectivity of this Circular.

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In accordance with the abovementioned policies, systems, and procedures, involved account owners shall cooperate with BSIs in the investigation and verification of disputed transactions by timely providing requested information and documentation necessary to support the investigation, prove the legitimacy of the transaction, and mitigate further risk.

Initiating the Temporary Holding of Disputed Funds and Coordinated Verification Process. The temporary holding of disputed funds and coordinated verification process are initiated through any of the following triggers:

a. Complaint-initiated holding – a complaint filed by the source account owner, through the 24/7 fraud reporting channel of the OFI's FCPAM, which the OFI shall handle in accordance with the procedures hereunder.

b. FMS-initiated holding – an OFI or RFI's FMS finding.

(1) For FMS findings involving outgoing transactions, the OFI which flagged the disputed transaction shall proceed in accordance with the procedures hereunder.

(2) For FMS findings involving incoming transactions, the RFI which flagged the disputed transaction shall proceed in accordance with Appendix 160/Q-104/1105-1.

c. Request-initiated holding – an initial holding request from an OFI to an RFI or subsequent-RFI.

(1) For initial holding requests based on complaints or FMS findings involving outgoing transactions, the OFI shall proceed in accordance with the procedures hereunder.

(2) For initial holding requests based on the OFI's fraud investigation and/or risk management policies and procedures that are not covered by any complaint or FMS findings, the OFI shall proceed in accordance with Appendix 161/Q-105/1105-2.

BSIs shall keep logs of the actual date and time of receipt of any of the foregoing triggers. These logs shall be used as basis to determine timely compliance by BSIs of their obligations under this Section and liabilities for failure to temporarily hold disputed funds or improper holding of disputed funds, among others.

Procedure for Initial Holding of Disputed Funds. Immediately from receipt of a complaint or FMS finding involving an outgoing transaction, the OFI shall, in accordance with the turnaround time prescribed under the industry protocol, simultaneously:

a. Verify the information received to enable it to identify the disputed transaction and the disputed funds to be subjected to initial holding and coordinated verification process. At the minimum, the BSI shall confirm the unique transaction reference number or transaction identifier, the source account owner and number, the amount of disputed funds, the mode of transfer or payment transaction, the date and time of the disputed transaction, the RFIs and/or subsequent-RFIs

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involved, and the beneficiary account owner and number, if known.

For complaint-initiated holding, the OFI shall additionally verify the identity of the person making the complaint and confirm that such person is the source account owner or the latter's authorized representative, in accordance with the OFI's standard operating procedures and the agreed industry protocol.

b. Prepare a disputed transaction report documenting the minimum information necessary to identify the disputed transaction, the disputed funds, and the reasons why the transaction appears to be a disputed transaction.

c. When applicable, perform actions necessary to preserve the integrity of the source account, such as disabling access and/or funds transfer functionality to prevent further disputed transactions.

d. If the disputed funds were transferred to a beneficiary account owner within the same BSI, initially hold the disputed funds for not more than five (5) calendar days.

e. If the disputed funds have been wholly or partially transferred to a different BSI, transmit, using the automated system for tracing of disputed transactions, an initial holding request to all RFIs and subsequent-RFIs identified in the disputed transaction chain to hold the disputed funds for not more than five (5) calendar days from receipt thereof.

f. Upon holding of the disputed funds, if applicable, notify its own beneficiary account owner about the initial holding, together with information on:

(1) The unique transaction reference number or transaction identifier, the amount of disputed funds, the mode of transfer or payment transaction, the date and time of the disputed transaction;

(2) The general reasons for the initial holding of disputed funds;

(3) Consumer rights and how the beneficiary account owner may challenge or request the lifting of the initial holding or substantiate the legitimacy of the disputed transaction; and

(4) The possible extension of the initial holding and the possible consequences for failing to participate in the coordinated verification process or to substantiate the legitimacy of the disputed transaction, such as the debiting of the disputed funds from the beneficiary account and the release thereof to the source account owner.

g. Inform the source account owner of the initial actions taken on the disputed transaction and:

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(1) For complaint-initiated holding, the OFI shall generate an acknowledgment of the complaint and provide the source account owner with a case reference number.

(2) For FMS-initiated holding involving outgoing transactions, the OFI shall communicate with the source account owner to verify and investigate whether the latter performed

and
authorized
the
disputed
transaction. The OFI shall also provide the source account owner with a case reference number.

In both instances, the source account owner shall be informed that any person who, with malice or in bad faith, reports or files completely unwarranted or false information that results in the temporary holding of funds may be held criminally liable for malicious reporting under Section 11, in relation to Section 16(e), of the AFASA.

h. Participate in the coordinated verification process by tracing and verifying the accuracy, authenticity, and legitimacy of the disputed transaction, and coordinating with the involved BSIs and account owners.

Immediately from receipt of an initial holding request, the RFI or subsequent-RFI shall, in accordance with the turnaround time prescribed under the industry protocol, comply with subparagraph (a) above as to the beneficiary account owner, and subparagraphs (b), (d), (f), and (h) above.

In view of the urgent need to prevent the transfer and/or exfiltration of disputed funds through the financial system, a BSI shall, for purposes of initial holding, have the right to rely on the allegations of the person making the complaint, the FMS finding, or initial holding request as to the circumstances giving rise to the disputed transaction.

Response to Initial Holding Request. Immediately from receipt of the initial holding request and in accordance with the turnaround time prescribed under the industry protocol, the RFI and/or subsequent-RFI shall provide the OFI with information on whether the disputed funds are partially or fully intact, including:

a. Whether the RFI or subsequent-RFI was able to carry out the initial holding of disputed funds in accordance with this Section and the amounts successfully held, if any.

b. Whether the disputed funds sent to the beneficiary account owner have been withdrawn in a manner that prevents the further tracing and holding of disputed funds.

c. Whether the disputed funds sent to the beneficiary account owner have been transferred to a subsequent-RFI.

d. Other relevant information and documents, as may be available.

The OFI shall be responsible for consolidating the information from the responses received from the RFIs and subsequent-RFIs and coordinating future directives for the extended holding of disputed funds, if applicable.

Source page 12

Notice to Source Account Owner of Initial Holding of Disputed Funds. Promptly, and in accordance with the turnaround time prescribed under the industry protocol, the OFI shall provide the source account owner with an update on the complaint, together with information on whether disputed funds were successfully held for not more than five (5) calendar days and the subsequent steps to be taken to extend the initial holding period and, if warranted, to recover the disputed funds.

The OFI shall likewise provide the source account owner with information on other available legal remedies, such as the filing of a complaint with appropriate law enforcement agencies authorized to request information from the Bangko Sentral pursuant to the AFASA.

The OFI shall inform the source account owner that the OFI has commenced the coordinated verification process under this Section, which includes the coordination with the RFIs, subsequent-RFIs, CSOs, and account owners, as appropriate, and the investigation and validation of the disputed transaction.

The notice shall also contain a statement that any person who, with malice or in bad faith, reports or files completely unwarranted or false information that results in the temporary holding of funds may be held criminally liable for malicious reporting under Section 11, in relation to Section 16(e), of the AFASA.

Assessing the Propriety of Extended Holding of Disputed Funds. The initial holding of disputed funds may be extended by not more than twenty-five (25) calendar days from the lapse of the initial holding period, if the nature of the transaction, together with other readily available information on its account owners (e.g., their customer and risk profiles and/or behavioral patterns), gives reasonable grounds to believe that the funds held are likely to be disputed funds, and additional time is needed to complete the coordinated verification process.

In assessing the propriety of extended holding:

a. The OFI shall consider the supporting documents provided by the source account owner and other readily available information on its account owners.

The source account owner shall submit supporting documents (i.e., sworn complaint, affidavit, police report, or any other supporting document) within the initial holding period, except as may be otherwise provided in the industry protocol. The supporting documents shall detail the circumstances that gave rise to the transaction and the reasons why the source account owner believes that the transaction is probably a disputed transaction.

b. RFI or subsequent-RFI shall consider the extended holding request by the OFI and other readily available information on its account owners.

The OFI shall submit an extended holding request within the initial holding period and in accordance with the industry protocol. The extended holding request shall contain the detailed reasons why the OFI reasonably believes that the transaction is likely to be a disputed transaction.

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The extended holding request may be accompanied by supporting documents from the source account owner, relevant FMS findings,
investigation
reports,
or
other
similar
information.

For purposes of extended holding, an OFI, an RFI, or a subsequent-RFI that relies in good faith on the information and documents submitted, as well as other readily available information, when determining the attendant circumstances giving rise to the disputed transaction, shall not be held liable for improper holding of disputed funds.

An RFI or a subsequent-RFI may not extend the holding period without prior submission by the OFI of an extended holding request. However, despite receipt of an extended holding request from the OFI, an RFI or subsequent-RFI is not precluded from making its own independent assessment on the propriety of extending the temporary holding based on other readily available information regarding the account owners.

Procedure for Extended Holding of Disputed Funds. If the OFI finds that extended holding is warranted under this Section, it shall perform the following before the lapse of the initial holding period:

a. Extend the initial holding period by an additional period of not more than twenty-five (25) calendar days if the disputed funds were subjected to temporary holding within its system.

b. Transmit an extended holding request to all RFIs and subsequent-RFIs previously requested to initially hold disputed funds, if applicable.

c. Notify its own beneficiary account owner about the extended holding, together with information on:

(1) The unique transaction reference number or transaction identifier, the amount of disputed funds, the mode of transfer or payment transaction, the date and time of the disputed transaction;

(2) The general reasons for the extended holding of disputed funds;

(3) Consumer rights and how the beneficiary account owner may challenge or request the lifting of the extended holding

of
disputed
funds
or
substantiate
the
legitimacy of the disputed transaction; and

(4) The possible consequences of failing to participate in
the
coordinated
verification
process
and
to
substantiate the legitimacy of the transaction, such as
the debiting of disputed funds from the beneficiary
account and the release thereof to the source account
owner.

d. Acknowledge receipt of the sworn complaint, affidavit, police report, or other supporting documents submitted, and inform the source account owner that the BSIs involved shall engage

Source page 14

in the coordinated verification process in accordance with this Section.

If the RFI or subsequent-RFI finds that extended holding is warranted under this Section, it shall, upon receipt of an extended holding request from the OFI and within the initial holding period, comply with subparagraphs (a) and (c) above.

Response to Extended Holding Request. Immediately from receipt of the extended holding request, and in accordance with the turnaround time prescribed under the industry protocol, the RFI and subsequent-RFI shall provide the OFI with information on the action taken on the extended holding request, and the reasons and justifications for the same, if available.

Notice to Source Account Owner of Extended Holding of Disputed Funds. Upon receipt of the response to the extended holding request, the OFI shall provide the source account owner with information on whether the initial holding of disputed funds was extended and other relevant updates on the status of its investigation and verification.

Remedies of Beneficiary Account Owner. Beneficiary account owners whose funds are subjected to temporary holding may, at any time, challenge the same or request the lifting thereof from their BSIs by providing information, documents, or evidence to substantiate the legitimacy of the disputed transaction, such as, but not limited to, affidavits, sworn statements, police reports, other supporting documents, or evidence on the purpose of the transaction, the relationship of the parties, or the source of funds.

If substantiated, the BSI shall, after evaluation, immediately lift the temporary holding of disputed funds and release the same to the beneficiary account owner, even prior to the lapse of the applicable holding period.

Immediately upon receipt of the lifting request and in accordance with the turnaround time prescribed under the industry protocol, the appropriate BSI must inform its beneficiary account owner of its decision to lift the temporary holding of disputed funds or to continue with the same pending further investigation.

Coordinated Verification Process. All BSIs identified or involved in a disputed transaction chain shall participate in the coordinated verification process, regardless of whether the funds remain in their systems or not.

Once the coordinated verification process is initiated in accordance with this Section, BSIs shall:

a. Trace, verify, and validate the accuracy, authenticity, and legitimacy of a disputed transaction, which may include:

(1) Sharing information with involved BSIs, such as the names of the account owners involved, their address and contact details, the date and time of the transaction, the amount involved, the unique transaction reference numbers, the relevant bank or financial account

Source page 15

information and transaction details, and the reasons why the transaction is likely to be legitimate or not;

(2) Sharing and reviewing supporting documents, such as the source account owner’s sworn complaint, affidavit, police report, relevant FMS findings, investigation reports, or other similar information;

(3) Timely communicating with other relevant entities, such as authorized or accredited agents and third-party service providers, among others, to obtain additional information necessary and critical to effectively implement the coordinated verification process;

(4) Timely communicating with account owners to obtain additional information or documentation on the purpose of the transaction, the relationship of the parties, the source of funds, or other proofs of the legitimacy or illegitimacy of the disputed transaction;

(5) Investigating customer accounts for known fraud indicators and unusual patterns;

(6) Analyzing transaction patterns and recent account activity for red flags in accordance with common fraud parameters and other indicators;

(7) Verifying the information gathered by cross-checking it against other independent or reliable data sources;

(8) Evaluating the veracity of the claims by considering the nature of the transaction vis-a-vis the account owners' risk profile, behavior, claims, or allegations; and

(9) Other means as may be established by a BSI's policies, systems, and/or the agreed industry protocol.

b. Provide appropriate and timely notification and information to their own account owners whose financial accounts are affected by the coordinated verification process. The timing and manner of sharing information with account owners shall be clearly defined in the industry protocol and the BSI's disclosure and transparency policies and procedures that form part of its Consumer Protection Risk Management System, as defined in Section 1002/1002-Q of the MORB/MORNBFI (Duties of BSIs and Authorized Third Parties).

c. Swiftly and efficiently complete the coordinated verification process from the receipt of a complaint, FMS finding, or initial holding request:

(1) If funds were successfully held: Within the thirty (30) - calendar day temporary holding period, unless said period is extended by a court of competent jurisdiction.

Source page 16

(2) If no funds were held: Within thirty (30) calendar days. For meritorious reasons as determined by the OFI in accordance with its risk management policies, the coordinated verification process may be extended, provided that the total period does not exceed sixty (60) calendar days.

d. Release the disputed funds in accordance with this Section.

e. Upon the request of source account owners, provide them with transaction reference numbers or transaction identifiers, information on RFIs or subsequent-RFIs involved, and dates and times of transactions.

Responsibilities of CSOs. All CSOs involved in fund transfers related to a disputed transaction shall actively participate in the coordinated verification process by sharing the necessary information for tracing, holding, and verifying the accuracy, authenticity, and legitimacy of the transaction.

Responsibilities of Other Entities Involved in the Disputed Transaction. All BSIs involved in a disputed transaction shall coordinate with their authorized agents and third-party service providers to ensure timely information gathering and effective implementation of the coordinated verification process.

Non-Applicability of Secrecy of Bank Deposits and Data Privacy Laws during Coordinated Verification Process. The provisions of R.A. No. 1405, as amended; R.A. No. 6426, or the “Foreign Currency Deposit Act of the Philippines”, as amended; R.A. No. 8367, or the “Revised Non-Stock Savings and Loan Association Act of 1997”; and R.A. No. 10173, or the “Data Privacy Act of 2012” shall not apply during the coordinated verification process of a disputed transaction. Notwithstanding the foregoing, information shared during the coordinated verification process shall be handled securely with appropriate safeguards to ensure that disclosure is confined to the scope of said process.

Release of Disputed Funds. Immediately upon the lapse of the initial or extended holding of disputed funds, or at any time upon confirmation of the legitimacy of the disputed transaction as substantiated by the beneficiary account owner or through other means, appropriate BSIs shall lift the temporary holding of disputed funds and release the same to the beneficiary account owner, unless:

a. The period for holding the disputed funds is extended by a court of competent jurisdiction;

b. The beneficiary account owner executes a written waiver of any claim over the disputed funds; or

c. The totality of the information obtained during the coordinated verification process gives rise to a reasonable conclusion that:

(1) The disputed funds are derived from or are related to money muling, unlawful activities, or illegal sources;

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(2) The transaction has no underlying economic purpose;

(3) The disputed funds are derived from social engineering schemes; or

(4) Other grounds similar or analogous to the foregoing.

In cases falling under subparagraphs (b) and (c) above, the BSI holding the disputed funds shall deduct the equivalent amount from the beneficiary account owner and return the same to the BSI of the source account owner immediately upon receipt of the written waiver or completion of the coordinated verification process, as applicable. BSIs

involved shall, without undue delay, notify the beneficiary account owner and the source account owner of the release of the funds and the reasons therefor.

The decision of the BSI to release the disputed funds to the beneficiary account owner or source account owner shall be without prejudice to any other legal remedy available to the aggrieved party.

Report to Bangko Sentral on the Temporary Holding of Disputed Funds. All BSIs shall provide the Bangko Sentral with a report on the temporary holding of disputed funds. The content and coverage of the report, as well as the timeline, frequency, and manner of reporting, shall be in accordance with Appendix 162/Q-106/1105-3.

Execution of Annual Notarized Certification. Within thirty (30) calendar days from end of year, the BSI initiating or effecting the temporary holding of disputed funds shall execute and submit to the appropriate Bangko Sentral department a notarized certification that it is compliant with the related requirements of adequate risk management systems and controls as prescribed by the Bangko Sentral at the time that it initiated or effected the holding of the funds. This certification shall be considered as a Category B report in accordance with Sections 171 and 173/171-Q and 172-Q. For stand-alone operators of payment systems, non-submission, erroneous submission, and delayed submission shall be subject to applicable penalties under the MORPS.

Liability for Failure to Temporarily Hold Funds. A BSI that fails to temporarily hold funds subject of a disputed transaction, as required under the AFASA and this Section, shall be liable for loss or damage arising from such failure, including the restitution of the disputed funds to the account owner.

Liability for Improper Holding of Funds. Without prejudice to liabilities under existing laws, a BSI that holds funds subject of a disputed transaction beyond the allowable period, or improperly holds funds, as provided under the AFASA and this Section, shall be subjected to administrative action under R.A. No. 7653, as amended, other related laws, and Bangko Sentral rules, regulations, orders, or instructions.

A fund shall be considered improperly held if the BSI holding the disputed funds fails to comply with the procedures and requirements prescribed under this Section.

Malicious Reporting of Disputed Transactions. All BSIs shall minimize exposure to malicious reporting of disputed transactions by, among others, incorporating in their FCPAM forms, systems, and

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procedures a notification or provision that any person who, with malice or in bad faith, reports or files completely unwarranted or false information that results in the temporary holding of funds shall be liable under Section 11, in relation to Section 16(e), of the AFASA.

Role of the Bangko Sentral Consumer Assistance Mechanism (CAM) and BSP Online Buddy (BOB) in Handling Complaints or Reports on Disputed Transactions. The BSI’s FCPAM shall continue to serve as the

first-level recourse for account owners with disputed transaction complaints.

The Bangko Sentral CAM/BOB remains as the second-level recourse for account owners who have filed disputed transaction complaints with BSIs and are dissatisfied with the BSI's actions on their complaints. Disputed transaction complaints escalated by account owners to the Bangko Sentral CAM/BOB shall be processed in accordance with the rules of procedure under Rule III of Circular No. 1169, Series of 2023.

Retention of BSI Records on Disputed Transactions. BSIs shall ensure that all digital and physical information, data, and records related to a disputed transaction shall be maintained in accordance with existing laws, rules and regulations on record management, retention, and disposal.

Safe Harbor Provision. No administrative, criminal, or civil liability shall be imposed against a BSI or its directors, trustees, officers, and employees for holding funds subject of a disputed transaction when done in accordance with this Section.

Enforcement Actions. The Bangko Sentral reserves the right to deploy its range of supervisory tools to promote adherence to the requirements set forth in this Section and bring about timely corrective actions and compliance with Bangko Sentral directives.

Section 2. Applicability to Other Non-Bank Financial Institutions (NBFIs). Except with respect to credit card transactions that are not covered by this Circular, the provisions under Section 1 hereof on the amendments to MORNBFI (Q-Regulations) shall likewise apply to non-stock savings and loan associations, pawnshops, trust corporations, and other NBFIs, insofar as these are applicable to their operations. This is in accordance with Part Seven of the S-Regulations, Part Six of the P-Regulations, Section 101-T of the T-Regulations, Part Seven of the N-Regulations, and Section 301-M of the M-Regulations, each of which makes a cross-reference to Part Ten of the Q-Regulations, where Section 1006-Q will be incorporated.

Section 3. Amendments to List of Reports Required from BSIs. The following entries shall be inserted in Appendix 7 of the MORB and Appendices Q-3, S-2, P-7, T-4, N-1, and M-6 of the MORNBFI:

(a) Appendix 7 of the MORB (for all types of banks):

Category Form No. MOR Ref. Report Title Frequency Submission Deadline Submission Procedure/ E-mail Address

B				
Section 1006 (Report to Bangko Sentral on the Temporary Report on Temporarily Held Funds (THF)	Monthly	Every 15th of the month, covering data from	See Appendix 162/	AFASAReport @bsp.gov.ph

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Holding of Disputed Funds)	the previous reference month			
B				
Section 1006 (Execution of Annual Notarized Certification)	Annual Notarized Certification (Temporary Holding)	Annually Within thirty (30) calendar days from end of year		
Specific guidelines to be				

issued by
BSP

(b) Appendix Q-3 of the MORNBFI:

Category Form
No.
MOR Ref.
Report Title Frequency Submission
Deadline
Submission
Procedure

B

Section 1006-Q
(Report to
Bangko Sentral
on the
Temporary
Holding of
Disputed
Funds)
Report on
Temporarily
Held Funds
(THF)
Monthly
Every 15th
of the
month,
covering
data from
the
previous
reference
month

See
Appendix
Q-106/
AFASAReport
@bsp.gov.ph

B

Section 1006-Q (Execution of Annual Notarized Certification)
Annual Notarized Certification (Temporary Holding)
Annually Within thirty (30) calendar days from end of year

Specific guidelines to be issued by BSP

(c) Appendices S-2/P-7/T-4/N-1/M-6 of the MORNBFI:

Category Form No.
MOR Ref.
Report Title Frequency Submission Deadline
Submission Procedure

B

Section 1006-Q (Report to Bangko Sentral on the Temporary Holding of Disputed Funds), in relation to Part Seven of the S-Regulations/ Part Six of the P-Regulations/ Section 101-T of the Report on Temporarily Held Funds (THF)
Monthly
Every 15th of the month, covering data from the previous reference month
See Appendix Q-106/ AFASAReport @bsp.gov.ph

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T-Regulations/ Part Seven of the N-Regulations/ Section 301-M of the M-Regulations

B

Section 1006-Q (Execution of Annual Notarized Certification), in relation to Part Seven of the S-Regulations/ Part Six of the P-Regulations/ Section 101-T of the T-Regulations/ Part Seven of the N-Regulations/ Section 301-M of the M-Regulations	Annual Notarized Certification (Temporary Holding)	Annually	Within thirty (30) calendar days from end of year	Specific guidelines to be issued by BSP

Section 4. Transitory Provisions. The following transitory provisions shall be incorporated as footnotes to:

(a) Section 1006/1006-Q/1105 of the MORB/MORNBFI/MORPs:

BSIs shall be given one (1) year from the effectivity of this Circular to develop and fully adopt the industry protocol necessary to operationalize this Section.

Pending full adoption of the industry protocol, BSIs shall employ reasonable efforts to comply with their obligations to trace and hold disputed funds, and engage in coordinated verification of disputed transactions, under R.A. No. 12010 or the Anti-Financial Account Scamming Act (AFASA).

BSIs shall be given six (6) months from the effectivity of this Circular to adopt such interim arrangements, mechanisms, or protocols

that shall be implemented until full adoption of the industry protocol, provided that the temporary holding of disputed funds during this transitory period shall conform with the initial and extended holding periods as defined in the regulations under this Section.

(b) Appendix 162/Q-106/1105-3 of the MORB/MORNBFI/MORPs:

The Guidelines on the Submission of Report on Temporary Holding of Disputed Funds (Guidelines) shall take effect one (1) year from the effectivity of this Circular.

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The BSIs' first report shall be submitted to the Bangko Sentral on the 15th day of the second month following the effectivity of the Guidelines.

The Bangko Sentral reserves the right to require a BSI to submit such report even prior to the effectivity of the Guidelines.

Section 5. Effectivity Clause. This Circular shall take effect fifteen (15) calendar days after its publication in the Official Gazette or in a newspaper of general circulation.

FOR THE MONETARY BOARD:

ELI M. REMOLONA, JR.
Governor

Digitally signed by Eli M. Remolona Jr.
Date: 2025.05.30 19:28:42 +08'00'

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APPENDIX 160/Q-104/1105-1
(Annex A of Circular)

Incoming Disputed Transactions Flagged by Receiving Financial Institution's Fraud Management System
(Appendix to Section 1006/1006-Q/1105 on Initiating the Temporary Holding of Disputed Funds and Coordinated Verification Process)

FMS-Initiated Holding Involving Incoming Transactions. An RFI may temporarily hold disputed funds and initiate coordinated verification of disputed transactions under Section 1006/1006-Q/1105 when its FMS detects an incoming transaction that appears to be a disputed transaction.

Procedure for Initial Holding of Disputed Funds. Immediately from receipt of an FMS finding involving incoming disputed transactions, an RFI shall, in accordance with the turnaround time prescribed under the industry protocol, simultaneously:

a. Verify the information received to enable it to identify the disputed transactions and the disputed funds to be subjected to initial holding and the coordinated verification process. At the minimum, the RFI shall confirm the unique transaction reference number or transaction identifier, the beneficiary

account owner and number, the amount of disputed funds, the mode of transfer or payment transaction, the date and time of the disputed transaction, the OFI involved, and the source account owner and number, if known.

b. Prepare a disputed transaction report, documenting the minimum information necessary to identify the disputed transaction, the disputed funds, and the reasons why the transaction appears to be a disputed transaction.

In view of the urgent need to prevent the transfer and/or exfiltration of disputed funds through the financial system, the RFI shall, for purposes of initial holding, have the right to rely on the FMS finding as to the attendant circumstances giving rise to the disputed transaction.

c. Initially hold the disputed funds transferred to the beneficiary account owner for not more than five (5) calendar days.

d. Notify the beneficiary account owner about the initial holding, together with information on:

(1) The unique transaction reference number or transaction identifier, the amount of disputed funds, the mode of transfer or payment transaction, the date and time of the disputed transaction;

(2) Consumer rights and how the beneficiary account owner may challenge or request the lifting of the initial holding or substantiate the legitimacy of the disputed transaction; and

(3) Information on the possible extension of the initial holding and the possible consequences for failing to

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participate in the coordinated verification process or to substantiate the legitimacy of the disputed transaction, such as the debiting of the disputed funds from the beneficiary account owner and the release thereof to the source account owner.

e. Immediately notify the OFI that the RFI’s FMS flagged circumstances that give reasonable grounds to believe that the transaction originating from the OFI may be a disputed transaction, and provide:

(1) Information sufficient for the OFI to identify the disputed transaction and to verify the same with its source account owner;

(2) Information on whether the disputed funds were successfully held, or were withdrawn, or transferred to a subsequent-RFI;

(3) Information on the subsequent steps to be taken to extend the initial holding period and, if warranted, to recover the disputed funds; and

(4) Other relevant information and documents, as may be available.

f. Participate in the coordinated verification process by tracing and verifying the accuracy, authenticity, and legitimacy of the disputed transaction, and coordinating with the involved BSIs and account owners in accordance with Section 1006/1006-Q/1105.

Other Procedures. The extended holding, coordinated verification, and release of disputed funds shall proceed in accordance with Section 1006/1006-Q/1105.

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APPENDIX 161/Q-105/1105-2
(Annex B of Circular)

Disputed Transactions Based on Other Information from Originating Financial Institution
(Appendix to Section 1006/1006-Q/1105 on Initiating the Temporary Holding of Disputed Funds and Coordinated Verification Process)

Request-Initiated Holding. In accordance with the policies and procedures set forth in its fraud detection and risk management framework, an OFI may request the temporary holding of disputed funds and the coordinated verification of transactions under Section 1006/1006-Q/1105, not based on complaint or FMS finding, when it has reasonable ground to believe based on its personal knowledge and/or authentic records that such transaction appears to be a disputed transaction.

Procedure for the OFI on the Initial Holding of Disputed Funds. An OFI requesting the initial holding of disputed funds shall, in accordance with the turnaround time and procedures prescribed under the industry protocol:

a. Identify the disputed transaction and the disputed funds to be subjected to initial holding and coordinated verification. At the minimum, the OFI shall confirm the unique transaction

reference number or transaction identifier, the amount of disputed funds, the mode of transfer or payment transaction, the date and time of the disputed transaction, the RFIs and/or subsequent-RFIs involved, and the affected account owners and numbers.

b. Prepare a disputed transaction report documenting the information necessary to identify the disputed transaction, the disputed funds, and the reasons why the transaction, based on its personal knowledge and/or authentic records, appears to be a disputed transaction.

c. When applicable, perform actions necessary to preserve the integrity of the source account, such as disabling access and/or transfer functionality to prevent further disputed transactions.

d. Transmit, using the automated system for tracing of disputed transactions or through other means as provided in the industry protocol, an initial holding request to all RFIs and subsequent-RFIs identified in the disputed transaction chain to initially hold the disputed funds for not more than five (5) calendar days from receipt thereof.

e. Where relevant, immediately verify the disputed transactions with the source account owner in accordance with Section 1006/1006-Q/1105.

f. Participate in the coordinated verification process by tracing and verifying the accuracy, authenticity, and legitimacy of the disputed transaction, and coordinating with the involved BSIs and account owners in accordance with Section 1006/1006-Q/1105.

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Procedure for the RFI or Subsequent-RFI on the Initial Holding of Disputed Funds. Immediately from receipt of an initial holding request, the RFI or subsequent-RFI shall, in accordance with the turnaround time prescribed under the industry protocol, simultaneously:

a. Verify the information received to enable it to identify the disputed transaction and the disputed funds to be subjected to initial holding and coordinated verification process.

b. Prepare a disputed transaction report documenting the minimum information necessary to identify the disputed transaction, the disputed funds, and the reasons why the transaction appears to be a disputed transaction.

In view of the urgent need to prevent the transfer and/or exfiltration of disputed funds through the financial system, the RFI or subsequent-RFI shall, for purposes of initial holding, have the right to rely on the initial holding request as to the attendant circumstances giving rise to the disputed transaction.

c. Initially hold the disputed funds for not more than five (5) calendar days.

d. Upon holding of the disputed funds, notify its own beneficiary account owner in accordance with Section 1006/1006-Q/1105.

e. Respond to the initial holding request in accordance with Section 1006/1006-Q/1105 and the turnaround time prescribed under the industry protocol.

f. Participate in the coordinated verification process by tracing and verifying the accuracy, authenticity, and legitimacy of the disputed transaction, and coordinating with the involved BSIs and account owners.

Other Procedures. The extended holding, coordinated verification, and release of disputed funds shall proceed in accordance with Section 1006/1006-Q/1105.

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APPENDIX 162/Q-106/1105-3
(Annex C of Circular)

Guidelines on the Submission of Report on Temporary Holding of Disputed Funds
(Appendix to Section 1006/1006-Q/1105 on Report to Bangko Sentral on the Temporary Holding of Disputed Funds)

Scope. These Guidelines shall apply to all Bangko Sentral-Supervised Institutions (BSIs) that temporarily hold funds subject of disputed transactions, in accordance with Section 7 of R.A. No. 12010, or the Anti-Financial Account Scamming Act (AFASA), and its implementing rules and regulations.

Report Content. A BSI shall promptly notify the Bangko Sentral whenever it temporarily holds funds that are the subject of a disputed transaction.

The report shall be called Report on Temporarily-Held Funds (THF). The required information, definitions, formats, values, and field requirements are provided below. These details are arranged according to their order on the Data Entry Template (DET). All information tagged as “Conditional” may be left blank only if the information is unavailable in the reporting BSI.

Field Name
Definition
Format
Value

Field	Requirement	Reporting
BSI	The Bank Code of the BSP Supervised Institution (BSI) who is submitting the Report	Numeric Assigned BSI per Reporting Entity Mandatory
Branch of Account	The Branch Code of the specific Branch of the Reporting BSI where the account subjected to holding of funds is maintained	Numeric >=0, Positive integers Mandatory
Reference No.	Unique Reference Number per Case (Should be unique per case) Convention: THF_YYYYMMDD_Bank Code_0000001	Text Text Mandatory
Trigger to Hold Funds	The main trigger for the Reporting BSI to initiate holding of funds Choose only One from these options:	

- Complaint filed by Source Account Owner
- BSI’s own Fraud Management System (Outgoing Transactions) – flagged by Originating Text Text Mandatory

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Field Name Definition Format Value Field Requirement Financial Institution

- BSI’s own Fraud Management System (Incoming Transactions) – flagged by Receiving Financial Institution
- Information from another BSP Supervised Institution (Based on Complaint or FMS Finding) – Initial Holding Request based

on complaint or FMS

- Information from another BSP Supervised Institution (Based on Other Grounds) – Initial Holding Request not based on complaint or FMS

Status of Held Funds at the Time of Reporting

The Status of the temporarily held funds at the time of reporting:

Choose only One from these options:

- Ongoing - Funds remain on hold
- Released to Source Account Owner - Amount on hold was released to the Source Account Owner
-

Released
to
Beneficiary
Account Owner -
Amount on hold
was released to
the Beneficiary
Account Owner

Text
Text
Mandatory

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Field Name
Definition
Format
Value
Field
Requirement
Date
of
Receipt/
Transmission
of
Trigger
to
Hold
Funds
Date when the trigger
to
initiate
the
holding of funds was
received
by,
or
transmitted to, the
Reporting BSI

“Date
of
Receipt/
Transmission” can be
any of the following,
whichever Trigger to
Hold Funds came first:
•
Date of receipt
of information
or
Initial
Holding Request
from

another BSI
• Date of transmission of finding/ notification/ alert through BSI’s own FMS
• Date of receipt of complaint from Source Account Owner
Numeric Date Convention: YYYYMMDD
Mandatory
Time of Receipt/ Transmission of Trigger to Hold Funds
Exact Time when the trigger to initiate the holding of funds was received by, or transmitted to, the Reporting BSI
“Time of Receipt/ Transmission” can be any of the following whichever Trigger to Hold Funds came first:
• Time of receipt of information or Initial Holding Request from another

BSI
•
Time
of
transmission of
finding/
notification/
alert
through
BSI’s own FMS
•
Time of receipt
of
complaint
from
Source
Account Owner
Numeric
Time
Convention:
HH:MM:SS
Mandatory
Date
of
Initiation
of Hold
Date
when
the
Reporting
BSI
initiated the holding
of funds
Numeric
Date
Convention:
YYYYMMDD
Mandatory
Time of
Initiation
of Hold
Exact Time when the
Reporting BSI
initiated the holding
of funds
Numeric
Time Convention:
HH:MM:SS
Mandatory

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Field Name
Definition

Format
Value
Field
Requirement
Date of
Release of
Held Funds
Date when the
Reporting BSI
released the held
funds to the
Source/Beneficiary
Account Owner
Numeric
Date Convention:
YYYYMMDD
Conditional
Time of
Release of
Held Funds
Exact Time when the
Reporting BSI
released the held
funds to the
Source/Beneficiary
Account Owner
Numeric
Time Convention:
HH:MM:SS
Conditional
Amount on
Hold in
Original
Currency
Amount that is
temporarily on hold
in Original Currency
Numeric
>=0, Positive
integers
Mandatory
Original
Currency of
Amount on
Hold
Original Currency of
the amount that is
temporarily on hold

Choose Currency Code
from the list below:

Currency
Code
Currency

Unit
PHP
Philippine
Peso
USD
U.S. Dollar
JPY
Japanese
Yen
GBP
British
Pound
HKD
Hongkong
Dollar
CHF
Swiss Franc
CAD
Canadian
Dollar
SGD
Singapore
Dollar
AUD
Australian
Dollar
BHD
Bahraini
Dinar
KWD
Kuwaiti
Dinar
SAR
Saudi
Arabian
Riyal
BND
Bruneian
Dollar
IDR
Indonesian
Rupiah
THB
Thai Baht
AED
Emirati
Dirham
EUR
Euro
KRW
South
Korean Won
CNY

Chinese
Yuan

If the Original Currency is not included in the defined Currency Codes, input CCC; [original currency unit in full].
Text
Text
Mandatory

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Field Name
Definition
Format
Value
Field Requirement
Amount on Hold in PHP
Amount that is temporarily on hold in PHP equivalent at the time of reporting, based on BSP Reference Exchange Rates Bulletin published in BSP website
Numeric
>=0, Positive integers
Mandatory
Account Number Subject to Hold
Account Number subject to the temporary hold of funds
Text
Text
Mandatory
Last Name of Account Owner Subject to Hold
Last Name of Account

Owner subject to the temporary hold of funds

For Corporate Accounts, use registered Corporate Account Name recorded in the BSI
Text
Text
Mandatory
First Name of Account Owner Subject to Hold
First Name of Account Owner subject to the temporary hold of funds

For Joint Accounts, Names should be separated by commas

May be left blank only if the Account Subject to Hold is a Corporate Account
Text
Text
Conditional
Middle Name of Account Owner Subject to Hold
Middle Name of Account Owner subject to the temporary hold of funds

For Joint Accounts, Names should be separated by commas

Mandatory if information is available in the Reporting BSI
Text
Text
Conditional
Address of Account

Owner
Subject to
Hold
Address of Account
Owner subject to the
temporary hold of
funds

Format: House Number,
Street/Block,
Barangay, Town,
City/Municipality

For Joint Accounts
with different
addresses, addresses
should be separated
by commas
Text
Text
Mandatory

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Field Name
Definition
Format
Value
Field
Requirement
Contact
Number of
Account
Owner
Subject to
Hold
Contact Number of
Account Owner subject
to the temporary hold
of funds

For Joint Accounts
and those that have
multiple contact
numbers, contact
numbers should be
separated by commas

Mandatory if
information is
available in the
Reporting BSI
Text
Text
Conditional
Email

Address of Account Owner Subject to Hold	Email Address of Account Owner subject to the temporary hold of funds	For Joint Accounts and those that have multiple e-mail addresses, e-mail addresses should be separated by commas	Mandatory if information is available in the Reporting BSI
Text	Text	Conditional	
Name of Originating Financial Institution	Complete Legal/Registered Name of the Originating Financial Institution (Do Not Abbreviate)	Mandatory if “Trigger to Hold Funds” field shows: • “Information from another Bangko Sentral Supervised Institution (BSI)” or • “Complaint filed by Source Account Owner”	
Text	Text	Conditional	
Amount Under Dispute in Original Currency			

Full amount of funds under dispute in its Original Currency
Numeric
>=0, Positive integers
Mandatory
Original Currency of Amount Under Dispute
Original Currency of the amount under dispute

Choose Currency Code from the list below:
Currency Code
Currency Unit
PHP
Philippine Peso
USD
U.S. Dollar
Text
Text
Mandatory

Source page 32

Field Name
Definition
Format
Value
Field Requirement
JPY
Japanese Yen
GBP
British Pound
HKD
Hongkong Dollar
CHF
Swiss Franc
CAD
Canadian Dollar
SGD
Singapore

Dollar
AUD
Australian
Dollar
BHD
Bahraini
Dinar
KWD
Kuwaiti
Dinar
SAR
Saudi
Arabian
Riyal
BND
Bruneian
Dollar
IDR
Indonesian
Rupiah
THB
Thai Baht
AED
Emirati
Dirham
EUR
Euro
KRW
South
Korean Won
CNY
Chinese
Yuan

If the Original Currency is not included in the defined Currency Codes, input CCC; [original currency unit in full].

Account Number of Source Account

Account Number from which the disputed funds originated

Mandatory if “Trigger to Hold Funds” field shows:
•
“Information from

another Bangko Sentral Supervised Institution (BSI)” or
•
“Complaint filed by Source Account Owner”
Text
Text
Conditional
Last Name of Account Owner of the Source Account
Last Name of Account Owner from which the disputed funds originated

For Corporate Accounts, use registered Corporate
Text
Text
Conditional

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Field Name
Definition
Format
Value
Field Requirement
Account Name recorded in the BSI

Mandatory if “Trigger to Hold Funds” field shows:
•
“Information from another Bangko Sentral Supervised Institution (BSI)” or
•
“Complaint filed by Source Account Owner”
First Name

of Account Owner of the Source Account
First Name of Account Owner from which the disputed funds originated

For Joint Accounts, Names should be separated by commas

Mandatory if “Trigger to Hold Funds” field shows:
•
“Information from another Bangko Sentral Supervised Institution (BSI)” or
•
“Complaint filed by Source Account Owner”

May be left blank only if the Account is a Corporate Account
Text
Text
Conditional
Middle Name of Account Owner of the Source Account
Middle Name of Account Owner from which the disputed funds originated

For Joint Accounts, Names should be separated by commas

Mandatory if “Trigger to Hold Funds” field shows:
•
“Information from another Bangko Sentral

Supervised
Institution
(BSI)” or
•
“Complaint filed
by Source Account
Owner”

Text
Text
Conditional

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Field Name
Definition
Format
Value
Field
Requirement
Mandatory if
information is
available in the
Reporting BSI

Reporting Frequency. The BSI shall submit the THF Report every 15th of the month, covering the data from the previous reference month.

A BSI is not required to submit a THF Report if no funds were held during the reference month. Non-submission shall be deemed as the BSI’s formal declaration that it held no funds.

Reporting Template. The BSI shall use the prescribed DET and Control Prooflist (CP) when reporting to the Bangko Sentral. The prescribed DET, CP, and User Guide can be downloaded from www._____.

Submission Procedures. The DET shall be certified correct through the CP and shall be signed by the BSI’s President/Chief Executive Officer and Chief Compliance Officer or officers of equivalent rank, duly designated by the BSI’s Board of Directors.

The DET and CP files shall be electronically transmitted on or before the prescribed deadline to AFASAReport@bsp.gov.ph using the subject line [THFR]_[BSI NAME]_[DATE OF REPORT format: YYYYMMDD]_[Series format: XXXX].

For example:

To:
AFASAReport@bsp.gov.ph
Subject:
THFR_ABC BANK_20250106_0001

The DET file shall be in Excel format while the CP file shall be in Portable Document Format, submitted using the prescribed file naming convention, as illustrated below:

File Naming Convention for CP:
[CP]_[BSI NAME]_[DATE OF REPORT format: YYYYMMDD]_[Series format: XXXX]

File Naming Convention for DET:
[DET]_[BSI NAME]_[DATE OF REPORT format: YYYYMMDD]_[Series format: XXXX]

For example:

CP_ABC BANK_20250106_0001.pdf
DET_ABC BANK_20250106_0001.xls

The BSI may attach one or more DET files with the corresponding CP files in a single submission, provided that the total combined size does not exceed 25 megabytes. The file size limit refers to the total size of all elements in the email, including text, headers, and attachments. Submissions that exceed the prescribed size limit will be automatically rejected by the system.

If the submission exceeds the maximum allowable file size, the BSI may send multiple submissions, provided that submissions for the reference period must be emailed no later than the prescribed reporting deadline.

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BSIs shall use only the email addresses officially registered with the Bangko Sentral Department of Supervisory Analytics (DSA) when electronically submitting the DET and CP files. Email submissions shall be automatically acknowledged by the system.

Submissions that do not receive an automatic acknowledgement shall be considered unsubmitted. It shall be deemed as non-submission of the THF Report for the reference month.

The DET and CP files must be encrypted and transmitted using Transport Layer Security to ensure the confidentiality and integrity of the information contained within.

Updating of Status of Held Funds. Reporting BSIs shall submit an updated THF Report (DET and CP) not later than the deadline for the next reporting period to update the status of funds placed on temporary hold and previously reported as “Ongoing” in the “Status of Held Funds at the Time of Reporting” column.

As appropriate, the “Status of Held Funds at the Time of Reporting” column must be updated from “Ongoing” to “Released”, and the “Date of Release of Held Funds” and “Time of Release of Held Funds” column should be populated. To ensure that the update is accurately reflected, the Reference Number used in the previous report must be retained in the updated report.

Compliance with Reporting Standards. The THF Report shall be considered as a Category B report in accordance with Sections 171 and 173/171-Q and 172-Q. For stand-alone operators of payment systems, non-submission, erroneous submission, and delayed submission shall be subject to applicable penalties under the MORPS.

Inquiries. Queries regarding the THF Report, its related regulations and guidelines may be sent to the Bangko Sentral’s Consumer Account Protection Office via email to capoinquiry@bsp.gov.ph following the prescribed subject line: [INQUIRY] THF REPORT [BSI Name).